

上海氯碱化工股份有限公司

2003 年年度报告

ANNUAL REPORT 2003 Of

Shanghai Chlor-Alkali Chemical Co., Ltd.

二 00 四年三月二十五日

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第一节 重要提示

1、本公司董事会及其董事保证本报告所载资料不存在任何虚假记载、误导性陈述或者重大遗漏，并对其内容的真实性、准确性和完整性承担个别及连带责任。

2、没有董事声明对年度报告内容的真实性、准确性、完整性无法保证或存在异议。

3、上海立信长江会计师事务所有限公司（A 股审计）、浩华会计师事务所股（B 股审计）均出具了标准无保留意见的审计报告。

4、公司负责人董事长周波先生、主管会计负责人总经理李军先生、财务总监常清先生及会计机构负责人财务部经理李宁女士声明：保证年度报告中财务会计报告的真实、完整。

第二节 公司基本情况简介

一、公司法定中文名称：上海氯碱化工股份有限公司

公司法定英文名称：SHANGHAI CHLOR-ALKALI CHEMICAL CO., LTD.

缩 写：SCAC

二、公司法定代表人：周 波

三、公司董事会秘书：许沛文

董事会证券事务代表：庞学英

联系地址：上海市龙吴路 4747 号

电 话：021-64342640

传 真：021-64341341

邮政编码：200241

电子信箱：shxpw@21cn.com

pangxy@21cn.com

四、公司注册地址和办公地址：上海市龙吴路 4747 号

邮政编码：200241

电 话：021-64340000

网 址：www.scacc.com

电子信箱：office@styc.com

五、公司选定的信息披露报纸：

上海证券报、中国证券报、香港商报

登载年度报告的中国证监会指定网址：<http://www.sse.com.cn>

公司年度报告备置地点：董事会秘书室市区办事处

联系地址：上海市浦东南路 1271 号 17 楼

电 话：021-58829587

传 真：021-58829587

邮政编码：200122

六、公司股票上市交易所： 上海证券交易所

股票简称： 氯碱化工 氯碱 B 股

股票代码： 600618 (A 股) 900908 (B 股)

七、公司首次注册日期：1992 年 7 月 4 日

变更注册登记日期：2000 年 9 月 11 日因送股变更注册资本

2001 年 1 月 11 日变更法定代表人、总经理等

公司首次注册地点：上海市龙吴路 4747 号

企业法人营业执照注册号：企股沪总字第 019017 号

税 务 登 记 号 码：310043607200180

公司聘请的境内审计会计师事务所名称：上海立信长江会计师事务所有限公司

办公地址：上海市南京东路 61 号 4 楼

公司聘请的境外审计会计师事务所名称：浩华会计师事务所

办公地址：香港湾仔港湾道 18 号中环广场 20 楼

第三节 会计数据和业务数据摘要

一、2003 年度公司主要经营数据：

单位：万元

序号	项目	金额
1、	利润总额	3,467.66
2、	净利润	2503.34
3、	扣除非经常性损益后的净利润	1844.99
4、	主营业务利润	59,266.85
5、	其他业务利润	-399.66
6、	营业利润	5,523.44
7、	投资收益	-1,215.61
8、	补贴收入	552.10
9、	营业外收支净额	-1,392.28
10、	经营活动产生的现金流量净额	37,254.69
11、	现金及现金等价物净增加额	-13,585.25

*非经常性损益包括的项目：处置长期股权投资、固定资产、在建工程、无形资产、其他长期资产-963.86 万元、补贴收入 448.62 万元、短期投资损益 0.48 万元、营业外收支以 134.49 万元、以前年度计提各项减值准备的转回 1038.61 万元，合计 658.34 万元（扣除所得税影响）。

二、按国内外会计准则不同计算的净利润差异说明：

（境内外审计差异调节表）

单位：万元

	2003 年国内会计准则	2003 年境外会计准则
净利润	2503.3	4406.2
冲减固定资产的评估增值及有关折旧费用	213.1	
冲减联营公司中固定资产的评估增值及有关折旧费用	2.6	
以前年度注销的商誉及有关的摊销费用	15.1	
直接计入储备的收入及支出	1672.1	
合计	4406.2	4406.2
差异说明	A、B 股差异中 1672.1 万元是因债务重组而产生的损益，A 股计入资本公积，B 股计入当期收益。	

三、截至报告期末公司前三年的主要会计数据和财务指标，

单位：万元

主要财务指标	2003 年 12 月 31 日	2002 年 12 月 31 日	2001 年 12 月 31 日	
			调整前	调整后
主营业务收入	390555.55	316099.24	272832.30	272832.30
净利润	2503.34	635.10	513.34	708.61
扣除非经常性损益后的净利润	1844.99	-644.51	-10485.79	-10290.51
扣除非经常性损益后的净利润为基础的加权平均净资产收益率(%)	0.64	-0.23	-3.74	-3.67
净资产收益率(%)	0.87	0.23	0.18	0.25
每股收益(人民币元)	0.0215	0.0055	0.0044	0.0061
每股经营活动产生的现金流量净额(人民币元)	0.3199	0.4018	0.2043	0.2043

总资产	492041.22	477629.71	461008.64	460929.54
股东权益 (不含少数股东权益)	286211.84	282036.40	280301.93	280222.83
每股净资产(人民币元)	2.46	2.4220	2.4071	2.4064
调整后的每股净资产(人民币元)	2.06	2.2827	2.1670	2.1895

四、报告期利润表附表（按照中国证监会《公开发行证券的公司信息披露编报规则（第 9 号）》要求计算）

报告期利润	净资产收益率		每股收益	
	全面摊薄	加权平均	全面摊薄	加权平均
主营业务利润	20.71%	20.86%	50.90%	50.90%
营业利润	1.9298%	1.9440%	4.74%	4.74%
净利润	0.8746%	0.8811%	2.15%	2.15%
扣除非经常性损益后净利润	0.6446%	0.6494%	1.58%	1.58%

五、报告期内股东权益变动情况及变化原因。

单位：万元

项目	股本	资本公积	盈余公积	法定公益金	未分配利润	股东权益合计
期初数	116448	154419.35	11728.19	144.01	-559.46	282036.40
本期增加	0	1672.11	596.90	295.82	1906.44	4175.44
本期减少	0	0	0	0	0	0
期末数	116448	156091.46	12325.09	439.83	1346.98	286211.84
变动原因：		系利息豁免及子公司资本公积调整所致	主要系按比例计提所致	主要系按比例计提所致	系本年净利润转入所致	

第四节 股本变动及股东情况

一、股份变动情况表

单位：股

	本次变动前	本次变动增减（+，-）						本次变动后
		配股	送股	公积金 转 股	增发	其他	小计	
一、未上市流通股份								
1、发起人股份								
其中：								
国家持有股份	611510647							611510647
境内法人持有股份								
境外法人持有股份								
其他								
2、募集法人股份	118580000							118580000
3、内部职工股								
4、优先股或其他								
未上市流通股份合计	730090647							730090647
二、已上市流通股份								
1、人民币普通股	27832420							27832420
2、境内上市的外资股	406560000							406560000
已上市流通股份合计	434392420							434392420
三、股份总数	1164483067							1164483067

1、报告期内公司股本结构未发生变化。

2、本报告期末 B 股中 ADR 有 45727 份，占 B 股的 0.11%

二、报告期末股东总数、前十名股东、前十名流通股股东持股情况：

1、报告期末股东合计总数 86675 户，其中 A 股股东数(包括法人股)为 21341 户，B 股股东数为 65334 户。

2、前十名股东持股情况

单位：股

股东名称（全称）	年度内 增减	年末持股数量	比 例 （ % ）	股份类别（已流 通或未流通）	质押或冻结的 股份数量	股东性质 （国有股东或 外资股东）
1.上海华谊（集团）公司	无	611,510,647	52.51	未流通	无	国有股东
2.宁波金港信托投资责任有限公司	无	6,050,000	0.52	未流通	质押 6,050,000	法人股
3.上海申银万国证券有限公司	无	5,057,833	0.43	未流通	未知	法人股
4.上海天原（集团）有限公司	增 持 294910 股	4,713,697	0.40	未流通	无	法人股
5.上海氯碱化工综合公司	无	4,330,376	0.37	未流通	无	法人股
6.DEBORAH WANG LIN	无	3,523,000	0.30	流通股	未知	外资股东
7.上海公积金管理中心	无	3,049,200	0.26	未流通	未知	法人股
8.上海氯碱化工房产经营开发公司	无	3,049,200	0.26	未流通	无	法人股
9.DAIWA SECURITIES SMBC HONG KONG LTD-CLIENTS ACCOUNT	新增	3,026,018	0.26	流通股	未知	外资股东
10.招商局发展有限公司	减 持 502999 股	2,970,000	0.25	流通股	未知	外资股东
前十名股东关联关系或一致行动的说明	以上 1.4.8 之间有关联关系，其中 8 为本公司全资子公司。其余的法人股与流通股股东中未知其有关联关系。					

前十名流通股股东持股情况		单位：股
股东名称（全称）	年末持有流通股的数量	种类（A、B、H 股或其它）
DEBORAH WANG LIN	3,523,000	B 股
DAIWA SECURITIES SMBC HONG KONG LTD-CLIENTS ACCOUNT	3,026,018	B 股
招商局发展有限公司	2,970,000	B 股
MEESPIERSON ASIA LTDASIA LTD.	2,321,241	B 股
NAITO SECURITIES CO., LTD.	1418317	B 股
郁玉生	1359300	B 股
上海虹桥国际机场股份有限公司	1228335	A 股
TOYO SECURITIES ASIA LTD. A/C CLIENT	1203370	B 股
NBP S/A FRUCTILUX SICAV	1200000	B 股
上海国际信托投资公司	1165472	B 股
前十名流通股股东关联关系的说明		未知流通股股东之间有关联关系。

3、持股 5% 以上的股东仅一家为国家股上海华谊（集团）公司，年度内股份未发生增减变动。上海华谊（集团）公司是国有资产授权经营单位，成立于 1997 年 1 月，法定代表人：张培璋；注册资本 406624 万元；经营范围：授权范围内的国有资产经营和管理，实业投资，化工医药产品及设备的制造和销售，从事化工医药装备工程安装、维修及承包服务。

上海天原（集团）有限公司是上海华谊（集团）公司的全资子公司，受托管理本公司的国家股，成立于 1996 年 3 月，注册资本 80912 万元。法定代表人：张瑞岳；经营范围：化工生产及设备制造，实业投资，国内贸易（除专项规定外），房地产开发、经营及物业管理，经营外经贸委批准的进出口业务。上海天原集团是全国 120 家企业集团试点单位和 520 家重点企业之一。

4. 公司已在 2003 年 11 月 18 日召开的四届七次董事会议上审议通过了《转让上海氯碱化工房产经营开发公司的议案》，待条件成熟后，公司将持有的上海氯碱化工房产经营开发公司 51%股份转让给非氯碱化工子公司，转让后公司对上海氯碱化工房产经营开发公司不控股。

5. 报告期内因上海氯碱总厂供销公司歇业，其持有的法人股转让至上海天原（集团）有限公司，故上海天原（集团）有限公司增持 294910 法人股。

第五节 董事、监事、高级管理人员和员工情况

一、董事、监事和高级管理人员基本情况

姓 名	职务	性别	年龄	任期起止日期	年初持股数	年末持股数
周 波先生	董事长	男	42	2003.12—2006.12	3454	3454
张瑞岳先生	副董事长	男	52	2003.12—2006.12	605	605
李 军先生	总经理	男	45	2003.12—2006.12	605	605
王新奎先生	董事	男	57	2003.12—2006.12	0	0
王开国先生	董事	男	46	2003.12—2006.12	0	0
白礼杰先生	董事	男	54	2003.12—2006.12	0	0
张祖钧先生	董事	男	59	2003.12—2006.12	605	605
虞钰惠先生	董事	男	55	2003.12—2006.12	0	0
戎光道先生	独立董事	男	49	2003.12—2003.12	0	0
汤期庆先生	独立董事	男	49	2003.12—2006.12	0	0
杨国平先生	独立董事	男	48	2003.12—2006.12	0	0
潘 飞先生	独立董事	男	48	2003.12—2006.12	0	0
沈丽萍女士	监事会主席	女	58	2003.12—2006.12	0	0
叶天福先生	监事	男	51	2003.12—2006.12	0	0
陈兴浦先生	监事	男	56	2003.12—2006.12	0	0
石 卫先生	监事	男	38	2003.12—2006.12	0	0
李爱敏女士	监事	女	36	2003.12—2006.12	0	0
俞兆钧先生	监事	男	46	2003.12—2006.12	10	10
盛锡龙先生	副总经理	男	50	2003.12—2006.12	0	0
黄志勇先生	副总经理	男	50	2003.12—2006.12	0	0
王予锋先生	副总经理	男	40	2003.12—2006.12	0	0
岳 群先生	副总经理	男	38	2003.12—2006.12	0	0
常 清先生	财务总监	男	39	2003.12—2006.12	0	0
许沛文先生	董事会秘书	男	49	2003.12—2006.12	0	0

二、年度报酬情况

1、2003年度，在本公司领取薪酬的董事、监事、高级管理人员的年度报酬均依据公司提交股东大会通过的《董事、监事、高级管理人员薪酬考评办法》考核发放。

现任董事、监事、高级管理人员的年度报酬总额为215万元，其中20万以上的2人，15万—20万的7人，10万—15万的2人，10万元以下的3人。金额最高的前三名董事年度报酬总额60万元，金额最高的前三名高级管理人员的年度报酬总额62.4万元。独立董事的津贴为8万元/年。

2、不在公司领取报酬、津贴的董事有王新奎先生、王开国先生、白礼杰先生、周波先生，监事有沈丽萍女士、陈兴浦先生。在股东单位领取报酬、津贴的董事有周波先生、沈丽萍女士、陈兴浦先生。

3、报告期内因公司董事会换届，离任的董事有徐荣一先生、杨振汉先生、侯水岐先生；离任的独立董事有孙铮先生。因退休离任的董事有魏光爱女士。因公司监事会换届离任的监事有张洪文先生、夏沛承先生、汪磊先生、茆志明先生、张亚曼女士、赵如泉先生、邵伟大先生、赵建华女士。

张祖钧先生经 2003 年临时股东大会选举，当选为公司第五届董事会董事，不再担任公司副总经理。

在报告期内公司召开五届一次董事会，聘任李军先生为公司总经理，聘任盛锡龙先生、

黄志勇先生、王予锋先生、岳群先生、为公司副总经理，聘任常清先生为公司财务总监，聘任许沛文先生为公司董事会秘书。

4、本报告期末，公司在册员工总数 4910 人，比上年减少 106 人。现有在岗员工按专业分：生产人员占 69.73%，营销人员占 1.9%，技术人员占 7.65%，财务人员占 1.63%，管理人员占 16.83%，后勤人员占 2.26%。按教育程度分：研究生及本科生占 6.75%，大专占 13.64%，中专及高中占 51.6%，高中以下占 28.01%。公司现有离退休人员 2766 人。

第六节 公司治理结构

一、 公司根据《公司法》、《证券法》及《上市公司治理准则》的规定，结合公司实际情况，从公司治理的框架上建立起一种能够在所有者与经营者之间起制衡关系的机制，形成了各负其责、责权统一、运转协调的法人治理结构。

1、公司严格执行中国证监会发布的上市公司治理文件，按中国证监会《关于在上市公司建立独立董事制度的指导意见》及中国证监会上海证管办《关于做好上海上市公司独立董事有关工作的通知》要求，于 2003 年 11 月 18 日召开董事会进行换届选举，增设 2 名独立董事，使独立董事人数达到公司全体董事的三分之一。

2、按中国证监会《关于对上市公司内幕人员交易本公司股票进行自查自纠的通知》、《关于规范上市公司与关联方资金往来及上市公司对外担保若干问题的通知》的要求，公司对有关“内幕人员”交易本公司股票进行了认真自查，对关联方资金往来和对外担保情况进行了全面清查，并根据自查情况，如实填写自查情况报告。

3、按中国证监会上海证券监管办公室《关于推动上海上市公司投资者关系管理工作的通知》的要求，公司积极落实投资者关系管理方面工作，如建立信息披露制度、构建公司内部信息支持平台、设立对外信息服务办公机构和及时做好信息披露工作等。目前公司已拟定了投资者关系管理制度，并将提交董事会审议，把这一工作提升至一个新的层次，使之制度化、日常化。

二、独立董事履职情况

公司独立董事本着为全体股东负责的理念，按照《证券法》、《独立董事工作制度》等法律法规的要求，履行诚信和勤勉的义务，切实维护公司的整体利益及中小股东的合法利益，认真参加公司的董事会及股东大会，积极了解公司的各项经济运行情况，为公司的管理活动提供咨询，对公司的关联交易等事项发表专业性的意见，并出具独立董事意见书，为董事会客观科学的决策起到了积极的作用。

三、“五分开”的情况

公司具有独立完整的业务及自主经营能力，公司与控股股东在业务、人员、资产、机构、财务已实现了分开，各自独立核算、独立承担责任和风险。

四、公司考评激励机制：

报告期内公司按照《董事、监事、高级管理人员薪酬考评办法》的有关规定，根据公司董事、监事、高级管理人员履行职责的情况核发薪酬。

第七节 股东大会情况简介

一、公司报告期内共召开了 2 次股东大会

1、公司 2002 年度股东大会（年会）的召开通知、会议议程等，以公告（临 2003-002）形式刊登在 2003 年 2 月 15 日上海证券报、中国证券报、香港商报。

2003 年 4 月 15 日公司在龙华迎宾馆召开了 2002 年度股东大会，出席本次股东大会的股东和授权代理人有 65 名，代表股份 626920946 股，占公司总股本的 53.84%，会议审议通过如下决议：

- （一）审议通过董事会工作报告；
- （二）审议通过监事会工作报告；
- （三）审议通过 2002 年财务决算和 2003 年财务预算报告；
- （四）审议通过 2002 年度利润分配预案；
- （五）审议通过关于续聘会计师事务所及支付会计事务所 2002 年报酬的议案；
- （六）审议通过关于高级管理人员薪酬考评的议案；
- （七）审议通过关于增补董事的议案，选举虞钰惠先生为公司第四届董事会董事。

本次股东大会决议刊登在 2003 年 4 月 16 日上海证券报、中国证券报、香港商报。

2、公司 2003 年临时股东大会的召开通知、会议议程等，以公告（临 2003-010）形式刊登在 2003 年 11 月 20 日上海证券报、中国证券报、香港商报。

2003 年 12 月 23 日公司在上海光大会展中心国际大酒店召开了 2003 年临时股东大会。出席本次股东大会的股东和授权代理人有 65 名，代表股份 637501024 股，占公司总股本的 54.75%。会议审议通过如下决议：

- （一）审议通过董事会工作报告；
- （二）审议通过监事会工作报告；
- （三）审议通过为上海联恒异氰酸脂有限公司、上海亨斯迈有限公司的贷款提供担保的议案；
- （四）审议通过为拜耳(上海)聚合物有限公司贷款提供担保的议案；
- （五）选举王新奎先生、王开国先生、白礼杰先生、周波先生、张瑞岳先生、张祖钧先生、虞钰惠先生先为本公司第五届董事会董事；戎光道先生、汤期庆先生、杨国平先生、潘飞先生为本公司第五届董事会独立董事。

（六）选举叶天福先生、沈丽萍女士、陈兴浦先生为第五届监事会监事。由职工代表选举产生的第五届监事会监事为石卫先生、李爱敏女士、俞兆钧先生。

二、报告期内公司董监事变更情况：

报告期内公司召开 2003 年临时股东大会，选举王新奎先生、王开国先生、白礼杰先生、周波先生、张瑞岳先生、张祖钧先生、虞钰惠先生先为本公司第五届董事会董事；戎光道先生、汤期庆先生、杨国平先生、潘飞先生为本公司第五届董事会独立董事。

选举叶天福先生、沈丽萍女士、陈兴浦先生为第五届监事会监事。由职工代表选举产生的第五届监事会监事为石卫先生、李爱敏女士、俞兆钧先生。

离任的董事和独立董事有徐荣一先生、杨振汉先生、侯水岐先生、孙铮先生、魏光爱女士。

离任的监事有张洪文先生、夏沛承先生、汪磊先生、茆志明先生、张亚曼女士、赵如泉先生、邵伟大先生、赵建华女士。

第八节 董事会报告

一、报告期经营情况分析：

(一) 行业出现转机盈利能力明显提高。

2003 年氯碱行业延续了高速发展的势头，聚氯乙烯的产量和产能分别比上年增长 18% 和 38%。烧碱产能已逾 1000 万吨，由于 GDP 增长对基础化工需求的带动，加上聚氯乙烯反倾销胜诉，使聚氯乙烯继续处于供不应求的状况，整个行业盈利能力明显提升并出现了难得的发展机遇。

(二) 公司把握机遇，进入良性运行平台。

报告期内公司围绕“整合、改革、创新”的经营方针，树立“全局意识、目标意识、责任意识”，推动“做强主业、推进新业”的战略实施，总体经济运行态势较好。

1、装置产能得到提高。通过以提高工艺和装置的技术含量为主要内容的技术改造，使烧碱和聚氯乙烯的产能分别达到 42 万吨和 35 万吨，分别比上年提高 5% 和 6%。公司整个生产系统实现较高负荷连续运行，安全、环保处于严格受控状态。主要产品聚氯乙烯、烧碱产量分别比去年同期相比增加 1.4 万吨和 2.8 万吨，增长幅度分别为 5% 和 7.4%。

2、生产管理日益娴熟。融“吨氯”效益和市场需求为一体，合理调整各产品产量比重，优先满足市场需求好、毛利贡献高的产品生产；科学安排检修计划，减少非计划停车；切实以 ISO14001 环境管理为标准，推行清洁生产。

3、产品市场稳步做大。积极参与聚氯乙烯反倾销工作，并在商务部作出裁定反倾销胜诉后，提出“关爱下游、增加供应、稳定市场、共同发展”营销方针，稳健操作，避免国内聚氯乙烯行情大起大落，使聚氯乙烯走出一波稳定上扬的行情。同时，根据烧碱国内外市场行情的变化，调整烧碱内外销的比例，既解决增量烧碱销路，又稳定了售价。

4、管理改革循序渐进。“扁平化”管理又有新举措，成立了生产调度中心，并在 VCM 车间、离子膜烧碱车间实行装置化管理试点，推动了装置化管理进程；全面预算执行强度加大，继续做好每月滚动预算，加强成本控制，制定原料标准消耗定额，实行分级刚性控制。并加强对资金预算项目的管理力度，确保现金流量的有效控制，资金回笼率达到 101%。

5、战略方针有效贯彻。2003 年是贯彻“做强主业、推进新业”战略执行强度较大的一年。吴泾基地：7 万吨/年聚氯乙烯国债项目已进入最后的安装调试阶段，逐步形成生产能力。漕泾基地：规模为 25 万吨/年烧碱，20.7 万吨/年液氯，30 万吨/年二氯乙烷的漕泾项目已经打桩开工。与国际跨国公司合资项目 P C、M D I 也有实质性启动。宁夏基地：12 万吨/年电石法聚氯乙烯、10 万吨/年烧碱、13 万吨电石项目进入全面开工阶段。推进新业方面通过整合内部资源，利用现有“海陆空”物流载体，做品牌、筑平台，组建了以液氯大包装、VCM、EDC 等为核心业务的化工液体危险品物流公司。

在战略执行中，公司还重视搞好环境保护，大力推动环保项目的实施，如 P 聚氯乙烯包装粉尘治理、VCM 装置化污水改造、新建 VCM 装置 1600 废水处理单元等，努力争取用绿色生产、绿色工艺来确保吴泾生产基地的生存与发展。

二、报告期内的经营情况

(一) 主营业务的范围及其经营状况。

公司主营业务范围：公司属基础化工原料行业，主营聚氯乙烯、烧碱、氯系列等基本化工原料及加工产品。2003 年公司主导产聚氯乙烯市场占有率 5.9%，烧碱市场占有率 4.5%

1、报告期内公司主营业务收入、主营业务利润的构成情况。

分行业或分产品	主营业务收入	主营业务成本	毛利率 (%)	主营业务收入比上年增减 (%)	主营业务成本比上年增减 (%)	毛利率比上年增减 (%)
聚氯乙烯	2,046,432,134.53	1,727,628,869.11	15.58%	22.33%	22.71%	-0.26%
烧碱	416,035,540.60	325,791,370.58	21.69%	0.71%	-21.61%	22.29%
氯产品	428,213,806.09	323,730,621.60	24.40%	23.05%	25.02%	-1.19%
粒料及其他	1,112,170,642.75	1,017,424,13.57	8.52%	35.92%	38.26%	-1.55%
其中：关联交易	97,296,584.46	81,602,645.39	16.13%	6.53%	-8.20%	13.46%
合计	4,002,852,123.97	3,394,575,174.86	15.20%			

主营业务分地区情况

地区	主营业务收入	主营业务收入比上年增减 (%)
上海地区	4,002,209,953.97	23.08
上海地区以外	642,170.00	-21.07
	4,002,852,123.97	

2、占公司主营业务收入或主营业务利润 10%以上产品情况：

单位：万元

项目	销售收入	销售成本	毛利率	占主营业务收入	占主营业务利润
聚氯乙烯	204,643.21	172,762.89	15.58%	51.12%	52.28%
烧碱	41,603.55	32,579.14	21.69%	10.39%	14.94%
氯产品	42,821.38	32,373.06	24.40%	10.70%	14.23%
粒料及其他	111,217.06	101,742.43	8.52%	27.78%	18.55%

3、报告期内主营业务或其结构、主营业务盈利能力较前一报告期发生较大变化的说明：公司主营业务收入和利润同比分别增加了 23.55%和 42.31%，系 GDP 增长对基础化工需求的带动，加上聚氯乙烯反倾销胜诉，使聚氯乙烯继续处于供不应求的状况，聚氯乙烯和氯产品价格平稳上涨，公司盈利能力增加所致。

(二) 主要控股公司及参股公司的经营情况及业绩。

单位：万元

公司名称	业务性质	净资产	总资产	注册资本	股权	净利润
1. 上海氯碱房产经营开发公司	房产开发	1883	6927	1500	100%	61.7
2. 上海乐凯国际贸易公司	化工贸易仓储	1195	1893	608	100%	180.4
3. 上海氯碱化工贸易有限公司	化工贸易	11539	12610	10000	90%	61.8
4. 上海达凯塑胶有限公司	塑胶片膜及其深加工	10045	11121	4347.76	90%	565.5
5. 上海助剂厂有限公司	化学助剂	4168	6314	3497	85.13%	456.4
6. 上海天原(集团)天原化工有限公司	生产聚氯乙烯等	9764.4	32468.3	12617.50	76.22%	-475.52
7. 苏州姑苏经济发展总公司	停车场	1012	1822	1000	80%	11.07
8. 上海工程化学设计院有限公司	工程设计	2393	5060	2100	48.57%	204
9. 上海天原物流有限公司	集装箱运输及货运代理	2309.2	3889.25	2200	57.92%	117.43
10. 上海天原国际货运有限公司	国际货运	3263	7546	3040	51%	165.2
11. 上海氯威塑料有限公司	生产和销售聚氯乙烯管材和管件	4990	6447	4351	50%	-251.7
12. 上海赫克力士化工有限公司	造纸及化学品制造	3429	9722	5442.45	40%	535.7

(一) 投资收益影响本公司净利润 10%以上的公司情况：

1、上海达凯塑胶有限公司：注册资本为 4347.76 万元，地处上海浦东高桥界浜路 400

号。由本公司占 90%，中国华融资产管理公司(上海办事处)占 10%。公司主要经营范围为生产塑胶片膜及深加工产品、各类信用卡卡基基材的生产销售，设计生产能力为 5000 吨/年。2003 年经审计的净利润为 565.5 万元，总资产 11121 万元，净资产 4168 万元。

2、上海助剂厂有限公司：注册资本为 3497 万元，由本公司占 85.13%，上海天原(集团)有限公司占 12.87%，上海氯碱创业有限公司占 2%。公司注册于浦东莲南路 300 号，经营范围为化学助剂、有机中间体烷烃类化工产品的制造。目前主要产品有“增白剂、渗透剂、抗静电剂、粘合剂和柔合剂等 16 大类，240 余个品种，2003 年经审计的净利润为 456.4 万元，总资产 6314 万元，净资产 4168 万元。

3、上海天原化工有限公司：注册资本为 12617.50 万元，由本公司占 76.22%、上海工业投资(集团)有限公司占 23.77%。公司主营业务为生产经营聚氯乙烯、氯、烧碱系列化工原料及加工产品。2003 年经审计的净利润为-475.5 万元，总资产 32468.3 万元，净资产 9764.4 万元。

4、报告期内本公司对下属子公司进行了清理、重组，对上海氯碱总厂供销公司进行歇业处理。

(二)主要供应商、客户情况：

前五名供应商采购金额合计	127958.74 万元	占采购总额比重	38.54%
前五名销售客户销售金额合计	51363.69 万元	占销售总额比重	13.06%

(四)在经营中出现的问题与困难及解决方案

1、经营中的主要困难：

●主要原料成本的上升：因国际原油价格的持续上涨，使聚氯乙烯产品的主要原料乙烯、二氯乙烷、氯乙烯价格连创历史新高，烧碱的主要原料盐的价格大幅上涨，堆高公司生产成本平台。

●能源成本的上升：2003 年 12 月起电价调整，造成公司直接成本上升，压低了公司利润空间。

●环保成本的上升：排污收费从超标收费为总量收费，也将增加生产成本。

2、解决方案：

●形成装置经济规模：在 7 万吨/年聚氯乙烯技改项目形成能力的基础上，充分利用氯乙烯装置富裕能力，投入少量资金实现装置填平补齐，达到新增 5 万吨/年聚氯乙烯的目的，使聚氯乙烯产能达到 40 万吨，形成装置经济规模。

●优化生产管理：通过对生产调度指挥系统的整合，将公司整个生产系统纳入统筹管理的轨道，科学安排检修计划，减少非计划停车，实现装置生产较高负荷连续运行。并把握好聚氯乙烯生产原料乙烯、EDC、VCM 价格的变化规律，优化原料组合，合理调节生产，实现效益最大化。

●提升产品的技术含量：加大新产品的研发力度，扩大聚氯乙烯树脂的专用料的生产，通过提升产品的技术含量来带动产品的附加值，增加盈利能力。

●控制采购成本：采购、仓储全面实行计算机网上运行，重点关注大宗原料的价格波动，充分利用公司现有码头、仓储等优势，采取分段定价，多渠道采购、多品种组合，减少原料涨价的影响。

三、报告期内的投资情况：

（一）投资情况：

1. 上海亨斯迈聚氨酯有限公司：2003 年 4 月本公司出资 89.055 万美元，5 月出资 178.11 万美元，该两笔资金目前已完成验资手续，项目正在建设之中。

2. 上海联恒异氰酸酯有限公司：2003 年 4 月本公司出资 699.81 万元人民币，5 月出资 1399.62 万元人民币，该两笔资金都已完成验资，项目正在建设之中。

3. 拜耳（上海）聚合物有限公司：2003 年 5 月本公司出资 78.9 万美元，已完成验资等相关手续，本公司累计出资 283.65 万美元。2003 年 11 月出资 166.67 万美元，目前验资手续还在办理之中。

4. 上海天原集团华胜化工有限公司：公司注册资本 10000 万元，2003 年 5 月 12 日由本公司出资 4400 万元，占注册资本的 44%，上海天原（集团）有限公司出资 5100 万元占 51%、上海焦化有限公司出资 500 万元占 5%，2004 年 3 月 2 日项目一期工程开工打桩。一期工程建设规模主要包括 25 万吨/年烧碱装置及 30 万吨/年二氯乙烷的氧氯化装置。

5. 宁夏西部聚氯乙烯有限公司：注册资本为 27946 万元，由三方投资，其中本公司与宁夏英力特电力（集团）股份有限公司分别占有 30%的股份，宁夏宁河民族化工股份有限公司占有 40%股份。2003 年 5 月本公司出资 3000 万元，目前已完成验资等相关手续，项目规模为年产 12 万吨聚氯乙烯、10 万吨烧碱及 13 万吨电石生产装置，现正在建设之中。

6. 上海华鸿管廊有限公司：公司注册资本 4000 万元，2003 年 8 月起由本公司分二次出资共 2800 万元，占注册资本的 70%，上海焦化有限公司出资 400 万元占 10%、上海华谊（集团）公司出资 400 万元占 10%、上海化工供销有限公司出资 400 万元占 10%。公司主要建设联结漕泾上海化工区与吴泾化工区的乙烯管道，其输送的乙烯原料将成为公司主导产品聚氯乙烯主要原料，也是公司实施漕吴联动战略和吴泾基地一体化整合的重要资源。

7. 上海新天原化工物流有限公司：成立于 2003 年 10 月，主营业务：普通货物运输，货运代理等。该公司总股本为 990 万元，由吴泾经济发展公司出资 500 万元，占 50.5%，本公司出资 250 万，占 25.3%，上海氯碱化工贸易有限公司出资 240 万，占 24.2%。目前已办理完所有的手续。

（二）项目情况

1、报告期内无募集资金或报告期之前募集资金的使用延续到报告期内的情况。

2、报告期内非募集资金投资的重大项目、项目进度及收益情况：

（1）16 万吨异氰酸酯项目，已进入实质性出资阶段，报告期末已完成项目初步设计及工程前期准备工作，本报告期内共出资 4310 万元。

（2）聚碳酸酯项目，至报告期末共出资 653.04 万元，累计完成投资 2347.69 万元，目前正在进行详细的项目设计和土建工作。

（3）7 万吨/年聚氯乙烯国债项目，至报告期末共出资 17764.8 万元，累计完成投资 31777.55 万元，目前项目已进入最后的安装调试阶段。

（4）上海化学工业区聚氯乙烯项目，至报告期末已累计完成投资 3920 万元。2003 年 5 月 28 日成立上海天原集团华胜工有限公司负责项目建设，8 月华胜公司与上海工程化学设计院签订工程设计总包合同，9 月与日本氯工程公司签订烧碱装置技术设备引进合同，11 月与法国德希尼布公司签订氧氯化装置工艺包设计合同与西方化学公司签订催化剂供应合同。12 月与工商银行建设银行和光大银行签订银团融资协议。2004 年 3 月 2 日项目一期工程开工打桩。

（5）宁夏项目至报告期末本公司已出资 3000 万元。详情请见 2003 年 4 月 26 日中国证

券报、上海证券报、香港商报。

(6) 漕吴线项目已进入项目总体设计阶段。详情请见 2003 年 4 月 26 日、2003 年 8 月 16 日、2003 年 11 月 20 日 的中国证券报、上海证券报、香港商报。

(7) 其他非募集资金投资的重大项目情况：由本公司投资的聚氯乙烯糊状树脂装置扩产项目至报告期末已累计完成投资 954.24 万元，预计 2004 年 3 月该项目即可竣工投产。

四、报告期内的财务状况、经营成果说明：

指标项目	2003 年	2002 年	增减比例 (%)
总资产	4,920,412,213.54	4,776,297,118.48	3.02
股东权益	2,862,118,376.23	2,820,363,977.39	1.48
主营业务利润	592,668,532.39	416,455,681.62	42.31
净利润	25,033,361.99	6,351,015.45	294.16
现金及现金等价物 净增加额	-135,852,541.09	126,434,711.98	-207.45

主要变动原因：

总资产增加的主要原因系本年新增权益性投资及工程项目建设增加所致；

股东权益变动主要系本年净利及资本公积增加所致；

主营利润和净利润增加的主要原因系受聚氯乙烯市场价格回升，公司盈利提高所致。

现金及现金等价物减少主要系权益性投资和项目付款增加使投资活动净现金流量大幅减少所致。

五、对生产经营环境以及宏观政策、法规发生了重大变化，已经、正在或将要对公司的财务状况和经营成果产生重要影响的说明：

1、进出口税率的调整。烧碱、漂粉精的出口免、抵税率从 15% 降到 13% 下降 2%，将影响收益。聚氯乙烯进口税率从 11.8% 降到 10.7% 下降 1.1% 将对市场造成一定的冲击。

2、城市规划对环保的要求提高。公司地处黄浦江上游，根据市政府规划和上海城市功能定位，环保投入要增加。

3、基本电价上调：2003 年 12 月起的电价调整，使公司主导产品烧碱用电解电上升 17%，造成烧碱直接成本上升 10% 以上，将使利润空间锐减。

4、反倾销胜诉：2003 年 9 月 29 日商务部发布公告对原产美国、韩国、日本、俄罗斯和台湾地区进口聚氯乙烯反倾销的最终裁定，决定对该被调查产品征收 6~84% 的反倾销税，至此，历时 18 个月，案值 10 亿美元的聚氯乙烯反倾销案以我国国内产业的最终胜利而告终。该倾销案的最终胜诉，有利于消除进口聚氯乙烯倾销给国内产业带来的损害。

六、董事会日常工作情况：

(一) 本报告期共召开三次董事会定期会议。

1、2003 年 2 月 13 日公司在浦东华融大厦 17 楼会议室，召开四届六次会议。应到董事 12 人，实到 11 人，董事白礼杰请假。会议由董事长周波先生主持，会议决议如下：

- (1) 审议通过董事会工作报告；
- (2) 审议通过总经理工作报告；
- (3) 审议通过 2002 年财务决算和 2003 年财务预算报告；
- (4) 审议通过关于计提资产减值准备及坏帐核销的议案；
- (5) 审议通过 2002 年报及摘要；
- (6) 审议通过关于对长期股权投资核算中的重大会计差错进行追溯调整的议案；

- (7) 审议通过关于增补董事的议案；
- (8) 审议通过 2002 年利润分配的预案；
- (9) 审议通过关于续聘会计师事务所及支付会计师事务所 2002 年报酬的议案；
- (10) 审议通过关于高级管理人员薪酬考评的议案；
- (11) 决定于 2003 年 4 月 15 日下午 1:30 召开 2002 年度股东大会。

会议决议公告（临 2003-002）刊登在 2003 年 2 月 15 日上海证券报、中国证券报、香港商报。

2、2003 年 11 月 18 日公司在虹桥迎宾馆召开四届七次会议。应到董事 12 人，实到 11 人，董事白礼杰请假。会议由董事长周波先生主持了，会议决议如下：

- (1) 审议通过董事会工作报告；
- (2) 审议通过总经理工作报告；
- (3) 审议通过关于受让上海华鸿管廊公司股权的议案；
- (4) 审议通过关于转让上海天原国际货运有限公司部分股权的议案；
- (5) 审议通过关于为拜耳(上海) 聚合物有限公司贷款提供担保的议案；
- (6) 审议通过关于上海乐凯国际贸易公司改制的方案；
- (7) 审议通过关于上海氯碱化工房产经营公司改制的方案；
- (8) 确定第五届董事候选人、独立董事候选人建议名单
- (9) 决定于 2003 年 12 月 23 日上午 9:30 召开 2003 年临时股东大会。

会议决议公告（临 2003-010）刊登在 2003 年 11 月 20 日上海证券报、中国证券报、香港商报。

3、2003 年 12 月 23 日公司在上海光大会展中心国际大酒召开五届一次会议。应到董事 11 人，实到 7 人，董事王新奎、白礼杰、张祖钧请假，董事王开国委托表决。周波先生主持了会议，决议如下：

- (1) 选举周波先生为董事长，选举张瑞岳先生为副董事长；
- (2) 聘任李军先生为总经理，常清先生为财务总监，许沛文先生为董事会秘书；
- (3) 根据总经理李军先生提名，聘任盛锡龙先生、王予锋先生、黄志勇先生、岳群先生为副总经理。
- (4) 原则同意总经理提出的 2004 年经营目标和组织结构优化的方案。

会议决议公告（临 2003-014）刊登在 2003 年 12 月 25 日上海证券报、中国证券报、香港商报。

（二）董事会对股东大会决议的执行情况：

报告期内公司董事会严格执行股东大会决议，无违背或超越股东大会决议的情况。

七、 本次利润分配预案或资本公积金转增股本预案。

经中国注册会计师审计，2003 年实现净利润母公司为 2403.4 万元，合并报表为 2503.34 万元；经国际注册会计师核数，2003 年实现净利润为 4406.2 万元。

现根据公司章程规定，以母公司净利润为基准，提取 10%法定盈余公积金 240.34 万元，提取 10%法定公益金 240.34 万元，“两金”合计提取 480.68 万元。母公司累计未分配利润 2549.53 万元，折合每股仅为 0.02 元，且 2004 年是公司投资项目出资建设的高峰期，因此 2003 年度公司不进行利润分配，也不进行资本公积金转增股本。

八、 其他事项：

（一）报告期内公司未变更选定信息披露报纸。

（二）按照《关于规范上市公司与关联方资金往来及上市公司对外担保若干问题的通知》

（证监发[2003] 56 号）的规定，注册会计师对公司控股股东及其他关联方占用资金情况的专项说明：

上海氯碱化工股份有限公司董事会：

我们接受贵公司委托，对贵公司经审计的截止 2003 年 12 月 31 日的关联方占用贵公司资金情况及贵公司对外担保情况进行专项核查。我们的核查是依据中国证券监督管理委员会和国有资产监督管理委员会共同颁布的《关于规范上市公司与关联方资金往来及上市公司对外担保若干问题的通知》（2003-56 号）进行的。贵公司董事会的责任是提供真实、合法、完整的有关资金占用及对外担保情况的全部材料，包括原始合同或协议等资料或副本资料、会计凭证与账簿记载、会计报表、有关实物证据及我们认为必要的其他资料。我们的责任是根据上述《关于规范上市公司与关联方资金往来及上市公司对外担保若干问题的通知》（2003-56 号）的规定，对贵公司与关联方资金往来情况及对外担保情况是否符合规定进行相关调查、核实并出具专项说明。在调查、核实过程中，我们实施了查阅有关资料、会计凭证、核对会计账簿记录等我们认为必要的核查程序。

现将审核情况说明如下：

一、关联方占用资金情况：

（一）贵公司已经按照规定要求，进行了自查并将自查报告于 2003 年 9 月 27 日报送公司所在地证监会派出机构。

（二）截至 2003 年 12 月 31 日止，贵公司账面记载的应收关联方占用资金额为：43,796.49 万元，其中：

1、大股东占用资金情况：应收上海天原（集团）有限公司 32,092.82 万元，其中暂借款 31,724.52 万元。应收上海天原（集团）有限公司子公司 9,162.75 万元，其中暂借款 8,272.19 万元。

2、关联方占用资金情况：

截止 2003 年 12 月 31 日，除公司控股股东外的关联方占用资金为 2,540.92 万元。

以上内容详见后附“关联方占用资金情况明细表”

3、控股且已纳入合并报表范围的子公司占用资金已作合并抵销。

二、股份公司为其他公司提供担保的情况：

贵公司对外提供担保均采用保证担保方式，被担保单位由此取得的款项均用于经营活动，均未引起诉讼。经审核发现贵公司尚有以下关联方提供的担保属违规担保：

1. 为控股股东的子公司吴泾化工有限公司的 1,081.13 万美元贷款提供担保。

2. 为控股股东的子公司上海焦化有限公司的 1,653.12 万欧元贷款和 364.65 万挪威克郎贷款提供担保。

3. 向持股 50%以下的上海赫克力士化工有限公司的 2000 万元人民币贷款提供担保。

具体内容详见后附“担保情况明细表”。

此外，我们注意到：2003 年 12 月 26 日上海天原（集团）公司董事会通过了《关于与化谊集团、氯碱公司签订以土地使用权作抵押解决大股东欠款三方协议的议案》的决议：

上海华谊集团公司为保证上海天原集团公司归还上海氯碱化工股份有限公司 3.17 亿元欠款,拟将其拥有的上海闵行区吴泾街道 310、497、507、508、509 街坊共 23 幅地块 834,735 平方米土地使用权抵押给公司,土地评估价值 3.23 亿元。

上海立信长江会计师事务所有限公司

(三)独立董事对公司累计和当期对外担保情况、执行前述规定情况的专项说明及独立意见:

1、关于大股东欠款。独立董事认为:公司根据原先的承诺,年内已实质性启动土地注入解决大股东欠款的方案。并针对土地使用权转让程序链长,年内难以完成的实际,年底经董事会同意,公司与华谊集团、天原集团签订了《关于与华谊集团公司、天原集团公司签订以土地使用权作抵押解决大股东欠款三方协议》,该协议的签订有利于确保以土地使用权转让解决大股东欠款方案的实施。

2、关于担保。独立董事认为:(1)公司为上海吴泾化工有限公司、上海焦化有限公司的关联担保都发生在 1999 年以前。报告期内,公司严格遵照《关于上市公司为他人提供担保有关问题的通知》要求,按照向证监会提交的自查报告的整改计划,减少因历史原因已形成的关联担保,不增加新的关联担保。2003 年末关联担保总额比上年末减少 3967.92,同比下降 13%。

(2)公司为上海赫克力士化工有限公司的担保发生在 2001 年。报告期内本公司为其担保总额由 3000 万元下降至 2000 万元人民币,且公司董事会已要求其①年内完成项目竣工手续后用其固定资产进行抵押贷款②要求美国赫克力士公司提供反担保。③2004 年 4 月担保到期后不再续保。这样有利于逐步解决违规担保的问题。

(3)公司按出资比例为拜耳(上海)聚合物有限公司、上海联恒异氰酸酯有限公司、上海亨斯迈有限公司贷款提供担保。①该三项合资项目的合资合同均在 2003 年初前签订,合同中已明确了按出资比例履行担保义务。②董事会征询了公司常年法律顾问意见,其认为:该担保行为符合《中外合资企业法》与《合同法》的规定。③合资合同中规定合资项目建成后将由合资公司的固定资产抵押担保。④公司董事会和股东大会均已审议通过该三项担保议案。因此该担保有其必要性和合理性。

上述担保事项的运行程序均符合《上海证券交易所股票上市规则》、《公司章程》等相关规定。

独立董事:戎光道、汤期庆、杨国平、潘飞。

第九节 监事会报告

一、报告期内监事会工作情况

本报告期内监事会召开了四次会议，主要包括：

1、审议通过各项会议议案。监事会审议通过监事会工作报告、审议通过提交股东大会的各项议案。

2、审议公司资产财务状况。审阅公司月度财务报表，邀请资产财务部经理汇报公司的资产财务情况、预算决算情况、中报年报等一系列情况，加强财务监控。

3、检查承诺事项落实情况。监事会十分关注大股东欠款的落实情况，公司四届七次董事会审议通过了关于与华谊集团公司、天原集团公司签定以土地作抵押解决大股东欠款的三方协议，监事会密切关注大股东欠款的完成情况。

4、选举产生新一届监事长。2003 年 12 月 23 日，公司股东大会后，监事会召开五届一次监事会议，选举产生监事长，聘请监事会秘书。

二、监事会对公司 2003 年度有关事项的独立意见：

第一、公司依法召开股东大会、董事会议和监事会议，公司决策程序按照公司章程规定程序进行。

第二、公司财务报告由上海立信长江会计师事务所和香港浩华会计师事务所审计。审计报告认为公司提供的会计报表符合《企业会计准则》和《企业会计制度》的有关规定，客观真实地反映公司的财务状况和经营业绩。

第三、本报告期内会计师事务所出具了标准无保留意见的审计报告。

第四、本报告期内资产置换和关联交易，其价格以经评估确认的价格为基准，符合价格公允的原则；交易按规范程序进行，并按规定披露。

第五、报告期内公司高级管理人员在执行公司职务时，未发现有违反法律、法规、公司章程或损害公司利益的行为。

本报告期内，由于用土地注入解决大股东欠款转让时间较长，董事会审议通过了《关于与华谊集团公司、天原集团公司签订以土地使用权作抵押解决大股东欠款三方协议》，监事会将密切关注董事会承诺的进展情况。

本报告期内，董事会报告中有关公司利润实现数的说明符合本公司客观事实。

第十节 重要事项

一、重大诉讼、仲裁事项。

(一) 报告期内新增诉讼: 2004 年 2 月 27 日, 闵行区人民法院同意恢复执行我公司申请对上海百士高塑胶有限公司执行其归还向我公司借款本金人民币 1800 万元。原先由我公司于 2003 年 8 月 21 日、2003 年 9 月 8 日向上海市闵行区人民法院申请支付令和强制执行该支付令要求被申请人上海百士高塑胶有限公司向我公司归还借款本金人民币 1800 万元, 法院均予以受理, 并向被申请人上海百士高塑胶有限公司签发支付令, 要求其向我公司归还借款。2003 年 10 月 23 日, 法院认为被执行人上海百士高塑胶有限公司财产目前难以处理, 该案无继续执行的条件, 遂裁定终结对该支付令的执行程序。目前该案尚在执行之中。

(二) 已在前一报告期中披露, 但尚未结案的重大诉讼、仲裁事项:

1. 关于本公司诉上海乐安达凉椅有限公司、深圳中侨实业有限公司及上海申大(集团)公司 300 万人民币及 50 万美国执行一案, 在对深圳中侨实业有限公司所持有的深圳中侨发展股份有限公司的法人股首次冻结之期限届满之前, 在本公司申请之下, 上海市闵行区人民法院又前往深圳证券交易所及深圳市工商行政管理局办理了上述法人股续冻手续, 目前该案无其他进展。

2. 因本公司为上海乐安达凉椅有限公司向工商银行贷款提供担保, 本公司已代其向银行偿还贷款本金 215 万美国、50 万人民币及贷款利息。2003 年 9 月 5 日, 本公司向上海市第一中级人民法院提起诉讼, 要求被告上海乐安达凉椅有限公司、黄安林、深圳中侨实业有限公司及上海申大(集团)公司向我公司偿还我公司为上海乐安达凉椅有限公司所代还的贷款本金 215 万美国, 要求被告深圳中侨实业有限公司及上海申大(集团)公司偿还我司为上海乐安达凉椅有限公司所代还的贷款本金 50 万人民币, 要求深圳中侨实业有限公司偿还我司为上海乐安达凉椅有限公司所代还的贷款利息 311161.61 美国, 并要求四被告承担本案全部诉讼费用。上海市第一中级人民法院对该案予以受理, 目前该案尚在审理之中。

3. 2002 年报财务报告或有事项中公布的我公司与中国银行上海市分行、宁波东方经济发展(集团)总公司执行一案, 目前无实质性进展。

二、报告期内收购及出售资产、吸收合并事项的简要情况:

1、2003 年 11 月 18 日, 公司四届七次董事会通过了本公司收购吴泾欣吴实业公司拥有上海华鸿管廊有限公司 31% 的股权的决议, 收购后本公司对该公司的持股比例由原 39% 提高到 70%, 共出资 2800 万元。本公司收购该股权主要考虑到: ①上海华鸿管廊有限公司所经营的乙烯管道将成为公司主导产品聚氯乙烯生产乙烯原料的主要供给线。②华鸿公司有稳定增长的业务, 成长性好回报较高。③乙烯管道连结漕泾上海化工区与吴泾化工区, 是公司实施漕吴联动战略和吴泾基地一体化整合的重要资源。增持股份后有利于加强本公司为对该公司的控制力。详情请见 2003 年 4 月 26 日、2003 年 8 月 16 日、2003 年 11 月 20 日的中国证券报、上海证券报、香港商报

2、2003 年 11 月 18 日, 公司四届七次董事会通过了转让上海天原国际货运有限公司部分股权的议案, 转让股份后本公司对天原国际货运公司的持股比例由原 51% 降低至 30%。本公司转让该股权主要是根据本公司“做强主业, 推进新业”的发展战略, 对现有的物流资源进行整合, 逐步退出控制力差、经营风险难以确定的领域, 以降低投资风险。通过此次股份转让, 本公司可收回现金 600 余万元。详情请见 2003 年 11 月 20 日的中国证券报、

上海证券报、香港商报

三、报告期内重大关联交易事项

（一）购销商品提供劳务发生的关联交易：

报告期内公司以市场价向上海氯碱创业有限公司采购货物总计 146.3 万元，向上海天原国际贸易有限公司采购货物总计 10 万元。向上海氯碱总厂供销公司销售货物总计 75.64 万元，向上海氯威塑料有限公司销售货物总计 755.77 万元，向上海百士高塑胶有限公司销售货物总计 251.80 万元，上海天原国际贸易有限公司销售货物总计 1794.89 万元，向上海氯碱创业有限公司销售货物总计 3994.94 万元。

（二）公司与关联方存在债权、债务往来、担保等事项：

1、公司董事会承诺：2003 年将大股东欠款降到 1 亿元的正常合理水平内。年初制定以国有股回购和土地注入解决大股东欠款的方案，年中启动土地注入的方案，即争取国有资产部门支持，将氯碱的吴泾用地 23 幅土地约 83 万平方米由土地局注入到华谊集团，再由华谊集团按市场评估价注入天原集团，增加天原集团的资本金，然后由天原集团将土地使用权作价用于归还大股东欠款。这样既可解决大股东欠款的问题，又规范了上市公司的土地使用。该土地注入到华谊集团已于 2003 年 7 月完成，后二步的注入因土地使用权转让程序链长，年内难以完成。为此，年底经董事会同意，本公司与华谊集团、天原集团签订了《关于与华谊集团公司、天原集团公司签订以土地使用权作抵押解决大股东欠款三方协议》内容为上海华谊集团公司为保证上海天原集团公司归还公司 3.17 亿元欠款，拟将其拥有的上海闵行区吴泾街道 310、497、507、508、509 街坊共 23 幅地块 834,735 平方米土地使用权抵押给公司，土地评估价值 3.23 亿元。

2、关联担保：报告期内，公司严格遵照《关于上市公司为他人提供担保有关问题的通知》要求，大幅减少因历史原因已形成的关联担保，不增加新的关联担保，以降低担保风险。截止本报告期末公司对外担保额为总额 40999.04 万元（其中关联担保 26488.36 万元，比上年末减少 3967.92，同比下降 13%）。

现有关联担保：

（1）为上海焦化有限公司向银行贷款提供信用担保欧元1653.12、挪威克郎364.65分别于2002年3月—2023年10月到期；

（2）为吴泾化工有限公司向银行贷款提供信用担保美元1081.13万元于2005年12月到期。

上海焦化有限公司、吴泾化工有限公司也为本公司提供担保。

四、报告期内公司重大合同及其履行情况信息：

（一）报告期内，公司无重大托管、承包、租赁其他公司资产或其他公司托管、承包、租赁公司资产事项

(二) 截止 2003 年 12 月 31 日, 公司担保情况如下:

单位: 万元

担保对象名称	发生日期 (协议签署日)	担保金额	担保类型	担保期	是否履行完毕
吴泾化工有限公司	1998. 09	8948. 15	信用	1998. 09-2005. 12	否
上海焦化有限公司	1995. 05	17090. 45	信用	1995. 05-2023. 10	否
上海焦化有限公司	1995. 11	449. 76	信用	1995. 11-2005. 11	否
上海赫克力士化工有限公司	2003. 04	2000. 00	信用	2003. 04-2004. 04	否
拜耳 (上海) 聚合物有限公司	2003. 10	4700. 00	信用	2003. 10-2004. 04	否
上海天原国际货运有限公司	2003. 03	700. 00	信用	2003. 03-2005. 03	否
上海天原化工有限公司	2003. 02	2800. 00	信用	2003. 02-2004. 02	否
上海亨斯迈聚氨酯有限公司	2003. 11	827. 67	信用	2003. 11-2015. 11	否
上海亨斯迈聚氨酯有限公司	2003. 11	1000. 00	信用	2003. 11-2015. 11	否
上海亨斯迈聚氨酯有限公司	2003. 12	2483. 01	信用	2003. 12-2015. 12	否

(三) 在报告期内无委托他人进行现金资产管理事项。

(四) 其他重大合同。

公司或持股 5% 以上股东如在报告期内或持续到报告期内有承诺事项, 公司董事会应说明该承诺事项在报告期内的履行情况。(见本节三、报告期内重大关联交易事项中 (二)、1)

五、聘任、解聘会计师事务所及其情况:

续聘境内审计会计师事务所: 上海立信长江会计师事务所有限公司。境外审计会计师事务所: 浩华会计师事务所。

本年度支付给审计会计师事务所的费用为 142.2 万元。支付上海立信长江会计师事务所有限公司 A 股审计费用 72.2 万元、支付浩华会计师事务所 B 股审计费用 70 万元。

截止 2003 年度, 上海立信长江会计师事务所已为公司提供 A 股审计服务 10 年。浩华会计师事务所自 2001 年度起迄今为公司出具 B 股审计报告, 至今已有 3 年。

六、公司、公司董事会及董事报告期内未有受中国证监会稽查、中国证监会行政处罚、通报批评的情况

七、公司已披露的重要事项的索引:

2003 年 1 月 25 日, 公司公布关于 MDI 项目合资合同及合资公司章程签约的公告。刊登在上海证券报第 39 版、中国证券报第 39 版、香港商报 B6 版。

2003 年 5 月 13 日, 公司公布关于商务部对进口聚氯乙烯反倾销案初裁的公告。刊登在上海证券报第 23 版、中国证券报第 18 版、香港商报 A12 版。

2003 年 9 月 30 日, 公司公布关于商务部对进口聚氯乙烯反倾销案终裁的公告。刊登在上海证券报第 10 版、中国证券报第 13 版、香港商报 B4 版。

第十一节 财务报告

审 计 报 告

信长会师报字(2004)第 10558 号

上海氯碱化工股份有限公司全体股东：

我们审计了后附的上海氯碱化工股份有限公司 2003 年 12 月 31 日的资产负债表和合并的资产负债表、2003 年度的利润及利润分配表和合并的利润及利润分配表，以及 2003 年度现金流量表及合并的现金流量表。这些会计报表的编制是贵公司管理当局的责任，我们的责任是在实施审计工作的基础上对这些会计报表发表意见。

我们按照中国注册会计师独立审计准则计划和实施审计工作，以合理确信会计报表是否不存在重大错报。审计工作包括在抽查的基础上检查支持会计报表金额和披露的证据，评价管理当局在编制会计报表时采用的会计政策和作出的重大会计估计，以及评价会计报表的整体反映。我们相信，我们的审计工作为发表意见提供了合理的基础。

我们认为，上述会计报表符合国家颁布的企业会计准则和《企业会计制度》的规定，在所有重大方面公允地反映了贵公司 2003 年 12 月 31 日的财务状况及 2003 年度经营成果和现金流量。

上海立信长江会计师事务所
有限公司

中国注册会计师

戴定毅
桑琪敏

中国·上海

二〇〇四年三月二十三日

上海氯碱化工股份有限公司 2003 年度会计报表附注

一、公司简介：

上海氯碱化工股份有限公司（以下简称公司）经上海市经委沪经企[1992]307 号文批准于 1992 年 7 月由上海氯碱总厂改制为上海氯碱化工股份有限公司。1992 年 8 月 20 日发行 B 股上市，1992 年 11 月 13 日发行 A 股上市。股票代码：A 股 600618；B 股 900908。公司注册地为：上海市龙吴路 4747 号。公司行业类别：化工类。公司经营范围：生产烧碱、氯、氟和聚氯乙烯系列化工原料及加工产品；化工机械设备，生产用化学品、原辅、包装材料、货物运输，销售自产产品（涉及许可经营的凭许可证经营）。

二、公司采用的主要会计政策、会计估计和合并会计报表的编制方法：

（一）会计制度：执行企业会计准则、《企业会计制度》及其有关的补充规定。

（二）会计年度：公历 1 月 1 日至 12 月 31 日止。

（三）记帐本位币：采用人民币为记帐本位币。

（四）记帐基础和计价原则：以权责发生制为记帐基础，以历史成本为计价原则。

（五）外币业务核算方法：外币业务按发生日中国人民银行公布的市场汇价（中间价）作为折算汇率，折合成人民币记帐，期末外币帐户余额按期末市场汇价（中间价）折合成人民币金额进行调整。外币专门借款帐户期末折算差额，在所购建固定资产达到预定可使用状态前的特定时间段内，按规定予以资本化，计入在建工程成本，其余的外币帐户折算差额均计入财务费用。不同货币兑换形成的折算差额，均计入财务费用。

（六）外币会计报表的折算方法：按照财政部财会字（1995）11 号《关于印发〈合并会计报表暂行规定〉的通知》，除所有者权益类项目（不含未分配利润项目）以发生时的市场汇价折算为人民币外，资产、负债、损益类项目均以合并会计报表决算日的市场汇价折算为人民币。外币报表折算差额在合并资产负债表中单独列示。

(七) 现金等价物的确定标准: 在编制现金流量表时, 将同时具备期限短 (从购买日起, 三个月到期)、流动性强、易于转换为已知现金、价值变动风险很小四个条件的投资, 确定为现金等价物。

(八) 短期投资核算方法:

1、取得的计价方法:

取得投资时按实际支付的价款 (扣除已宣告未领取的现金股利或已到期未领取的债券利息)、相关税费计价。债务重组取得债务人用以抵债的短期投资, 以应收债权的帐面价值为基础确定其入帐价值; 以非货币性交易换入的短期投资, 以换出资产的帐面价值为基础确定其入帐价值。

2、短期投资跌价准备的计提:

中期末及年末, 按成本与收盘价孰低提取或调整短期投资跌价准备。

按投资类别计算并确定计提的跌价损失准备。如某项短期投资占整个短期投资 10% 以上, 则按单项投资为基础计提跌价损失准备。

3、短期投资收益的确认:

短期投资待处置时确认投资收益。在持有期间分得的现金股利和利息, 冲减投资成本或相关应收项目。

(九) 坏帐核算方法:

1、坏帐的确认标准:

对因债务人撤销、破产, 依照法律清偿程序后确实无法收回的应收款项; 因债务人死亡, 既无遗产可清偿, 又无义务承担人, 确实无法收回的应收款项; 因债务人逾期未履行偿债义务并有确凿证据表明, 确实无法收回的应收款项, 按照公司管理权限批准核销。

2、坏帐损失的核算方法: 采用备抵法核算, 按账龄分析法并结合个别认定法估算坏帐损失。

3、坏帐准备的计提方法和计提比例:

应收帐款: 除个别认定外其余按账龄分析法计提;

其他应收款: 按个别认定法计提。

应收帐款坏帐准备按账龄分析法计提的比例:

账 龄	计提比例
一年以内	5%
一至二年	20%
二至三年	50%
三年以上	100%

(十) 存货核算方法:

1、存货分类为:原辅材料、包装物、低值易耗品、在产品、材料成本差异、物资采购、库存商品(包括库存的外购商品、自制商品产品、自制半成品等)、委托加工物资等。

2、取得和发出的计价方法:

日常核算取得时除辅助材料按计划价格核算外,其他均按实际成本核算,月末终了,按发出辅助材料的计划成本计算应摊销的成本差异,换算为实际成本;存货发出时原材料采用加权平均法,产成品按先进先出法计价。

债务重组取得债务人用以抵债的存货,以应收债权的帐面价值为基础确定其入帐价值;非货币性交易换入的存货以换出资产的帐面价值为基础确定其入帐价值。

3、低值易耗品和包装物的摊销方法:

低值易耗品采用一次摊销法;

包装物采用分次摊销法。

4、存货的盘存制度:

采用永续盘存制。

5、存货跌价准备的计提方法:

中期末及年末,对存货进行全面清查后,按存货的成本与可变现净值孰低提取或调整存货跌价准备。

存货跌价准备按存货分类项目计提。

(十一) 长期投资核算方法:

1、取得的计价方法:

长期投资取得时以初始投资成本计价,包括相关的税金、手续费等。债务重组取得债务人用以抵债的股权投资,以应收债权的帐面价值为基础确定其入帐价值;非货币性交易换入的股权投资,以换出资产的帐面价值为基础确定其入帐价值。

2、长期股权投资的核算方法:

对被投资单位无控制、无共同控制且无重大影响的,采用成本法核算;对被投资单位能实施控制、共同控制或重大影响的,采用权益法核算。

按权益法核算长期股权投资确认的股权投资差额,若合同规定投资期限的按投资期限平均摊销;若合同未规定投资期限的按 10 年平均摊销。2003 年 3 月起初始投资成本低于应享有被投资单位净资产份额的差额,计入资本公积(股权投资准备)。

3、长期债权投资的核算方法:

中期末及年末,按合同规定利率或债券票面利率计提利息,并同时按直线法摊销债券投资溢价或折价。

如果计提的利息到期不能收回,停止计息并冲回原已计提的利息。

4、长期投资减值准备的计提：

中期末及年末，按预计可收回金额低于长期投资帐面价值的差额，计提长期投资减值准备。

长期投资减值准备按个别投资项目计算确定。

（十二）委托贷款核算方法：

企业对委托金融机构贷出的款项，按实际委托的贷款金额入帐。期末，按照委托贷款合同规定的利率计提应收利息。如果计提的利息到期不能收回，则停止计息并冲回原已计提的利息。

中期末及年末，对委托贷款可收回金额低于贷款本金的差额，计提委托贷款减值准备。

（十三）固定资产计价和折旧方法：

1、固定资产标准：指为生产商品、提供劳务、出租或经营管理而持有的并且使用期限超过一年、单位价值在 2,000 元以上的有形资产。

2、固定资产的分类：房屋及建筑物、机器设备、运输设备、其他设备；

3、固定资产的取得计价：

日常核算中遵循实际成本计价原则计价。

债务重组取得债务人用以抵债的固定资产，以应收债权的帐面价值为基础确定其入帐价值；非货币性交易换入的固定资产，以换出资产的帐面价值为基础确定其入帐价值。

融资租入的固定资产，按租赁开始日租赁资产的原帐面价值与最低租赁付款额的现值两者中较低者作为入帐价值，如果融资租赁资产占企业资产总额等于或小于 30% 的，则按最低租赁付款额作为入帐值。

4、固定资产折旧采用平均年限法分类计提。根据固定资产类别、预计使用年限和预计净残值率确定折旧率。

类 别	预计使用年限	净残值率	年折旧率
房屋建筑物	20—40 年	4%	2.4%—4.8%
机器设备	8—15 年	4%	6.4%—12%
运输设备	8 年	4%	12%
其他设备	5—10 年	4%	9.6%—19.2%

符合资本化条件的固定资产装修费用，在两次装修期间与固定资产尚可使用年限两者中较短的期间内，采用平均年限法单独计提折旧；经营租赁方式租入的固定资产改良支出，在剩余租赁期与租赁资产尚可使用年限两者中较短的期间内，采用平均年限法单独计提折旧。

融资租赁方式租入的固定资产，能合理确定租赁期届满时将会取得租赁资产所有权的，在租赁资产尚可使用年限内计提折旧；无法合理确定租赁期届满时能够取得租赁资产所有权的，在租赁期与租赁资产尚可使用年限两者中较短的期间内计提折旧。融资租赁方式租入的固定资产发生的符合资本化条件的装修费用，

在两次装修期间、剩尚租赁期与固定资产尚可使用年限三者中较短的期间内，采用平均年限法单独计提折旧。

5、固定资产减值准备的计提：

中期末及年末，对由于市价持续下跌、技术陈旧、实体损坏、长期闲置等原因导致其可收回金额低于帐面价值的，按预计可收回金额低于其帐面价值的差额，计提固定资产减值准备。

固定资产减值准备按单项资产计提。

（十四）在建工程核算方法：

1、取得的计价方法：

以立项项目分类核算工程发生的实际成本，当所建工程项目达到预定可使用状态时，转入固定资产核算，尚未办理竣工决算的，按估计价值转帐，待办理竣工决算手续后再作调整。

2、在建工程减值准备的计提：

中期末及年末，对于长期停建并预计在未来三年内不会重新开工的在建工程，或在性能、技术上已落后且给企业带来经济利益具有很大不确定性的在建工程，计提在建工程减值准备。

在建工程减值准备按单项工程计提。

（十五）无形资产核算方法：

1、取得的计价方法：按取得时的实际成本入帐；

债务重组取得债务人用以抵债的无形资产，按应收债权的帐面价值为基础确定其入帐价值；非货币性交易换入的无形资产，按换出资产的帐面价值为基础确定其入帐价值。

2、摊销方法：采用直线法。相关合同与法律两者中只有一方规定受益年限或有效年限的，按不超过规定年数的期限平均摊销；两者均规定年限的按孰低者平均摊销；两者均未规定年限的按不超过十年的期限平均摊销。

3、无形资产减值准备的计提：

中期末及年末，对于因被其他新技术替代、市价大幅下跌而导致创利能力受到重大不利影响或下跌价值预期不会恢复的无形资产，按预计可收回金额低于其帐面价值的差额，计提无形资产减值准备。

无形资产减值准备按单项资产计提。

（十六）长期待摊费用摊销方法：

1、开办费转销方法：在开始生产经营的当月一次计入损益。

2、其他长期待摊费用摊销方法：在受益期内平均摊销，其中：

预付经营租入固定资产的租金，按租赁合同规定的期限平均摊销。

（十七）借款费用：

1、借款费用资本化的确认原则：

专门借款的辅助费用在所购建资产达到预定可使用状态前，予以资本化，若金额较小则直接计入当期损益。

专门借款的利息、溢折价摊销、汇兑差额开始资本化应同时满足以下三个条件：资产支出已经发生；借款费用已经发生；为使资产达到预定可使用状态所必要的购建活动已经开始。

当购建资产项目发生非正常中断且连续三个月或以上时，借款费用暂停资本化。当购建资产项目达到预定可使用状态后，借款费用停止资本化。

当购建资产中部分项目分别完工且可单独使用时，该部分资产借款费用停止资本化。

普通借款的借款费用和不符合资本化规定的专门借款的借款费用，均计入发生当期损益。

2、借款费用资本化期间：

按季度计算借款费用资本化金额。

3、专门借款的借款费用资本化金额的确定方法：

每一会计期间利息的资本化金额=至当期末止购建固定资产累计支出加权平均数×借款加权平均利率。

允许资本化的辅助费用、汇兑差额按实际发生额直接资本化。

（十八）预计负债：

与或有事项相关的义务同时符合以下条件时，公司将其列为预计负债：

- 1、该义务是企业承担的现时义务；
- 2、该义务履行很可能导致经济利益流出企业；
- 3、该义务金额可以可靠地计量。

（十九）收入确认原则：

1、销售商品：公司已将商品所有权上的重要风险和报酬转移给买方；公司不再对该商品实施继续管理权和实际控制权；与交易相关的经济利益能够流入企业；相关的收入和成本能可靠地计量时，确认营业收入实现。

2、提供劳务：在同一年度内开始并完成，在劳务已经提供，收到价款或取得收取价款的依据时，确认劳务收入的实现；如劳务的开始和完成分属不同的会计年度，在提供劳务交易的结果能够可靠估计的情况下，在资产负债表日按完工百分比法确认相关的劳务收入。

3、让渡资产使用权：与交易相关的经济利益能够流入企业，收入的金额能可靠地计量时，按合同或协议规定确认为收入。

（二十）所得税的会计处理方法：采用应付税款法。

（二十一）合并会计报表的编制方法：

1、合并会计报表按照《合并会计报表暂行规定》及有关文件，以母公司和纳入合并范围的子公司的个别会计报表以及其他资料为依据进行编制。但对行业特殊及子公司规模较小，符合财政部财会二字（1996）2号《关于合并会计报表合并范围请示的复函》文件的规定，则不予合并。合并时对内部权益性投资与子公司所有者权益、内部投资收益与子公司利润分配、内部交易事项、内部债权债务进行抵销，对合并盈余公积进行调整。对纳入合并范围的合营企业，采用比例合并法编制合并会计报表。

2、母公司与子公司采用的会计政策和会计处理方法无重大差异。

三、税项：

（一）公司主要税种和税率为：

税 种	税 率	
增值税	13%、17%	其中：13%适用于蒸汽销售
营业税	3%、5%	其中：3%适用于运输收入
所得税	15%、33%	

（二）税负减免：

经上海市科学技术委员会沪科合（2002）第 009 号“关于核准 2002 年度第二批上海市高新技术企业的通知”核准，公司按上海市高新技术企业享受所得税税率 15% 的税收优惠；

子公司上海天原物流有限公司根据上海市地方税务局宝山区分局宝税城字第 2031029 号文，2001 年至 2002 年免征所得税，2003 年至 2004 年所得税减半按 15% 计征。

四、控股子公司及合营企业：

（一）公司所控制的所有子公司、合营企业情况及其合并范围：

被投资单位全称	业务性质	注册资本 (万元)	经营范围	本公司投资 额(万元)	本公司所占 投资比例	是否 合并
上海氯碱总厂供销公司		73.44	化工贸易	73.44	100%	否
上海乐凯国际贸易公司		美元 105.00	化工贸易	608.14	100%	是
上海氯碱化工房产经营开发公司		1,500.00	房产开发	1,500.00	100%	否
上海氯碱化工贸易有限公司		10,000.00	化工贸易	9,000.00	90%	是
苏州姑苏经济发展总公司		1,000.00	停车场	800.00	80%	是
苏州坝基桥旅游车停车场 (注 1)		74.3	停车场	74.3	100%	是
上海天原国际货运有限公司		美元 348.19	国际货运	1,273.90	51%	是
上海工程化学设计院有限公司		2,100.00	工程设计	1,020.00	48.57%	否
上海天原(集团)高分子材料有限公司		3,200.00	化工产品	2,880.00	90%	否
上海天原物流有限公司		2,200.00	物 流	1,824.24	82.92%	否
上海天原化工有限公司		12,617.50	化工产品	9,617.00	76.22%	是
上海金源自来水有限公司(注 2)		900.00	自来水	700.00	77.78%	是
上海达凯塑胶有限公司		4,347.76	塑胶制品	3,912.98	90%	是
苏州天原物流有限公司 (注 3)		美元 120.00	物 流	美元 90.00	75%	否
上海氯威塑料有限公司		4,351.00	化工产品	2,175.50	50%	否
上海助剂厂有限公司		3,497.00	化工助剂	2,977.00	85.13%	是
上海天泰化工实业总公司(注 4)		250.00	化工产品	250.00	100%	否
上海天助化工有限公司 (注 5)		325.00	化工产品	227.50	70%	否

注 1：苏州坝基桥旅游车停车场由子公司苏州姑苏经济发展总公司投资 100%；

注 2：上海金源自来水有限公司由子公司上海天原化工有限公司投资 77.78%；

注 3：苏州天原物流有限公司系中外合资企业，其申请登记的注册资本为美元 120.00 万元，由子公司上海天原物流有限公司投资 60%；子公司上海氯碱化工贸易有限公司投资 15%；

注 4：上海天泰化工实业有限公司由子公司上海助剂厂有限公司投资 100%；

注 5：上海天助化工有限公司由子公司上海助剂厂有限公司投资 70%。

（二）未纳入合并会计报表范围的子公司：

1、本年度减少合并单位 1 家，未纳入合并会计报表范围的子公司共 9 家，详见上述附注四（一）。

2、未纳入合并范围的原因系该 9 家子公司加总的资产总额、销售收入和本期净利润占母子公司资产总额、销售收入和净利润的比例均在 10% 以下。

3、对财务状况及经营成果的影响：

未纳入合并会计报表范围的子公司加总的资产总额为 174,592,640.06 元，占母、子公司资产总额的 3.20%；销售收入为 39,817,531.16 元，占母、子公司收入的 0.98%；净利润 1,895,049.99 元，占母公司净利润的 7.88%。对未纳入合并会计报表范围的子公司净利润母公司已按权益法核算，计入投资收益。

五、合并会计报表主要项目注释：（以下金额单位除注明者外均为人民币元，凡未注明期初数的均为期末数）

（一）货币资金：

项目	期末数	期初数
现 金	370,113.15	530,631.05
银行存款	761,315,946.55	900,333,870.27
其他货币资金	16,007,631.36	12,681,730.83
合计	777,693,691.06	913,546,232.15

其中：

美元金额	1,060,332.36	10,029,117.18
折算汇率	8.2767	8.2773
折合人民币	8,776,052.84	83,014,011.63
日元金额	-	185,398.00
折算汇率		0.069035
折合人民币	-	12,798.95
港币金额	5,015.34	-
折算汇率	1.06	
折合人民币	5,316.26	-

（二）短期投资和短期投资跌价准备：

项 目	期 末 数		期 初 数	
	帐面余额	跌价准备	帐面余额	跌价准备
股票投资	---	---	36,000.00	---
其他债权投资	2,000,000.00	2,000,000.00	4,000,000.00	4,000,000.00
合计	2,000,000.00	2,000,000.00	4,036,000.00	4,000,000.00

其他债权投资期末数:

项目	金 额	跌价准备
国信实业(建行四支行委贷)	2,000,000.00	2,000,000.00

(三) 应收票据:

种 类	期末数	期初数
商业承兑汇票	43,878,611.95	93,189,647.42
银行承兑汇票	116,552,208.63	81,030,661.18
合 计	160,430,820.58	174,220,308.60

期末向其他单位背书转让未到期的商业承兑汇票 4,321,985.63 元。详见附注八。

(四) 应收帐款:

1、帐龄分析:

帐 龄	期 末 数				期 初 数			
	帐面余额	占总额	坏帐准备	坏帐准备	帐面余额	占总额	坏帐准备	坏帐准备
		比例	计提比例			比例	计提比例	
1 年以内	149,915,260.99	57.73%	5.00%	7,495,763.08	186,392,001.78	66.84%	5.00%	9,319,600.09
1 至 2 年	25,604,114.63	9.85%	20.00%	12,405,907.91	34,109,761.34	12.23%	20.00%	7,486,503.76
2 至 3 年	30,204,637.23	11.63%	50.00%	21,884,371.54	24,422,035.05	8.76%	50.00%	12,211,017.53
3 年以上	53,999,664.50	20.79%	100.00%	53,999,664.50	33,922,329.60	12.17%	100.00%	33,922,329.60
合计	259,723,677.35	100.00%	---	95,785,707.03	278,846,127.77	100.00%	---	62,939,450.98

2、期末应收帐款欠款金额前五名的累计总欠款金额为 25,780,408.00 元, 占应收帐款总金额的 9.93%。

3、至本年度,除按公司会计政策计提的坏帐准备外, 全额计提坏帐准备, 或计提坏帐准备比例达到 40% 及以上的说明:

欠款单位名称	欠款金额	计提金额	理由
上海棱光实业股份有限公司	4,225,499.25	3,085,160.12	预计难以全额收回
上海树脂厂有限公司	3,962,262.50	2,331,632.63	预计难以全额收回
上海蓓玲发展有限公司	2,775,547.98	2,417,593.87	预计难以全额收回
绍兴市兴源化工物资有限公司	2,469,157.10	2,469,157.10	预计难以全额收回
江苏华康药用包装材料厂	772,396.04	772,396.04	预计难以全额收回
上海实业塑胶制品有限公司	2,290,762.16	2,290,762.16	预计难以全额收回
上海琥珀塑料制品有限公司	2,346,143.95	2,346,143.95	预计难以全额收回
上海明光通讯机电实业有限公司	2,788,018.00	2,788,018.00	预计难以全额收回
上海亚银化工有限公司	2,751,888.11	2,751,888.11	预计难以全额收回
其他	2,050,000.00	2,050,000.00	预计难以全额收回

4、本年度实际冲销的应收帐款：

欠款单位名称	性质	冲销金额	冲销理由	是否涉及关联交易
长兴小浦经济区供销合作社	货款	185,496.63	企业破产	否
湖北丹江口医疗器械厂	货款	43,665.00	企业破产	否
通州市壹名塑胶制品厂	货款	750,987.50	法院终结	否
红旗药棉厂	货款	8,006.80	企业破产	否
南通化工药业原材料公司经营部	货款	940,817.39	法院终结	否
建发工贸实业公司	货款	385,115.00	法院终结	否
上海建筑材料厂	货款	273,528.22	法院终结	否

5、期末应收帐款中持本公司 5%以上（含 5%）表决权股份的股东欠款为 368.3 万元，详见本附注七。

（五）其他应收款：

1、帐龄分析：

帐龄	帐面余额	期末数			帐面余额	期初数		
		占总额 比例	坏帐准备 计提比例	坏帐准备		占总额 比例	坏帐准备 计提比例	坏帐准备
1 年以内	40,631,179.12	7.65%	0.52%	211,691.90	62,605,757.52	11.89%	---	656.25
1 至 2 年	36,741,634.34	6.92%	---	---	65,571,370.51	12.45%	---	---
2 至 3 年	46,792,330.47	8.81%	---	---	82,643,187.22	15.69%	---	---
3 年以上	406,739,333.01	76.62%	38.38%	156,108,022.05	315,762,609.31	59.97%	49.83%	157,341,512.16
合计	530,904,476.94	100.00%	---	156,319,713.95	526,582,924.56	100.00%	29.88%	157,342,168.41

2、期末其他应收款欠款金额前五名的累计总欠款金额为 413,641,881.69 元，占其他应收款总金额的比例为 77.91%。

3、至本年末已全额计提坏帐准备，或计提坏帐准备比例达到 40% 及以上的说明：

欠款单位名称	欠款金额	计提比例	理由
崇明加工单位	1,400,000.00	100%	三年以上预计无法收回
国信实业委贷	286,110.00	100%	三年以上预计无法收回
吴县木渎水泥厂	728,640.00	100%	三年以上预计无法收回
洋浦乐欣实业有限公司	39,344,205.00	100%	三年以上预计无法收回
中建房产田菱公司	1,330,460.24	100%	三年以上预计无法收回
莱德汽车公司	1,257,371.88	100%	三年以上预计无法收回
上海百士高塑胶有限公司	19,518,081.87	80%	三年以上预计无法收回
乐安达担保	21,934,405.00	100%	三年以上预计无法收回
乐安达借款	12,000,581.67	100%	三年以上预计无法收回

4、以前年度已全额或大比例计提坏帐准备，本年度又全额或部分收回的说明：

欠款单位名称	收回金额	收回方式	原估计计提比例理由	原估计计提比例的合理性
三年以上电化厂老帐	1,099,156.49	货币	三年以上预计无法收回	系按帐龄计提

5、本年度实际冲销的其他应收款：

欠款单位名称	性质	冲销金额	冲销理由	是否涉及关联交易
长兴小浦	欠款	1,625,000.00	企业破产	否

6、金额较大的其他应收款：

欠款单位名称	金 额	性质或内容	是否关联
上海天原（集团）有限公司	317,245,189.82	资产转让及日常往来	是
洋浦乐欣实业有限公司	39,344,205.00	往来款	是
上海百士高塑胶有限公司	19,518,081.87	往来款	是
太平洋生物高科技有限公司	15,600,000.00	往来款	否

7、期末其他应收款中持本公司 5%以上（含 5%）表决权股份的股东欠款为 317,245,189.82 万元，详见本附注七。

（六）预付帐款：

1、帐龄分析：

帐龄	期末数		期初数	
	金额	占总额比例	金额	占总额比例
1 年以内	50,206,198.14	92.54%	26,935,043.67	93.25%
1 至 2 年	3,882,136.10	7.16%	132,541.50	0.46%
2 至 3 年	14,408.35	0.02%	73,188.50	0.25%
3 年以上	150,000.00	0.28%	1,743,975.90	6.04%
合计	54,252,742.59	100.00%	28,884,749.57	100.00%

2、期末预付帐款中无持本公司 5%以上（含 5%）表决权股份的股东单位欠款。

（七）存货及存货跌价准备：

项目	期末数		期初数	
	帐面余额	跌价准备	帐面余额	跌价准备
原辅材料	217,535,581.46	33,095,688.24	196,361,408.65	34,487,204.36
在产品	58,438,509.13	---	46,173,717.55	3,630.63
产成品	17,568,455.32	1,607,022.79	---	---
包装物	3,982,616.43	3,237.00	4,334,764.85	3,237.00
低值易耗品	845,582.36	588,956.31	854,571.08	401,959.12
库存商品	55,032,190.37	1,844,684.10	64,114,984.71	2,856,144.84
自制半成品	263,620.51	3,630.63	---	---
物资采购	44,742,098.16	---	26,965,737.76	---
合 计	398,408,653.74	37,143,219.07	338,805,184.60	37,752,175.95

期末存货按成本高于可变现净值的差额计提存货跌价准备，确定可变现净值的依据为：存货的期末市场价。

(八) 待摊费用:

类别	期初数	本期增加	本期摊销	期末数
保险费	611,815.92	6,169,022.31	6,358,761.87	422,076.36
养路费	125,417.50	-125,417.50	---	---
租赁费	89,033.32	226,760.00	150,360.00	165,433.32
其 他	38,047.50	8,487.60	38,047.50	8,487.60
合 计	864,314.24	6,278,852.41	6,547,169.37	595,997.28

(九) 长期投资:

项目	期末数		期初数	
	帐面余额	减值准备	帐面余额	减值准备
长期股权投资	435,978,573.50	44,040,000.00	270,568,450.38	29,175,000.00
长期债权投资	1,000,000.00	---	---	---
合计	436,978,573.50	44,040,000.00	270,568,450.38	29,175,000.00

1、长期股权投资:

(1) 股票投资:

被投资公司名称	股份类别	股票数量	占被投资公司注册 资本的比例%	初始投资成本	帐面余额	减值准备
上海棱光实业股份有限公司	法人股	819,720	<1	824,934.00	824,934.00	---
上海龙头(集团)股份有限公司	法人股	720,000	<1	2,400,000.00	2,400,000.00	---
上海市第一食品股份有限公司	法人股	601,344	<1	1,360,896.00	1,360,896.00	---
上海华联商厦股份有限公司	法人股	718,740	<1	1,999,000.00	1,999,000.00	---
上海第一百货股份有限公司	法人股	528,528	<1	1,957,230.00	1,957,230.00	---
ST 上海嘉宝实业股份有限公司	法人股	1,497,600	<1	3,992,000.00	3,992,000.00	---
上海轮胎橡胶(集团)股份有限公司	法人股	143,000	<1	690,000.00	690,000.00	---
上海白猫股份有限公司	法人股	1,452,000	<1	6,002,000.00	6,002,000.00	---
上海申达纺织股份有限公司	法人股	290,400	<1	636,800.00	636,800.00	---
上海丰华(集团)股份有限公司	法人股	475,200	<1	1,789,797.60	1,789,797.60	---
中国纺织机械股份有限公司	法人股	858,000	<1	2,095,000.00	2,095,000.00	---
上海石化股份有限公司	法人股	300,000	<1	900,000.00	900,000.00	---
上海电器股份有限公司	法人股	240,000	<1	920,000.00	920,000.00	---
上海永生数据股份有限公司	法人股	547,515	<1	2,276,100.00	2,276,100.00	---
上海三九发展股份有限公司	法人股	166,980	<1	375,800.00	375,800.00	---
申银万国股份有限公司	法人股	1,100,000	<1	1,250,000.00	1,250,000.00	---
上海东方明珠股份有限公司	法人股	1,200,000	<1	5,300,000.00	5,300,000.00	---
上海爱建股份有限公司	法人股	833,354	<1	3,033,600.00	3,033,600.00	---
上海三爱富新材料股份有限公司	法人股	264,010	<1	360,000.00	360,000.00	---
上海新锦江股份有限公司	法人股	380,160	<1	1,130,400.00	1,130,400.00	---
上海申能股份有限公司	法人股	200,000	<1	560,000.00	560,000.00	---
海通证券股份有限公司	法人股	13,249,501	<1	10,200,000.00	10,200,000.00	---

上海金陵股份有限公司	法人股	5,346,619	1.1	4,705,200.00	4,705,200.00	---
上海水仙电器股份有限公司	法人股	2,640,000	1.13	9,440,000.00	9,440,000.00	9,440,000.00
上海宏盛科技发展股份有限公司	法人股	1,210,000	1.47	2,637,040.00	2,637,040.00	---
上海宝鼎投资股份有限公司	法人股	62,500	<1	62,500.00	62,500.00	---
交通银行	法人股	80,140		80,140.00	80,140.00	---
合 计				66,978,437.60	66,978,437.60	9,440,000.00

以上均为不流通的法人股，期末无市价。

(2) 其他股权投资：

A、成本法核算的股权投资：

被投资单位名称	投资起止期	占被投资单位		期初余额	本期投资增减额	期末帐面余额
		注册资本比例				
拜耳（中国）聚合物有限公司	2002-2052	10%		16,946,543.25	6,530,395.20	23,476,938.45
上海化工实业总公司	1997—无定期	20%		10,000,000.00	---	10,000,000.00
宁波东方经济发展公司	1993—2003	6%		30,000,000.00	---	30,000,000.00
天地氯碱化工公司	1993—	---		1,400,000.00	---	1,400,000.00
上海化学建材公司	---	---		100,000.00	-100,000.00	---
上海管理大厦	---	---		100,000.00	---	100,000.00
上海电子材料开发公司	---	---		100,000.00	---	100,000.00
上海企业管理协会	---	---		50,000.00	---	50,000.00
上海化工对外技术公司	---	---		35,000.00	-35,000.00	---
上海莱德汽车服务公司	---	---		750,000.00	---	750,000.00
上海文化发展基金会	---	10%		2,000,000.00	---	2,000,000.00
电化联营厂	---	---		200,000.00	---	200,000.00
上海长江保险经纪有限公司	---	10%		--	1,500,000.00	1,500,000.00
上海联恒异氰酸脂有限公司	---	15%		---	20,994,300.00	20,994,300.00
上海洋浦实业贸易有限公司	---	10%		1,000,000.00	---	1,000,000.00
上海天坛科技咨询开发公司	---	33.33%		100,000.00	-100,000.00	---
苏州天原物流有限公司	--	15.00%		3,989,878.00	-2,500,000.00	1,489,878.00
合 计	---	---		66,771,421.25	26,289,695.20	93,061,116.45

B、权益法核算的对子公司股权投资

被投资单位名称	投资期限	投资投资单位 注册资本比例	期初		本期权益增减额				期末余额		
			余额	合计增减	其中：投资成本	确认损益	差额摊销	分得利润	初始金额	累计权益增减	帐面余额
上海氯碱总厂供销公司	1991-无定期	100%	981,228.78	-981,228.78	-1,341,592.88	360,364.10	---	---	---	---	---
上海氯碱化工房产经营开发公司	1993-无定期	100%	18,630,840.86	194,879.26	---	592,880.69	---	398,001.43	15,000,000.00	3,825,720.12	18,825,720.12
上海天原物流有限公司	2002-2032	82.92%	---	19,693,774.66	---	1,258,292.90	33,119.07	590,784.00	12,962,500.00	6,731,274.66	19,693,774.66
天原（集团）高分子材料有限公司	2000—	90%	28,800,000.00	---	---	---	---	---	28,800,000.00	---	28,800,000.00
上海天泰化工实业总公司		100%	641,578.82	-17,293.84	---	-17,293.84	---	---	2,500,000.00	-1,875,715.02	624,284.98
上海天助化工有限公司		70%	2,283,092.92	1,924.54	---	1,924.54	---	---	2,275,000.00	10,017.46	2,285,017.46
合计			51,336,741.38	18,892,055.84	-1,341,592.88	2,196,168.39	33,119.07	988,785.43	61,537,500.00	8,691,297.22	70,228,797.22

C、权益法核算的对联营企业股权投资

被投资	投资	投资投资单位	期初	本期权益增减额				期末余额			
单位名称	期限	注册资本比例	余额	合计增减	其中：投资成本	确认损益	差额摊销	分得利润	初始金额	累计权益增减	帐面余额
上海工程化学设计院有限公司	1999-2019	48.57%	10,430,338.68	1,192,332.10	---	1,105,222.29	---	76,500.00	10,200,000.00	1,422,670.78	11,622,670.78
上海赫克力士化工有限公司	1994-2044	40%	11,572,485.68	2,079,055.20	---	2,079,055.20	---	---	21,869,015.00	-8,217,474.12	13,651,540.88
上海氯威塑料有限公司	1993-2022	50%	28,106,604.51	-2,357,150.89	---	-1,367,839.64	10,688.75	1,000,000.00	21,648,112.50	4,101,341.12	25,749,453.62
上海燕托计算机投资有限公司	2001-2011	40%	665,693.85	43,246.59	---	43,246.59	---	---	1,000,000.00	-291,059.56	708,940.44
上海华胜化工有限公司	2003-	44%	---	44,000,000.00	44,000,000.00	---	---	---	44,000,000.00	---	44,000,000.00
宁夏西部聚氯乙烯有限公司	2003-2023	30%	---	30,000,000.00	30,000,000.00	---	---	---	30,000,000.00	---	30,000,000.00
上海华鸿管廊有限公司	2003-2013	70%	---	28,000,000.00	28,000,000.00	---	---	---	28,000,000.00	---	28,000,000.00
上海亨斯迈聚氯脂有限公司	2003-2053	30%	---	22,113,068.94	22,113,068.94	---	---	---	22,113,068.94	---	22,113,068.94
吴县市天原消石灰厂	2002-	45%	2,237,863.35	96,381.33	---	100,549.92	-4,168.59	---	2,179,932.68	154,312.00	2,334,244.68
上海新天原化工物流有限公司		49.50%	---	4,900,000.00	4,900,000.00	---	---	---	4,900,000.00	---	4,900,000.00
上海北洋储运有限公司	2001-2031	20%	7,288,236.94	-7,288,236.94	---	---	---	---	5,960,000.00	-5,960,000.00	---
上海危险化学品交易有限公司	15 年	28%	1,960,000.00	-80,665.24	---	-80,665.24	---	---	1,960,000.00	-80,665.24	1,879,334.76
上海帝龙俱乐部有限公司	---	48%	67,020.98	-67,020.98	---	-67,020.98	---	---	67,020.98	-67,020.98	---
合计	---	---	62,328,243.99	122,631,010.11	129,013,068.94	1,812,548.14	6,520.16	1,076,500.00	193,897,150.10	-8,937,896.00	184,959,254.10

注：公司对上海华鸿管廊有限公司不具有实质性控制关系。

2、长期债权投资：

其他债权投资：

被投资单位	初始投资成本	年利率	到期日	期初余额	本期利息	累计应收	期末	减值准备
南方避增值基金	1,000,000.00	---	---	---	---	---	1,000,000.00	---

3、长期投资减值准备

长期股权投资减值准备：

被投资单位名称	期初金数	本期增加	本期减少	期末余额	计提原因
宁波东方经济发展集团总公司	15,000,000.00	15,000,000.00	---	30,000,000.00	该投资估计无法收回
电化联营厂	200,000.00	---	---	200,000.00	该投资估计无法收回
天地氯碱化工公司	1,400,000.00	---	---	1,400,000.00	系摊派投资，历年无返利
上海化学建材公司	100,000.00	-100,000.00	---	---	---
上海管理大厦	100,000.00	---	---	100,000.00	系摊派投资，历年无返利
上海电子材料开发公司	100,000.00	---	---	100,000.00	系摊派投资，历年无返利
上海企业管理协会	50,000.00	---	---	50,000.00	系摊派投资，历年无返利
上海化工对外技术公司	35,000.00	-35,000.00	---	---	---
上海莱德汽车服务公司	750,000.00	---	---	750,000.00	公司歇业
上海文化发展基金会	2,000,000.00	---	---	2,000,000.00	系摊派投资，历年无返利
上海水仙电器股份有限公司	9,440,000.00	---	---	9,440,000.00	公司净资产负数
合 计	29,175,000.00	14,865,000.00	---	44,040,000.00	---

4、构成合并价差的股权投资差额：

被投资单位名称	初始金额	摊销期限	本期摊销	摊余金额
上海氯碱化工贸易有限公司	1,510,901.67	2000-2010	151,090.17	906,541.00
上海助剂厂	11,553,688.90	2001-2011	1,155,368.89	8,087,582.23
上海达凯塑胶有限公司	-4,700,821.98	2003-2013	-470,082.20	-4,230,739.78
上海天原化工有限公司	18,808,923.16	2002-2012	1,880,892.32	15,987,584.68
合计	27,172,691.75		2,717,269.18	20,750,968.13

5、长期投资期末数比期初数增加 166,410,123.12 元，增加比例为 61.50%，增加原因为：本期新增对上海华胜化工有限公司等六家的投资。

(十) 固定资产原价及累计折旧：

1、固定资产原价：

类别	期初数	本期增加	本期减少	期末数
房屋及建筑物	938,306,056.88	36,646,377.11	10,693,170.17	964,259,263.82
机器设备	2,959,133,058.71	106,197,296.77	57,104,929.33	3,008,225,426.15
运输设备	97,433,020.11	11,475,776.89	16,758,319.92	92,150,477.08
其他设备	346,649,186.71	10,526,422.07	1,180,179.77	355,995,429.01
合计	4,341,521,322.41	164,845,872.84	85,736,599.19	4,420,630,596.06

其中：本期由在建工程转入固定资产原值为 152,889,227.81 元。

本期新增固定资产中尚须支付的金额为 481,629.66 元。

期末抵押或担保的固定资产详见附注九（三）。

2、累计折旧：

类别	期初数	本期增加	本期提取	本期减少	期末数
房屋及建筑物	281,941,493.07	17,433.93	34,556,955.17	2,467,808.62	314,048,073.55
机器设备	1,511,845,303.06	---	205,643,362.58	46,794,074.31	1,670,694,591.33
运输设备	54,324,554.82	221,907.90	8,503,451.85	5,918,121.74	57,131,792.83
其他设备	216,306,253.76	5,390.16	22,163,082.84	1,029,637.79	237,445,088.97
合计	2,064,417,604.71	244,731.99	270,866,852.44	56,209,642.46	2,279,319,546.68

3、固定资产减值准备：

类别	期初数	本期增加	本期减少	期末数	计提原因
房屋及建筑物	19,377,680.00	---	2,406,176.42	16,971,503.58	可收回金额低于账面价值
通用设备	48,043,557.82	---	1,486,187.96	46,557,369.86	可收回金额低于账面价值
专用设备	3,789,666.96	---	-320,472.13	4,110,139.09	可收回金额低于账面价值
运输设备	687,218.55	---	216,455.67	470,762.88	可收回金额低于账面价值
其他设备	271,138.83	---	---	271,138.83	可收回金额低于账面价值
合计	72,169,262.16	---	3,788,347.92	68,380,914.24	

本期固定资产减值准备减少系因相关的固定资产于本期内报废处置，而相应结转。

4、已提足折旧仍继续使用的固定资产：

类别	账面价	累计折旧	账面净值
房屋及建筑物	21,895,469.99	21,345,497.11	549,972.88
通用设备	439,792,105.71	423,301,270.01	16,490,835.70
运输工具	28,189,585.55	26,723,173.63	1,466,411.92
其他	67,111,240.42	64,641,275.60	2,469,964.82
合计	556,988,401.67	536,011,216.35	20,977,185.32

(十一) 工程物资：

类 别	期末数	期初数
专用材料	173,435.51	237,427.82
专用设备	62,450.15	1,060,325.65
预付大型设备款	121,534,252.83	32,163,101.78
合 计	121,770,138.49	33,460,855.25

(十二) 在建工程：

1、工程项目名称	预算数	期初数	本期增加	本期减少		期末数	资金来源	工程投入占
	万元			本期转入固定资产	其他减少			预算比例
清污分流北排工程	25,000	---	---	---	---	---	自筹	100%
裂解炉改造工程	3,060	7,692,115.00	---	---	---	7,692,115.00	自筹	25%
A/B 裂解炉节能工程	3,294	1,703,856.00	24,244,209.07	---	---	25,948,065.07	自筹、贷款	5.56%
职工住房参建项目	5,500	4,467,078.19	---	---	150,000.00	4,317,078.19	自筹	18%
科研技措项目	12,559	61,975,178.24	51,019,916.54	68,778,837.13	---	44,216,257.65	自筹	95%
电化厂报废重置项目	716	3,824,107.51	7,659,435.41	6151957.05	---	5,331,585.87	自筹	38%
模型展示馆工程	210	1,695,320.00	509,870.00	2,205,190.00	---	---	自筹	81%
7 万吨 PVC 专用树脂	68,622	140,127,532.40	177,648,011.99	---	---	317,775,544.39	自筹、贷款	3%
PVC 厂报废重置项目	1,379	8,367,203.21	13,639,062.72	9,585,363.35	---	12,420,902.58	自筹	84%
聚氯乙烯糊状树脂装置扩产	3,822	---	9,542,366.32	---	---	9,542,366.32	贷款	
其他零星工程		59,826,284.62	34,539,285.50	66,167,880.28	12,798,193.32	15,399,496.52	自筹	
合 计		289,678,675.17	318,802,157.55	152,889,227.81	12,948,193.32	442,643,411.59		

2、其中利息资本化金额：

工程项目名称	期初数	本期增加	期末数
聚氯乙烯糊状树脂装置扩产	---	8,080.69	8,080.69
A/B 裂解炉节能工程	---	193,884.84	193,884.84
7 万吨 PVC 专用树脂	3,998,362.25	14,149,770.95	18,148,133.20
合 计	3,998,362.25	14,351,736.48	18,350,098.73

3、在建工程减值准备:

工程项目名称	期初数	本期增加	本期减少	期末数	计提原因
行政科房屋	10,250.00	---	10,250.00	---	---
进口救护车	58,328.71	---	58,328.71	---	---
安全事故仿真	45,000.00	---	45,000.00	---	---
裂解炉	7,692,115.00	---	---	7,692,115.00	已停建
合 计	7,805,693.71	---	113,578.71	7,692,115.00	---

4、在建工程期末数比期初数增加 152,964,736.42 元, 增加比例为 52.80%, 增加原因主要系 7 万吨 PVC 专用树脂项目的投入。

(十三) 无形资产:

1、项目	取得方式	原始金额	期初数	本期增加	本期转出	本期摊销	累计摊销	期末数
土地使用权	股东投入、购买	10,860,420.00	4,310,922.00	---	---	1,021,088.40	7,281,066.40	3,289,833.60
房屋使用权	购买	---	63,364,635.14	---	---	160,961.64	---	63,203,673.50
技术转让费	购买	14,685,000.00	14,685,000.00	---	---	---	---	14,685,000.00
其他	购买	---	10,853.75	17,755.00	---	28,608.75	---	---
合计		---	82,371,410.89	17,755.00	---	1,210,658.79	7,281,066.40	81,178,507.10

2、至本年末已计提减值准备

项 目	帐面原值	计提减值准备金额	原因
房屋使用权	63,203,673.50	62,407,750.75	账面价值超过预计可收回金额
技术转让费	14,685,000.00	14,685,000.00	账面价值超过预计可收回金额
合 计	77,888,673.50	77,092,759.75	

(十四) 长期待摊费用:

项目	原始发生额	期初数	本期增加	本期摊销	期末数
其他递延支出	---	1,118,403.06	---	143,500.08	974,902.98

注: 其他递延支出主要系盐堆场租赁费

(十五) 短期借款:

借款类别	期末数	期初数
信用借款	66,050,000.00	15,050,000.00
抵押借款	1,300,000.00	8,300,000.00
保证借款	1,047,660,200.00	1,005,000,000.00
合计	1,115,010,200.00	1,028,350,000.00

其中: 期末外币借款的外币金额为 6,000,000.00 美元, 折算汇率 8.2767, 折合人民币 49,660,200.00 元。

(十六) 应付票据:

种 类	期末数	期初数
商业承兑汇票	20,008,700.00	1,133,862.90

(十七) 应付帐款:

期末数	期初数
152,638,856.57	90,670,482.57

期末余额中无欠持本公司 5% 以上（含 5%）表决权股份的股东款项。

（十八）预收帐款：

期末数	期初数
59,668,341.40	86,044,125.21

1、期末余额中无预收持本公司 5% 以上（含 5%）表决权股份的股东款项。

2、帐龄超过一年的预收帐款：

付款单位名称	金 额
集 成	2,534,191.71
KWOK KEE DEVELOPE CO.LTD	2,343,620.76
珠海经藤化工实业公司	279,229.20
绍兴塑料纺织厂	270,000.00

（十九）其他应付款：

期末数	期初数
58,462,063.99	95,364,010.64

1、期末余额中无欠持本公司 5% 以上（含 5%）表决权股份的股东款项。

2、帐龄超过三年的大额其他应付款：

债权单位名称	金 额
上海联运总公司	1,006,075.98
上海金星电梯公司	66,782.61
天津天芝通讯公司	62,020.00

（二十）应付工资：

期末数	期初数
4,147,702.27	22,090,652.89

（二十一）应付股利：

投资者名称或类别	期末欠付股利金额	欠付原因
公司法人股股东	1,443,836.90	未来领取
子公司少数股东	9,174.95	
合 计	1,453,011.85	

（二十二）应交税金：

税种	期末数	期初数	报告期执行的法定税率
增值税	12,551,372.79	11,574,084.10	按应税收入的 13%-17% 计缴
营业税	221,713.50	624,044.10	按应税收入的 3%-7% 计缴
城建税	935,246.00	963,682.69	按应交流转税的 7% 计缴
企业所得税	1,104,122.67	4,388,112.25	按应税所得额的 15%—33% 计缴
个人所得税	95,632.58	84,596.07	
房产税	---	---	
其他	32,207.16	31,355.50	
合计	14,940,294.70	17,665,874.71	

（二十三）其他应交款：

项目	期末数	期初数	报告期执行的法定税率
教育费附加	423,381.71	437,304.28	按应交流转税的 3% 计缴
堤防费	13,997.07	13,997.07	---
义优金	4,935.46	4,935.46	---
河道费	130,187.49	132,692.42	按应交流转税的 1% 计缴
水利基金	4,305.85	---	---
其他	---	3,496.72	---
合计	576,807.58	592,425.95	

(二十四) 预提费用:

类 别	期末数	期初数
利息费用	2,096,931.26	3,675,380.00
保险费	---	52,819.15
合 计	2,096,931.26	3,728,199.15

(二十五) 一年内到期的长期负债:

借款条件	期末数	期初数
信用借款	---	43,000,000.00

(二十六) 长期借款:

借款条件	期末数	期初数
信用借款	98,320,000.00	---
抵押借款	7,000,000.00	---
保证借款	367,000,000.00	406,280,000.00
合计	472,320,000.00	406,280,000.00

期末无已到期, 未偿还的长期借款。

(二十七) 专项应付款:

拨款用途	期末数	期初数
国债专用基金	57,120,000.00	57,120,000.00

(二十八) 股本:

	期末数	比例%	期初数	比例%
1、未上市流通股份				
国家持有股份	611,510,647.00	52.51	611,510,647.00	52.51
募集法人股	118,580,000.00	10.19	118,580,000.00	10.19
未上市流通股份合计	730,090,647.00	62.70	730,090,647.00	62.70
2、已上市流通股份				
人民币普通股	27,832,420.00	2.39	27,832,420.00	2.39
境内上市的外资股	406,560,000.00	34.91	406,560,000.00	34.91
已上市流通股份合计	434,392,420.00	37.30	434,392,420.00	37.30
3、股份总数	1,164,483,067.00	100.00	1,164,483,067.00	100.00

(二十九) 资本公积:

项目	期初数	本期增加	本期减少	期末数
股本溢价	1,531,064,775.02	---	---	1,531,064,775.02
住房周转金转入	1,030,233.40	---	---	1,030,233.40
股权投资准备	313,839.78	(注1) 9,117,836.85	---	9,431,676.63
其他资本公积	11,784,694.89	(注2) 7,603,200.00	---	19,387,894.89
合计	1,544,193,543.09	106,721,036.85	---	1,560,914,579.94

注 1: 子公司利息豁免转入 8,954,227.04 元, 子公司无法支付的款项 163,609.81 元。

注 2: 上海市财政局专项基建贷款利息豁免转入。

(三十) 盈余公积:

	期初数	本期提取	本期减少	期末数
法定盈余公积	87,924,844.62	3,010,811.68	---	90,935,656.30
公益金	1,440,101.41	2,958,200.56	---	4,398,301.97
任意盈余公积	27,916,977.07	---	---	27,916,977.07
合 计	117,281,923.10	5,969,012.24	---	123,250,935.34

(三十一) 未分配利润:

	金额	提取或分配比例
年初未分配利润	-5,594,555.80	---
加: 本年净利润	25,033,361.99	---
减: 提取法定盈余公积	3,010,811.68	10%
提取法定公益金	2,958,200.56	5%-10%
年末未分配利润	13,469,793.95	---

(三十二) 主营业务收入、主营业务成本:

业 务 分 部	项目	主营业务收入		主营业务成本		主营业务毛利	
		本年数	上年数	本年数	上年数	本年数	上年数
1.工业		3,162,806,439.66	2,524,155,531.88	2,604,346,748.63	2,146,929,591.89	558,459,691.03	377,225,939.99
2.商业		363,165,878.76	289,610,412.58	351,591,933.80	279,633,466.58	11,573,944.96	9,976,946.00
3.旅游饮食服务业		642,170.00	26,433,719.70	---	12,946,471.59	642,170.00	13,487,248.11
4.运输业		476,237,635.55	412,124,964.80	438,636,492.43	378,819,438.52	37,601,143.12	33,305,526.28
小计		4,002,852,123.97	3,252,324,628.96	3,394,575,174.86	2,818,328,968.58	608,276,949.11	433,995,660.38
公司内各业务分部相互抵销		97,296,584.46	91,332,185.05	97,296,584.46	88,895,430.93	---	2,436,754.12
合计		3,905,555,539.51	3,160,992,443.91	3,297,278,590.40	2,729,433,537.65	608,276,949.11	431,558,906.26

地 区 分 部	项目	主营业务收入		主营业务成本		主营业务毛利	
		本年数	上年数	本年数	上年数	本年数	上年数
上海地区		4,002,209,953.97	3,251,794,197.48	3,394,575,174.86	2,818,328,968.58	607,634,779.11	433,465,228.90
上海以外地区		642,170.00	530,431.48	---	---	642,170.00	530,431.48
小计		4,002,852,123.97	3,252,324,628.96	3,394,575,174.86	2,818,328,968.58	608,276,949.11	433,995,660.38
公司内各地区分部相互抵销		97,296,584.46	91,332,185.05	97,296,584.46	88,895,430.93	---	2,436,754.12
合计		3,905,555,539.51	3,160,992,443.91	3,297,278,590.40	2,729,433,537.65	608,276,949.11	431,558,906.26

(三十三) 主营业务税金及附加:

项目	计缴标准	本年发生数	上年发生数
营业税	按应税收入的 3%-7%	1,920,021.87	3,061,857.81
城建税	按应交流转税的 7%计缴	9,504,089.52	8,408,960.29
教育费附加	按应交流转税的 3%计缴	4,119,451.17	3,615,394.21
其他	-	64,854.16	17,012.33
合计		15,608,416.72	15,103,224.64

(三十四) 其他业务利润:

类别	本年发生数			上年发生数		
	收入	成本	利润	收入	成本	利润
劳务收入	2,599,714.04	2,262,084.54	337,629.50	1,533,928.23	1,467,587.96	66,340.27
租赁收入	120,516.00	595,324.43	-474,808.43	2,037,026.15	646,203.44	1,390,822.71
材料销售收入	66,035,520.49	65,890,544.58	144,975.91	146,500,876.14	142,033,240.35	4,467,635.79
其他	446,671.46	4,451,109.85	-4,004,438.39	4,950,128.94	928,606.11	4,021,522.83
合计	69,202,421.99	73,199,063.40	-3,996,641.41	155,021,959.46	145,075,637.86	9,946,321.60

1、占报告期利润总额 10% (含 10%) 以上的其他业务:

项目	本年收入	本年成本	本年利润
抵债物资销售	446,671.46	4,451,109.85	-4,004,438.39

2、其他业务利润本年数比上年数减少 13,942,963.01 元, 增加比例为 140.18%, 减少原因主要是公司本年度清理抵债物资, 销售亏损所致。

(三十五) 财务费用:

类别	本期发生数	上期发生数
利息支出	62,740,325.17	76,637,785.88
减: 利息收入	7,326,925.63	6,480,710.93
汇兑损失	646,255.64	122,038.67
减: 汇兑收益	432,864.76	120,331.91
其 他	1,347,781.77	1,018,618.67
合 计	56,974,572.19	71,177,400.38

(三十六) 投资收益:**1、本年发生数:**

类别	股票投资收益	债权投资收益	成本法下确认 的投资收益	权益法下确认 的投资收益	股权投资 差额摊销	处置收益	减值准备	合计
短期投资	8,010.80	-					-	8,010.80
长期股权投资	1,476,984.33	-	529,700.30	4,008,716.53	-2,677,629.95	-514,798.30	-15,000,000.00	-12,177,027.09
长期债权投资	-	12,918.85				-	-	12,918.85
合计	1,484,995.13	12,918.85	529,700.30	4,008,716.53	-2,677,629.95	-514,798.30	-15,000,000.00	-12,156,097.44

2、上年发生数:

类别	股票投资收益	债权投资收益	成本法下确认 的投资收益	权益法下确认的 投资收益	股权投资 差额摊销	股权转让收益	减值准备	合计
短期投资	-5,878.44	-	-	-	-	-	-160,000.00	-165,878.44
长期股权投资	914,659.82	-	175,209.10	5,370,239.11	-2,222,783.38	-	-15,200,000.00	-10,962,675.35
长期债权投资		-	-	-	-	-	-	-
合计	908,781.38	-	175,209.10	5,370,239.11	-2,222,783.38	-	-15,360,000.00	-11,128,553.79

(三十七) 补贴收入:

内 容	本年发生数	上年发生数	本年发生额说明	
			批准文件	批准机关
高新技术转化项目补贴	3,167,000.00	3,717,000.00	沪府发[2000]55 号文	上海市政府
出口商品贴息	---	1,540,530.52		
三废搬迁补贴	2,354,000.00	2,280,000.00	沪府办秘函(98)0019 号文	上海市政府
财政补偿金	---	30,000.00		
财政补贴	---	69,046.14		
合计	5,521,000.00	7,636,576.66		

(三十八) 营业外收入:

类别	本年发生数	上年发生数
固定资产清理收益	141,627.70	22,750.00
赔偿及罚款收入	9,758.31	141,941.86
保险赔偿款	---	2,988,207.27
氰氟酸停产补偿费	---	2,691,825.00
动迁补偿	---	1,737,692.82
其他	2,332,186.62	56,347.86
合计	2,483,572.63	7,638,764.81

占报告期利润总额 10% (含 10%) 以上的营业外收入: 收到天原集团胜德塑料厂补偿款 2,000,000.00 元。

(三十九) 营业外支出:

类别	本年发生数	上年发生数
固定资产清理损失	11,258,090.43	2,179,363.70
捐赠支出	8,000.00	200.00
出售无形资产损失	---	---
罚款支出	169,967.01	203,618.32
非常损失	359,908.00	---
计提的无形资产减值准备	4,502,407.50	---
计提的在建工程减值准备	-58,328.71	---
其他	166,311.63	37,494.63
合计	16,406,355.86	2,420,676.65

1、占报告期利润总额 10% (含 10%) 以上的营业外支出:

项目及内容	金额
固定资产清理损失	12,030,630.60
计提的无形资产减值准备	4,502,407.50

2、营业外支出年末数比年初数增加 13,985,679.21 元, 增加比例为 577.76%, 增加原因主要是本年度发生固定资产清理损失及本年计提无形资产减值准备。

(四十) 收到的其他与经营活动有关的现金 14,644,927.53 元。

其中:

项目	金额
土地补偿费	5,000,000.00
利息收入	7,326,925.63
企业间往来	2,318,001.90

(四十一) 支付的其他与经营活动有关的现金 329,847,081.11 元。

其中:

项目	金额
修理费、水电费	49,609,466.29
办公费、会务费、差旅费	24,715,371.24
环境保护费、绿化养护费	5,123,642.43
租赁费、保险费、销售代理费	22,606,882.34
业务招待费、广告费、咨询费	9,200,572.20
运输费、警卫消防费	56,345,289.98
劳动保险费	48,764,472.51
试验费、商检费	16,242,161.32
仓储费、包装费、装卸费	6,756,329.51
企业间往来	90,482,893.29

六、母公司会计报表主要项目注释：

（一）应收帐款：

1、帐龄分析：

帐龄	帐面余额	期末数			帐面余额	期初数		
		占总额 比例	坏帐准备 计提比例	坏帐准备		占总额 比例	坏帐准备 计提比例	坏帐准备
1 年以内	110,056,037.94	54.67%	5.00%	5,502,801.90	139,369,176.81	65.61%	5.00%	6,968,458.84
1 至 2 年	20,282,518.56	10.08%	20.00%	11,341,588.69	29,857,648.52	14.06%	20.00%	5,971,529.70
2 至 3 年	28,304,137.62	14.06%	50.00%	20,934,121.75	22,565,843.63	10.62%	50.00%	11,282,921.82
3 年以上	42,655,282.11	21.19%	100.00%	42,655,282.11	20,618,890.46	9.71%	100.00%	20,618,890.46
合计	201,297,976.23	100.00%	---	80,433,794.45	212,411,559.42	100.00%	---	44,841,800.82

2、期末应收帐款欠款金额前五名的累计总欠款金额为 25,780,408.00 元，占应收帐款总金额的 12.81%。

3、至本年度,除按公司会计政策计提的坏帐准备外，全额计提坏帐准备，或计提坏帐比例达到 40% 及以上的说明：

欠款单位名称	欠款金额	计提金额	理由
上海棱光实业股份有限公司	4,225,499.25	3,085,160.12	预计难以全额收回
上海树脂厂有限公司	3,962,262.50	2,331,632.63	预计难以全额收回
上海蓓玲发展有限公司	2,775,547.98	2,417,593.87	预计难以全额收回
绍兴市兴源化工物资有限公司	2,469,157.10	2,469,157.10	预计难以全额收回
江苏华康药用包装材料厂	772,396.04	772,396.04	预计难以全额收回
上海实业塑胶制品有限公司	2,290,762.16	2,290,762.16	预计难以全额收回
上海琥珀塑料制品有限公司	2,346,143.95	2,346,143.95	预计难以全额收回
上海明光通讯机电实业有限公司	2,788,018.00	2,788,018.00	预计难以全额收回
上海亚银化工有限公司	2,751,888.11	2,751,888.11	预计难以全额收回
其他	2,050,000.00	2,050,000.00	预计难以全额收回

4、本年度实际冲销的应收帐款：

欠款单位名称	性质	冲销金额	冲销理由	是否涉及关联交易
长兴小浦经济区供销合作社	货款	185,496.63	企业破产	否
湖北丹江口医疗器械厂	货款	43,665.00	企业破产	否
通州市壹名塑胶制品厂	货款	750,987.50	法院终结	否
红旗药棉厂	货款	8,006.80	企业破产	否
南通化工药业原材料公司经营部	货款	940,817.39	法院终结	否
建发工贸实业公司	货款	385,115.00	法院终结	否
上海建筑材料厂	货款	273,528.22	法院终结	否

5、 期末应收帐款中持本公司 5% 以上（含 5%）表决权股份的股东欠款为 3,683,043.65 元，详见本附注七。

(二) 其他应收款:

1、帐龄分析:

帐龄	帐面余额	期末数			帐面余额	期初数			坏帐准备
		占总额 比例	坏帐准备 计提比例	坏帐准备		占总额 比例	坏帐准备 计提比例	坏帐准备	
1 年以内	24,967,196.91	4.90%	---	---	49,932,055.44	9.91%	---	---	---
1 至 2 年	34,992,034.34	6.86%	---	---	65,277,487.00	12.96%	---	---	---
2 至 3 年	46,749,572.47	9.17%	---	---	82,642,604.97	16.41%	---	---	---
3 年以上	403,202,411.20	79.07%	38.63%	155,743,941.49	305,854,408.13	60.72%	51.81%	158,468,097.98	---
合计	509,911,214.92	100.00%	30.54%	155,743,941.49	503,706,555.54	100.00%	31.46%	158,468,097.98	---

2、期末其他应收款欠款金额前五名的累计总欠款金额为 413,641,881.69 元, 占其他应收款总金额的比例为 81.12%。

3、全额计提坏帐准备, 或计提坏帐准备比例达到 40% 及以上的说明:

欠款单位名称	欠款金额	计提比例	理由
崇明加工单位	1,400,000.00	100%	三年以上预计无法收回
国信实业委贷	286,110.00	100%	三年以上预计无法收回
吴县木渎水泥厂	728,640.00	100%	三年以上预计无法收回
洋浦乐欣实业有限公司	39,344,205.00	100%	三年以上预计无法收回
中建房产田菱公司	1,330,460.24	100%	三年以上预计无法收回
莱德汽车公司	1,257,371.88	100%	三年以上预计无法收回
上海百士高塑胶有限公司	19,518,081.87	80%	三年以上预计无法收回
乐安达担保	21,934,405.00	100%	三年以上预计无法收回
乐安达借款	12,000,581.67	100%	三年以上预计无法收回

4、以前年度已全额或大比例计提坏帐准备, 本年度又全额或部分收回的说明:

欠款单位名称	收回金额	收回方式	原估计计提比例理由	原估计计提比例的合理性
三年以上电化厂老帐	1,099,156.49	货币	三年以上预计无法收回	系按帐龄计提

5、本年度实际冲销的其他应收款:

欠款单位名称	性质	冲销金额	冲销理由	是否涉及关联交易
长兴小浦	欠款	1,625,000.00	企业破产	否

6、金额较大的其他应收款:

欠款单位名称	金 额	性质或内容	是否关联
上海天原(集团)有限公司	317,245,189.82	资产转让及日常往来	是
洋浦乐欣实业有限公司	39,344,205.00	往来款	是
上海百士高塑胶有限公司	19,518,081.87	往来款	是
太平洋生物高科技有限公司	15,600,000.00	往来款	否

7、期末其他应收款中持本公司 5% 以上(含 5%) 表决权股份的股东欠款为 31,724.52 万元, 详见本附注七。

(三) 长期投资:

项目	期末数		期初数	
	帐面余额	减值准备	帐面余额	减值准备
长期股权投资	759,369,207.33	44,040,000.00	590,907,111.27	29,175,000.00
长期债权投资	1,000,000.00	---	---	---
合计	760,369,207.33	44,040,000.00	590,907,111.27	29,175,000.00

1、长期股权投资:

(1) 股票投资:

被投资公司名称	股份类别	股票数量	占被投资公司注册 册资本的比例%	初始投资成本	帐面余额	减值准备
上海棱光实业股份有限公司	法人股	819,720	<1	824,934.00	824,934.00	---
上海龙头(集团)股份有限公司	法人股	720,000	<1	2,400,000.00	2,400,000.00	---
上海市第一食品股份有限公司	法人股	601,344	<1	1,360,896.00	1,360,896.00	---
上海华联商厦股份有限公司	法人股	718,740	<1	1,999,000.00	1,999,000.00	---
上海第一百货股份有限公司	法人股	528,528	<1	1,957,230.00	1,957,230.00	---
ST 上海嘉宝实业股份有限公司	法人股	1,497,600	<1	3,992,000.00	3,992,000.00	---
上海轮胎橡胶(集团)股份有限公司	法人股	143,000	<1	690,000.00	690,000.00	---
上海白猫股份有限公司	法人股	1,452,000	<1	6,002,000.00	6,002,000.00	---
上海申达纺织股份有限公司	法人股	290,400	<1	636,800.00	636,800.00	---
上海丰华(集团)股份有限公司	法人股	475,200	<1	1,789,797.60	1,789,797.60	---
中国纺织机械股份有限公司	法人股	858,000	<1	2,095,000.00	2,095,000.00	---
上海石化股份有限公司	法人股	300,000	<1	900,000.00	900,000.00	---
上海电器股份有限公司	法人股	240,000	<1	920,000.00	920,000.00	---
上海永生数据股份有限公司	法人股	547,515	<1	2,276,100.00	2,276,100.00	---
上海三九发展股份有限公司	法人股	166,980	<1	375,800.00	375,800.00	---
申银万国股份有限公司	法人股	1,100,000	<1	1,250,000.00	1,250,000.00	---
上海东方明珠股份有限公司	法人股	1,200,000	<1	5,300,000.00	5,300,000.00	---
上海爱建股份有限公司	法人股	833,354	<1	3,033,600.00	3,033,600.00	---
上海三爱富新材料股份有限公司	法人股	264,010	<1	360,000.00	360,000.00	---
上海新锦江股份有限公司	法人股	380,160	<1	1,130,400.00	1,130,400.00	---
上海申能股份有限公司	法人股	200,000	<1	560,000.00	560,000.00	---
海通证券股份有限公司	法人股	13,249,501	<1	10,200,000.00	10,200,000.00	---
上海金陵股份有限公司	法人股	5,346,619	1.1	4,705,200.00	4,705,200.00	---
上海水仙电器股份有限公司	法人股	2,640,000	1.13	9,440,000.00	9,440,000.00	9,440,000.00
上海宏盛科技发展股份有限公司	法人股	1,210,000	1.47	2,637,040.00	2,637,040.00	---
上海宝鼎投资股份有限公司	法人股	62,500	<1	62,500.00	62,500.00	---
小 计				66,898,297.60	66,898,297.60	9,440,000.00

以上均为不流通的法人股，期末无市价。

(2) 其他股权投资:

A、成本法核算的股权投资:

占被投资单位注					
被投资单位名称	投资起止期	注册资本比例	期初余额	本期投资增减额	期末帐面余额
拜耳(中国)聚合物有限公司	2002-2052	10%	16,946,543.25	6,530,395.20	23,476,938.45
上海联恒异氰酸酯有限公司	2003-2053	15%	---	20,994,300.00	20,994,300.00
上海长江保险经纪有限公司	2003-2023	10%	---	1,500,000.00	1,500,000.00
上海化工实业总公司	1997---无限期	20%	10,000,000.00	---	10,000,000.00
宁波东方经济发展公司	1993---2003	6%	30,000,000.00	---	30,000,000.00
天地氯碱化工公司	1993---	---	1,400,000.00	---	1,400,000.00
上海化学建材公司	---	---	100,000.00	-100,000.00	---
上海管理大厦	---	---	100,000.00	---	100,000.00
上海电子材料开发公司	---	---	100,000.00	---	100,000.00
上海企业管理协会	---	---	50,000.00	---	50,000.00
上海化工对外技术公司	---	---	35,000.00	-35,000.00	--
上海莱德汽车服务公司	---	---	750,000.00	---	750,000.00
上海文化发展基金会	---	10%	2,000,000.00	---	2,000,000.00
电化联营厂	---	---	200,000.00	---	200,000.00
合 计			61,681,543.25	28,889,695.20	90,571,238.45

B、权益法核算的对子公司股权投资:

被投资	投资	投资投资单位	期初	本期权益增减额					期末余额		
单位名称	期限	注册资本比例	余额	合计增减	其中: 投资成本	确认损益	差额摊销	分得利润	初始金额	累计权益增减	帐面余额
上海氯碱总厂供销公司	1991-无期限	100%	981,228.78	-981,228.78	-1,341,592.88	360,364.10	---	---	---	---	---
上海氯碱化工房产经营开发公司	1993-无期限	100%	18,630,840.86	194,879.26	---	592,880.69	---	398,001.43	15,000,000.00	3,825,720.12	18,825,720.12
天原(集团)高分子材料有限公司	2000—	90%	28,800,000.00	---	---	---	---	---	28,800,000.00	---	28,800,000.00
上海达凯塑胶有限公司	1996-2011	90%	71,665,413.69	14,514,289.43	---	5,089,980.19	470,082.20	---	85,170,558.23	1,009,144.89	86,179,703.12
上海助剂厂有限公司	2000.12	85.13%	38,678,915.14	2,673,654.91	---	3,829,023.80	-1,155,368.89	---	24,172,931.74	17,179,638.31	41,352,570.05
上海天原物流有限公司	2002-2032	57.92%	13,477,131.40	194,185.85	---	751,850.78	33,119.07	590,784.00	12,962,500.00	708,817.25	13,671,317.25
苏州姑苏经济发展总公司	1994-无期限	80.00%	8,697,715.60	-113,392.98	---	-76,692.98	---	36,700.00	8,000,000.00	584,322.62	8,584,322.62
上海乐凯国际贸易有限公司	1993-无期限	100.00%	10,845,869.52	1,101,311.78	---	1,804,751.78	---	703,440.00	6,095,535.00	5,851,646.30	11,947,181.30
上海氯碱化工贸易有限公司	1995-无期限	90.00%	105,988,655.18	-1,225,090.30	---	-670,392.85	-151,090.17	403,607.28	95,060,516.73	9,703,048.15	104,763,564.88
天原国际货运有限公司	1997-2012	51.00%	15,631,288.26	1,052,222.23	---	1,052,222.23	---	---	15,504,000.00	1,179,510.49	16,683,510.49
上海天原化工有限公司	2002-	76.22%	95,917,225.92	-5,505,363.81	---	-3,624,471.49	-1,880,892.32	---	77,361,076.84	13,050,785.27	90,411,862.11
小计			409,314,284.35	11,905,467.59	-1,341,592.88	9,109,516.25	-2,684,150.11	2,132,532.71	368,127,118.54	53,092,633.40	421,219,751.94

C、权益法核算的对合营企业股权投资

被投资	投资	投资投资单位	期初	本期权益增减额					期末余额		
单位名称	期限	注册资本比例	余额	合计增减	其中：投资成本	确认损益	差额摊销	分得利润	初始金额	累计权益增减	帐面余额
上海工程化学设计院有限公司	1999-2019	49%	10,430,338.68	1,192,332.10	-	1,105,222.29	-	76,500.00	10,200,000.00	1,422,670.78	11,622,670.78
上海赫克力士化工有限公司	1994-2044	40%	11,572,485.68	2,079,055.20	-	2,079,055.20	-	-	21,869,015.00	-8,217,474.12	13,651,540.88
上海氯威塑料有限公司	1993-2022	50%	28,106,604.51	-2,357,150.89	-	-1,367,839.64	10,688.75	1,000,000.00	21,648,112.50	4,101,341.12	25,749,453.62
上海燕托计算机投资有限公司	2001-2011	40%	665,693.85	43,246.59	-	43,246.59	-	-	1,000,000.00	-291,059.56	708,940.44
吴县市天原消石灰厂	2002-	45%	2,237,863.35	96,381.33	-	100,549.92	-4,168.59	-	2,179,932.68	154,312.00	2,334,244.68
上海华胜化工有限公司	2003-	44%	-	44,000,000.00	44,000,000.00	-	-	-	44,000,000.00	-	44,000,000.00
宁夏西部聚氯乙烯有限公司	2003-2023	30%	-	30,000,000.00	30,000,000.00	-	-	-	30,000,000.00	-	30,000,000.00
上海华鸿管廊有限公司（注）	2003-2013	70.0%	-	28,000,000.00	28,000,000.00	-	-	-	28,000,000.00	-	28,000,000.00
上海亨斯迈聚氨脂有限公司	2003-2053	30%	-	22,113,068.94	22,113,068.94	-	-	-	22,113,068.94	-	22,113,068.94
上海新天原化工物流有限公司	2003-2023	25%	-	2,500,000.00	2,500,000.00	-	-	-	2,500,000.00	-	2,500,000.00
小计			53,012,986.07	127,666,933.27	126,613,068.94	1,960,234.36	6,520.16	1,076,500.00	183,510,129.12	-2,830,209.78	180,679,919.34

注：公司对上海华鸿管廊有限公司不具有实质性控制关系。

D、其中：股权投资差额：

被投资公司名称	原始差额	起始摊销	摊销 期限	应计摊销额	本期实际摊销额	累计摊销	摊余额
上海氯碱化工贸易有限公司	1,510,901.67	2000 年 1 月	10.00	151,090.17	151,090.17	604,360.67	906,541.00
上海助剂厂	11,553,688.90	2001 年 1 月	10.00	1,155,368.89	1,155,368.89	3,466,106.67	8,087,582.23
上海氯威塑料有限公司	-106,887.50	1998 年 1 月	10.00	-10,688.75	-10,688.75	-64,132.50	-42,755.00
上海达凯塑胶有限公司	-4,700,821.98	2002 年 12 月	10.00	-470,082.20	-470,082.20	-470,082.20	-4,230,739.78
上海天原化工有限公司	18,808,923.16	2002 年 6 月	10.00	1,880,892.32	1,880,892.32	2,821,338.48	15,987,584.68
上海天原物流有限公司	-331,190.68	2002 年 6 月	10.00	-33,119.07	-33,119.07	-49,678.60	-281,512.08
吴县市天原硝石灰厂	41,685.88	2002 年 3 月	10.00	4,168.59	4,168.59	7,295.03	34,390.85
小计	26,776,299.45			2,677,629.95	2,677,629.95	6,315,207.55	20,461,091.90

2、长期债权投资：

其他债权投资：

被投资单位	初始投资成本	年利率	到期日	期初余额	本期利息	累计应收利息	期末数	减值准备
南方避增值基金	1,000,000.00--	--- ---	---	---	1,000,000.00	---		

3、长期投资减值准备

(1) 长期股权投资减值准备:

被投资单位名称	期初数	本期增加	本期减少	期末数	计提原因
宁波东方经济发展集团总公司	15,000,000.00	15,000,000.00	---	30,000,000.00	该投资估计无法收回
电化联营厂	200,000.00	---	---	200,000.00	该投资估计无法收回
天地氯碱化工公司	1,400,000.00	---	---	1,400,000.00	系摊派投资, 历年无返利
上海化学建材公司	100,000.00	---	100,000.00	---	系摊派投资, 历年无返利
上海管理大厦	100,000.00	---	---	100,000.00	系摊派投资, 历年无返利
上海电子材料开发公司	100,000.00	---	---	100,000.00	系摊派投资, 历年无返利
上海企业管理协会	50,000.00	---	---	50,000.00	系摊派投资, 历年无返利
上海化工对外技术公司	35,000.00	---	35,000.00	---	系摊派投资, 历年无返利
上海莱德汽车服务公司	750,000.00	---	---	750,000.00	公司歇业
上海文化发展基金会	2,000,000.00	---	---	2,000,000.00	系摊派投资, 历年无返利
上海水仙电器股份有限公司	9,440,000.00	---	---	9,440,000.00	公司净资产负数
合 计	29,175,000.00	15,000,000.00	135,000.00	44,040,000.00	

4、长期投资期末数比期初数增加 169,462,096.06 元, 增加比例为 28.68%, 增加原因为: 本期新增对上海华胜化工有限公司等六家的投资。

(四) 主营业务收入、成本:

主营业务种类	主营业务收入		主营业务成本	
	本年发生数	上年发生数	本年发生数	上年发生数
工业	2,638,603,905.32	2,247,718,384.77	2,156,402,697.56	1,927,217,438.70
合计	2,638,603,905.32	2,247,718,384.77	2,156,402,697.56	1,927,217,438.70

(五) 投资收益:

1、本年发生数

类别	股票投资收益	债权投资收益	成本法收益	权益法下确认的股权投资收益	处置收益	股权投资差额摊销	减值准备	合计
短期投资	---	---	---	---	---	---	---	---
长期股权投资	1,473,778.73	---	329,700.30	11,069,750.61	-514,798.30	-2,677,629.95	-15,000,000.00	-5,319,198.61
长期债权投资	---	---	---	---	---	---	---	---
合计	1,473,778.73	---	329,700.30	11,069,750.61	-514,798.30	-2,677,629.95	-15,000,000.00	-5,319,198.61

2、上年发生数

类别	股票投资收益	债权投资收益	成本法收益	权益法下确认的股权投资收益	处置收益	股权投资差额摊销	减值准备	合计
短期投资	---	---	---	---	---	---	-160,000.00	-160,000.00
长期股权投资	914,659.82	---	170,000.00	14,000,118.30	---	-2,222,783.38	-15,200,000.00	-2,338,005.26
长期债权投资	---	---	---	---	---	---	---	---
合计	914,659.82	---	170,000.00	14,000,118.30	---	-2,222,783.38	-15,360,000.00	-2,498,005.26

七、关联方关系及其交易：

(一) 存在控制关系的关联方情况：

1、存在控制关系的关联方：

(1) 控制本公司的关联方：

企业名称	注册地址	主营业务	与本企业关系	经济性质或类型	法定代表人
上海天原（集团）有限公司*	浦东南路 1171 号	贸易投资	国家股管理单位	国有企业	张瑞岳

*上海华谊（集团）公司系公司的国家股授权经营单位。注册资本：406,624 万元。经营范围：授权范围内国有资产经营和管理、实业投资等。注册地址：上海徐家汇路 560 号。法定代表人：张培璋。上海华谊（集团）公司通过上海天原（集团）有限公司控股本公司。上海天原（集团）有限公司系上海华谊（集团）公司的全资子公司，持有公司国有股 611,510,647 股，占公司股本总额的 52.51%。

(2) 受本公司控制的关联方：

详见附注四。

2、存在控制关系的关联方的注册资本及其变化（单位：万元）

企业名称	期初数	本期增加	本期减少	期末数
上海天原（集团）有限公司	7,491,273.44	---	---	7,491,273.44
上海氯碱总厂供销公司	73.44	---	73.44	-
上海乐凯国际贸易公司	USD105.00	---	---	USD105.00
上海氯碱化工房产经营开发公司	1,500.00	---	---	1,500.00
上海氯碱化工贸易有限公司	10,000.00	---	---	10,000.00
苏州姑苏经济发展总公司	1,000.00	---	---	1,000.00
苏州坝基桥旅游车停车场	74.30	---	---	74.30
上海天原国际货运有限公司	USD366.27	---	---	USD366.27
上海天原（集团）高分子材料有限公司	3,200.00	---	---	3,200.00
上海天原物流有限公司	2,200.00	---	---	2,200.00
上海天原化工有限公司	12,617.50	---	---	12,617.50
上海金源自来水有限公司	900.00	---	---	900.00
上海达凯塑胶有限公司	4,347.76	---	---	4,347.76
苏州天原物流有限公司	USD120.00	---	---	USD120.00
上海助剂厂有限公司	3,497.00	---	---	3,497.00
上海天泰化工实业总公司	250.00	---	---	250.00
上海天助化工有限公司	325.00	---	---	325.00
上海华鸿管廊有限公司		4,000.00	---	4,000.00

3、存在控制关系的关联方所持股份及其变化：（单位：万元）

企业名称	期初数		本期增加		本期减少		期末数	
	金额	%	金额	%	金额	%	金额	%
上海天原（集团）有限公司	61,151.10	52.51	---	---	---	---	61,151.10	52.51
上海氯碱总厂供销公司	73.44	100	---	---	73.44	100	---	---
上海乐凯国际贸易公司	USD105.00	100	---	---	---	---	USD105.00	100
上海氯碱化工房产经营开发公司	1,500.00	100	---	---	---	---	1,500.00	100
上海氯碱化工贸易有限公司	9,000.00	90	---	---	---	---	9,000.00	90
苏州姑苏经济发展总公司	800.00	80	---	---	---	---	800.00	80
苏州坝基桥旅游车停车场	74.30	100	---	---	---	---	74.30	100
上海天原国际货运有限公司	USD186.80	51	---	---	---	---	USD186.80	51
上海天原（集团）高分子材料有限公司	3,200.00	85	---	---	---	---	3,200.00	85
上海天原物流有限公司	1,824.24	82.92	---	---	---	---	1,824.24	82.92
上海天原化工有限公司	9,617.00	76.22	---	---	---	---	9,617.00	76.22
上海金源自来水有限公司	700.00	77.78	---	---	---	---	700.00	77.78
上海达凯塑胶有限公司	3,912.18	90	---	---	---	---	3,912.18	90
苏州天原物流有限公司	398.99	75	---	---	---	---	398.99	75
上海助剂厂有限公司	2,978.00	85.13	---	---	---	---	2,978.00	85.13
上海天泰化工实业总公司	250.00	100			---	---	250.00	100
上海天助化工有限公司	227.50	70			---	---	227.50	70
上海华鸿管廊有限公司	---	---	2,800	70	---	---	2,800	70

(二) 不存在控制关系的关联方情况：

企业名称	与本公司的关系
上海氯威塑料有限公司联营企业	
上海百士高塑胶有限公司	受同一母公司控制
上海氯碱实业总公司	受同一母公司控制
上海华南宾馆	受同一母公司控制
洋浦乐欣实业有限公司	受同一母公司控制
上海染料有限公司	受同一母公司控制
上海三爱富新材料股份有限公司	受同一母公司控制
上海天原国际贸易有限公司	受同一母公司控制
上海氯碱创业有限公司	受同一母公司控制
上海氯碱总厂供销公司	受同一母公司控制
上海氯碱化工房产经营开发公司	控股子公司
上海工程化学设计院有限公司	联营企业
上海亨斯迈聚氨脂有限公司	联营企业

(三) 关联方交易:

1、存在控制关系且已纳入本公司合并会计报表范围的子公司，其相互间交易及母子公司交易已作抵销。

2、不存在控制关系的关联方交易：（金额单位：万元）

(1) 向关联方采购货物：

关联方名称	本年末	上年末
吴县消石灰厂		168.66
上海氯碱创业有限公司	146.30	3,150.84
上海天原国际贸易有限公司	10.00	4,977.30

向关联方采购的交易价格参照市场价。

(2) 向关联方销售货物：

关联方名称	本年末	上年末
上海氯碱总厂供销公司	75.64	645.49
上海氯威塑料有限公司	755.77	1,702.54
上海百士高塑胶有限公司	251.80	134.64
上海天原国际贸易有限公司	1,794.89	1,845.50
上海氯碱创业有限公司	3,994.94	4,487.53

向关联方销售货物的交易价格参照市场价。

3、应收应付款项余额：（金额单位：万元）

应收帐款：	本年末	上年末
上海天原（集团）有限公司	368.30	111.76
上海氯威塑料有限公司	551.00	109.94
上海百士高塑胶有限公司	1.06	57.98
上海氯碱创业有限公司	390.05	403.53
上海氯碱总厂供销公司	0.62	
上海天原国际贸易有限公司	80.48	
上海三爱富新材料股份有限公司	112.38	

应收票据

上海氯碱创业有限公司	110.00
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预付帐款：

上海天原（集团）有限公司	-	64.53
上海天原国际贸易有限公司	51.14	

其他应收款：

上海氯碱总厂供销公司	-	---
上海氯威塑料有限公司	3.23	1.53
上海百士高塑胶有限公司	1,951.81	2,433.44
上海氯碱化工房产经营开发公司	1,508.29	1,454.23
上海氯碱创业有限公司	1,740.97	58.85
上海华南宾馆	-	539.95
洋浦乐欣实业有限公司	3,934.42	3,934.42
上海天原（集团）有限公司	31,724.52	67,565.17
上海化学设计院有限公司	64.84	
上海天原国际贸易有限公司	0.69	
上海染料有限公司	-	20

其他应付款：

上海华南宾馆	-	6.93
上海氯碱创业有限公司	63.62	
上海化学设计院有限公司	18.53	

4、其他关联方交易事项：

为关联方提供担保情况详见附注八。

八、或有事项：

（一）截至 2003 年 12 月 31 日止，公司将 26 份未到期的商业承兑汇票向其他单位背书转让，背书转让的票据金额合计 4,321,985.63 元。持票人到期不能获得付款时，本公司负有付款业务，该等已背书转让的商业承兑汇票的最后到期日为 2004 年 4 月 30 日。

（二）截止 2003 年 12 月 31 日公司为关联方及其他单位提供债务担保形成的或有负债：

被担保单位	担保金额	折合人民币	债务到期日
关联方：	（万元）		
吴泾化工有限公司	USD1081.13	8,948.15	2005 年 12 月
上海焦化有限公司	欧元 1653.12	17,090.45	2023 年 10 月
上海焦化有限公司	挪威克郎 364.65	449.76	2005 年 11 月
上海赫克力士化工有限公司	RMB2000.00	2,000.00	2004 年 4 月
上海天原化工有限公司	RMB2800.00	2,800.00	2004 年 2 月
天原国际货运有限公司	RMB700.00	700.00	2005 年 3 月
上海亨斯迈聚氨脂有限公司	USD300.00	2,483.01	2015 年 12 月
上海亨斯迈聚氨脂有限公司	USD100.00	827.67	2015 年 11 月
上海亨斯迈聚氨脂有限公司	RMB1,000.00	1,000.00	2015 年 11 月
小 计	---	36,299.04	---

非关联方:

拜耳（上海）聚合物有限公司	RMB4,700.00	4,700.00	2004 年 4 月
小 计	---	4,700.00	---
合 计	---	40,999.04	---

九、承诺事项:

(一) 对外经济担保事项详见附注八。

(二) 已签订的尚未履行或尚未完全履行的对外投资合同及有关财务支出:

1、经公司 2003 年 12 月 23 日召开的临时股东大会决议通过: 同意公司按出资比例为合资企业拜耳（上海）聚合物有限公司总额为 3.1 亿元贷款的授信额度提供担保。待项目建成后由合资公司的固定资产抵押担保。

2、经公司 2003 年 12 月 23 日召开的临时股东大会决议通过: 同意公司按出资比例为合资企业上海亨斯迈聚氨脂有限公司项目贷款提供 13,368 万元人民币及 867 万美元的担保, 为其流动资金贷款提供 8,784 万元人民币的担保; 同意公司按出资比例向上海联恒异氰酸脂有限公司项目贷款提供 16,340 万元人民币及 1,315.5 万美元的担保, 为其流动资金贷款提供 568.5 万元的担保。

3、经外经贸委外经贸资二函[2003]119 号文批准, 公司与巴斯夫亨斯迈上海异氰酸脂有限公司、上海华谊（集团）公司、中国石化上海高桥石油化工公司共同投资设立上海联恒异氰酸脂有限公司, 注册资本 93,307.7 万元人民币, 其中: 公司出资额为 13,996.2 万元人民币。公司第一、二期累计出资人民币 2,099.43 万元已于 2003 年 5 月 22 日到位, 根据有关协议、章程的规定, 剩余出资额应于 2006 年 6 月 13 日前缴足。

4、经外经贸委外经贸资二函[2003]120 号文批准, 公司与亨斯迈中国投资有限公司共同投资设立上海亨斯迈聚氨脂有限公司, 注册资本 5,937 万美元, 其中: 公司出资额为 1,781.1 万美元。公司第一期出资人民币 2,211.31 万元已于 2003 年 5 月 22 日到位, 根据有关协议、章程的规定, 剩余出资额应于 2006 年 6 月 11 日前缴足。

5、经宁发改工发[2003]64 号文批准, 公司与宁夏宁河民族化工股份有限公司、宁夏英力特电力（集团）股份有限公司共同投资设立宁夏西部聚氯乙烯有限公司, 注册资本 27,946 万元人民币, 其中: 公司出资额为 8,384 万元人民币。公司第一期出资人民币 3000 万元已于 2003 年 5 月 15 日到位, 根据有关协议、章程的规定, 剩余出资额应于 2004 年 12 月 31 日前缴足。

6、公司建造 7 万吨 PVC 专用树脂等项目已签订的合同金额为 25,967.08 万元人民币, 截止 2003 年 12 月 31 日已支付 14,692.38 人民币万元, 余款 11,274.7 万元人民币将于 2004 年及以后年度支付。

7、2003 年 12 月 23 日子公司上海助剂厂有限公司与上海浦东星火开发区联合发展有限公司签订土地转让合同, 受让土地面积 155,960 平方米, 受让费用及市政配套费合计 2,987 万元人民币, 已支付 276 万元人民币。根据合同约定: 2004

年 3 月 31 日前需支付 1,143.2 万元人民币, 2005 年 3 月 31 日前还需支付 522.6 万元人民币, 2006 年 3 月 31 日前付完全部余款计 1,045.2 万元人民币。

(三) 其他重大财务承诺事项:

截止 2003 年 12 月 31 日, 资产抵押情况:

1、子公司上海天原国际货运有限公司以上海市延安西路 895 号 21 层办公楼产权房作抵押, 取的交通银行贷款 700 万元, 贷款到期日 2006 年 10 月 15 日。抵押资产原值 1,068.7 万元, 评估价值 1,059.40 万元。

2、子公司上海金源自来水有限公司以土地使用权和房屋建筑物作抵押, 取得中国农业银行上海市金山支行贷款 130 万元, 贷款到期日 2004 年 4 月 15 日。

十、资产负债表日后事项:

截止报告日公司无需要披露的资产负债表日后事项。

十一、其他重要事项:

(一) 2003 年 11 月 18 日公司董事会通过了《关于与华谊集团公司、天原集团公司签订以土地使用权作抵押解决大股东欠款三方协议的议案》的决议: 上海华谊集团公司为保证上海天原集团公司归还本公司 3.17 亿元欠款, 拟将其拥有的上海闵行区吴泾街道 310、497、507、508、509 街坊共 23 幅地块 834,735 平方米土地使用权抵押给公司, 土地评估价值 3.23 亿元。

(二) 公司为上海乐安达凉椅有限公司的银行贷款 215 万美元及 50 万元人民币提供担保, 截止 2001 年 12 月 31 日公司已代上海乐安达凉椅有限公司向银行归还了上述贷款及其利息。公司于 2003 年 8 月 28 日向上海市第一中级人民法院提起诉讼: 要求上海乐安达凉椅有限公司的原承包人黄安林、反担保人深圳中侨实业有限公司及上海申大(集团)公司偿还上述款项。法院已受理立案, 现仍在审理中。

(三) 公司诉上海百士高塑胶有限公司拖欠借款 1,800 万元一案, 2003 年 8 月 21 日经上海市闵行区人民法院(2003)闵民督字第 46 号支付令责令其还款。因被执行人上海百士高塑胶有限公司未在规定期限内履行还款义务, 公司已于 2003 年 9 月 8 日向上海市闵行区人民法院申请执行, 法院责令被执行人在 2003 年 9 月 15 日前履行还款义务, 但被执行人未履行。公司于 2003 年 10 月 23 日以查封被执行人的财产难以处理为由向该法院申领债权申请执行凭证, 其受偿债权余额为人民币 18,000,100.00 元及相应利息。公司若发现被执行人有可供执行的财产或线索时, 可持该凭证向该法院申请执行。上海市闵行区人民法院认为被执行人财产目前难以处理, 案件无继续执行的条件, 准许授予公司债权申请执行凭证, 以(2003)闵执字第 3033 号民事裁定书裁定该院(2003)闵民督字第 46 号支付令执行程序终结。2004 年 2 月 25 日闵行区人民法院根据公司请求已恢复立案执行。截止 2003 年 12 月 31 日, 公司已对上海百士高塑胶有限公司的欠款计提了 15,503,562.06 元坏帐准备。

十二、补充资料

本年度非经常性损益列示如下：

项 目	金 额
（一）处置长期股权投资、固定资产、在建工程、无形资产、其他长期资产产生的损益	-9,638,568.47
（二）各种形式的政府补贴	4,486,168.80
（三）短期投资收益	4,830.51
（四）扣除公司日常根据企业会计制度规定计提的资产减值准备后的其他各项营业外收入、支出	1,344,907.13
（五）以前年度已经计提各项减值准备的转回	10,386,103.03
合 计	6,583,441.00

注：上表列示的金额已剔除少数股东份额和所得税影响。

第十二节 备查文件目录

- (一) 载有法定代表人、主管会计负责人、会计机构负责人签名并盖章的财务报表；
- (二) 载有会计师事务所盖章、注册会计师签名并盖章的审计报告原件；
- (三) 报告期内在中国证监会指定报纸上公开披露过的所有公司文件的正本及公告的原稿；
- (四) 上海氯碱化工股份有限公司章程。
- (五) 上述备查文件在中国证监会、证券交易所要求提供时和股东依据法规或公司章程要求查阅时，公司及时提供。

董事长：周 波

上海氯碱化工股份有限公司

2004 年 3 月 23 日

上海市股份有限公司二〇〇三年度会计报表

资 产 负 债 表

2003年12月31日

编制单位:上海氯碱化工股份有限公司

金额单位:元

资 产	行次	年初数		年末数		负债及股东权益	行次	年初数		年末数	
		母公司	合并数	母公司	合并数			母公司	合并数	母公司	合并数
流动资产:						流动负债:					
货币资金	1	775,681,564.03	913,546,232.15	651,051,602.64	777,693,691.06	短期借款	61	924,050,000.00	1,028,350,000.00	945,710,200.00	1,115,010,200.00
短期投资	2	0.00	36,000.00	0.00	0.00	应付票据	62	0.00	1,133,862.90	0.00	20,008,700.00
应收票据	3	149,684,567.48	174,220,308.60	125,065,202.71	160,430,820.58	应付账款	63	50,755,718.46	90,670,482.57	96,478,741.43	152,638,856.57
应收股利	4	1,058,090.80	0.00	0.00	0.00	预收账款	64	69,188,459.48	86,044,125.21	47,346,483.41	59,668,341.40
应收利息	5	0.00	0.00	0.00	0.00	应付工资	65	15,741,333.32	22,090,652.89	0.00	4,147,702.27
应收账款	6	167,569,758.60	215,906,676.79	120,864,181.78	163,937,970.32	应付福利费	66	0.00	3,849,894.30	0.00	3,483,739.47
其他应收款	7	345,238,457.56	369,240,756.15	354,167,273.43	374,584,762.99	应付股利	67	1,443,836.90	1,662,898.15	1,443,836.90	1,453,011.85
预付账款	8	13,216,721.09	28,884,749.57	26,642,681.76	54,252,742.59	应付利息	68				
应收补贴款	9	0.00	0.00	0.00	0.00	应交税金	69	15,518,937.19	17,665,874.71	8,597,889.04	14,940,294.70
存货	10	232,120,799.58	301,053,008.65	293,351,584.50	361,265,434.67	其他应交款	70	472,399.64	592,425.95	399,245.84	576,807.58
待摊费用	11	0.00	864,314.24	0.00	595,997.28	其他应付款	71	37,039,053.02	95,364,010.64	30,865,170.04	58,462,063.99
						预提费用	72	3,675,380.00	3,728,199.15	2,096,931.26	2,096,931.26
一年内到期的长期债权投资	21	0.00	0.00	0.00	0.00	预计负债	73	0.00	0.00	0.00	0.00
其他流动资产	24	0.00	0.00	0.00	0.00	递延收益	74				
流动资产合计	30	1,684,569,959.14	2,003,752,046.15	1,571,142,526.82	1,892,761,419.49						
						一年内到期的长期负债	78	43,000,000.00	43,000,000.00	0.00	0.00
						其他流动负债	79	0.00	0.00	0.00	0.00
长期投资:						流动负债合计	80	1,160,885,118.01	1,394,152,426.47	1,132,938,497.92	1,432,486,649.09
长期股权投资	31	561,732,111.27	241,393,450.38	715,329,207.33	391,938,573.50	长期负债:					
长期债权投资	32	0.00	0.00	1,000,000.00	1,000,000.00	长期借款	81	290,390,000.00	406,280,000.00	458,320,000.00	472,320,000.00
长期投资合计	33	561,732,111.27	241,393,450.38	716,329,207.33	392,938,573.50	应付债券	82	0.00	0.00	0.00	0.00
其中:合并价差(贷差以“-”号表示合并报表填列)	33-1	0.00	23,153,606.16	0.00	20,469,456.05	长期应付款	83	26,026,345.12	26,026,345.12	26,026,345.12	26,026,345.12
		0.00	0.00	0.00	0.00	专项应付款	84	57,120,000.00	57,120,000.00	57,120,000.00	57,120,000.00
固定资产:						其他长期负债	85	0.00	0.00	0.00	0.00
固定资产原价	38	3,695,908,857.38	4,341,521,322.41	3,782,506,926.08	4,420,630,596.06	长期负债合计	87	373,536,345.12	489,426,345.12	541,466,345.12	555,466,345.12
减:累计折旧	39	1,851,967,322.09	2,064,417,604.71	2,035,457,235.89	2,279,319,546.68	递延税款:	88				
固定资产净值	40	1,843,941,535.29	2,277,103,717.70	1,747,049,690.19	2,141,311,049.38	递延税款贷项	89	0.00	0.00	0.00	0.00
减:固定资产减值准备	41	50,174,209.49	72,169,262.16	47,629,320.17	68,380,914.24	负 债 合 计	90	1,534,421,463.13	1,883,578,771.59	1,674,404,843.04	1,987,952,994.21
固定资产净额	42	1,793,767,325.80	2,204,934,455.54	1,699,420,370.02	2,072,930,135.14						
工程物资	43	33,460,855.25	33,460,855.25	121,770,138.49	121,770,138.49	少数股东权益(合并报表填列)	90-1	0.00	72,354,369.50	0.00	70,340,843.10
在建工程	44	283,076,531.69	281,872,981.46	433,440,538.10	434,951,296.59						
固定资产清理	45	0.00	-16,132.00	0.00	0.00	股东权益:					
固定资产合计	50	2,110,304,712.74	2,520,252,160.25	2,254,631,046.61	2,629,651,570.22	股本	91	1,164,483,067.00	1,164,483,067.00	1,164,483,067.00	1,164,483,067.00
						资本公积	92	1,544,193,543.09	1,544,193,543.09	1,560,914,579.94	1,560,914,579.94
无形资产及其他资产:						盈余公积	93	113,703,808.17	117,281,923.10	118,510,613.11	123,250,935.34
无形资产	51	5,470,136.64	9,781,058.64	795,913.75	4,085,747.35	其中:法定公益金	94	813,801.62	1,440,101.41	3,217,204.09	4,398,301.97
长期待摊费用	52	993,055.56	1,118,403.06	909,722.28	974,902.98	减:表确认的投资损失(合并报表填列)	94-1	0.00	0.00	0.00	0.00
其他长期资产	53	0.00	0.00	0.00	0.00	未分配利润(未弥补亏损以“-”号表示)	95	6,268,093.96	-5,594,555.80	25,495,313.70	13,469,793.95
无形资产及其他资产合计	55	6,463,192.20	10,899,461.70	1,705,636.03	5,060,650.33	其中:董事会预先方案中分配的现金股利	95-1				
递延税项:						外币报表折算差额(合并报表填列)	96	0.00	0.00	0.00	0.00
递延税款借项	56	0.00	0.00	0.00	0.00	股 东 权 益 合 计	97	2,828,648,512.22	2,820,363,977.39	2,869,403,573.75	2,862,118,376.23
资 产 总 计	60	4,363,069,975.35	4,776,297,118.48	4,543,808,416.79	4,920,412,213.54	负 债 及 股 东 权 益 总 计	100	4,363,069,975.35	4,776,297,118.48	4,543,808,416.79	4,920,412,213.54

法定代表人:

主管会计工作的负责人:

会计机构负责人:

制表人:

上海市股份有限公司二〇〇三年度会计报表
利润及利润分配表
2003年度

编制单位:上海氯碱化工股份有限公司

金额单位:元

项 目	行次	上年数		本年数		项 目	行次	上年数		本年数	
		母公司	合并数	母公司	合并数			母公司	合并数	母公司	合并数
一、主营业务收入	1	2,247,718,384.77	3,160,992,443.91	2,638,603,905.32	3,905,555,539.51	六、可供分配的利润(亏损以“-”号填列)	25	7,895,697.20	-3,450,875.48	30,302,118.64	19,438,806.19
减: 主营业务成本	2	1,927,217,438.70	2,729,433,537.65	2,156,402,697.56	3,297,278,590.40	减: 提取法定盈余公积	26	813,801.62	1,117,778.84	2,403,402.47	3,010,811.68
主营业务税金及附加	3	10,546,099.60	15,103,224.64	11,060,357.87	15,608,416.72	提取法定公益金	27	813,801.62	1,025,901.48	2,403,402.47	2,958,200.56
二、主营业务利润(亏损以“-”号填列)	4	309,954,846.47	416,455,681.62	471,140,849.89	592,668,532.39	提取职工奖励及福利基金	28	0.00	0.00	0.00	0.00
加: 其他业务利润(亏损以“-”号填列)	5	8,137,458.45	9,946,321.60	-3,980,732.67	-3,996,641.41						
减: 营业费用	6	31,278,075.87	41,126,939.95	63,953,616.05	76,216,825.23						
管理费用	7	223,830,029.60	306,392,929.95	310,891,259.83	400,246,045.98						
财务费用	8	63,999,149.66	71,177,400.38	46,451,543.37	56,974,572.19	七、可供股东分配的利润(亏损以“-”号填列)	35	6,268,093.96	-5,594,555.80	25,495,313.70	13,469,793.95
三、营业利润(亏损以“-”号填列)	10	-1,014,950.21	7,704,732.94	45,863,697.97	55,234,447.58	减: 应付优先股股利	36	0.00	0.00	0.00	0.00
加: 投资收益(损失以“-”号填列)	11	-2,498,005.26	-11,128,553.79	-5,319,198.61	-12,156,097.44	提取任意盈余公积	37	0.00	0.00	0.00	0.00
补贴收入	12	5,257,530.52	7,636,576.66	3,167,000.00	5,521,000.00	应付普通股股利	38	0.00	0.00	0.00	0.00
营业外收入	13	5,818,774.90	7,638,764.81	1,947,885.54	2,483,572.63	转作股本的普通股股利	39	0.00	0.00	0.00	0.00
减: 营业外支出	14	2,102,219.44	2,420,676.65	15,544,765.00	16,406,355.86	八、未分配利润(未弥补亏损以“-”号表示)	40	6,268,093.96	-5,594,555.80	25,495,313.70	13,469,793.95
四、利润总额(亏损总额以“-”号填列)	15	5,461,130.51	9,430,843.97	30,114,619.90	34,676,566.91						
减: 所得税	16	-2,676,885.65	735,867.56	6,080,595.22	8,749,640.49	补充资料:					
减: 少数股东损益(合并报表填列、亏损以“-”号填列)	17	0.00	2,343,960.96	0.00	893,564.43	1.出售、处置部门或被投资单位所得收益	41				
加: 未确认的投资损失(合并报表填列)	18	0.00	0.00	0.00	0.00	2.自然灾害发生的损失	42				
						3.会计政策变更增加(或减少)利润总额	43				
五、净利润(净亏损以“-”号填列)	20	8,138,016.16	6,351,015.45	24,034,024.68	25,033,361.99	4.会计估计变更增加(或减少)利润总额	44				
加: 年初未分配利润(未弥补亏损以“-”号填列)	21	-30,392,882.53	-39,952,454.50	6,268,093.96	-5,594,555.80	5.债务重组损失	45				
加: 其他转入	22	30,150,563.57	30,150,563.57	0.00	0.00	6.其他	46				

法定代表人:

主管会计工作的负责人:

会计机构负责人:

制表人:

上海市股份有限公司二〇〇三年度会计报表
现金流量表

2003年度

编制单位:上海氯碱化工股份有限公司

金额单位:元

项 目	行次	金额			行次	金额		补充资料	行次	金额	
		母公司	合并数			母公司	合并数			母公司	合并数
一、经营活动产生的现金流量:				三、筹资活动产生的现金流量:				1. 将净利润调节为经营活动的现金流量:			
销售商品、提供劳务收到的现金	1	3,128,261,543.19	4,525,827,424.07	吸收投资所	26	0.00	0.00	净利润(亏损以“-”号表示)	43	24,034,024.68	25,033,361.99
收到的税费返还	2	3,167,000.00	5,521,000.00	其中:子公司	27	0.00	0.00	加:少数股东本期损益(亏损以“-”号表示)	44	0.00	893,564.43
收到的其他与经营活动有关的现金	3	7,836,905.42	14,644,927.53	借款所收到	28	1,238,980,200.00	1,426,980,200.00	减:未确认的投资损失	45	0.00	0.00
经营活动现金流入小计	5	3,139,265,448.61	4,545,993,351.60	收到的其他	29	0.00	0.00	加:计提的资产减值准备	46	35,957,227.72	35,867,487.77
				筹资活动现	30	1,238,980,200.00	1,426,980,200.00	固定资产折旧	47	234,056,413.06	270,866,852.44
购买商品、接受劳务支付的现金	6	2,320,368,256.23	3,510,085,088.95					无形资产摊销	48	189,570.39	1,210,658.79
支付给职工以及为职工支付的现金	7	217,538,148.90	268,799,409.98	偿还债务所	31	1,092,390,000.00	1,317,280,000.00	长期待摊费用摊销	49	83,333.28	143,500.08
支付的各项税费	8	29,678,408.44	64,714,864.74	分配股利或	32	66,953,140.14	78,513,575.64	待摊费用减少(减:增加)	50	0.00	-132,517.14
支付的其他与经营活动有关的现金	9	253,942,688.92	329,847,081.11	其中:子公司	33	0.00	0.00	预提费用增加(减:减少)	51	0.00	-52,819.15
经营活动现金流出小计	10	2,821,527,502.49	4,173,446,444.78	支付的其他	34	0.00	0.00	处置固定资产、无形资产和其他长期资产的损失(减:收益)	52	0.00	0.00
				其中:子公	35	0.00	0.00	固定资产报废损失	53	10,540,778.21	11,116,462.73
经营活动产生的现金流量净额	11	317,737,946.12	372,546,906.82	筹资活动	36	1,159,343,140.14	1,395,793,575.64	财务费用	54	51,329,345.32	62,861,469.03
				筹资活动产生	40	79,637,059.86	31,186,624.36	投资损失(减:收益)	55	5,319,198.61	12,156,097.44
								递延税款贷项(减:借项)	56	0.00	0.00
								存货的减少(减:增加)	57	-59,931,346.71	-59,603,469.14
				四、汇率变动	41	-306,390.40	-322,923.86	经营性应收项目的减少(减:增加)	58	13,602,327.91	-8,057,143.95
二、投资活动产生的现金流量:		0.00	0.00					经营性应付项目的增加(减:减少)	59	2,557,073.65	20,243,401.50
收回投资所收到的现金	12	826,794.58	826,794.58	五、现金及现金	42	-124,629,961.39	-135,852,541.09	其 他	60	0.00	0.00
取得投资收益所收到的现金	13	6,070,602.54	4,339,888.91					经营活动产生的现金流量净额	65	317,737,946.12	372,546,906.82
处置固定资产、无形资产和其他长期资产而收回的现金净额	14	3,440,476.08	4,792,126.92					2. 不涉及现金收支的投资和筹资活动:			
收到的其他与投资活动有关的现金	15	0.00	0.00					债务转为资本	66	0.00	0.00
投资活动现金流入小计	16	10,337,873.20	9,958,810.41					一年内到期的可转换公司债券	67	0.00	0.00
								融资租入固定资产	68	0.00	0.00
购建固定资产、无形资产和其他长期资产所支付的现金	18	377,898,686.03	388,388,028.29					3. 现金及现金等价物净增加情况:			
投资所支付的现金	19	154,137,764.14	160,833,930.53					现金的期末余额	69	651,051,602.64	777,693,691.06
支付的其他与投资活动有关的现金	20	0.00	0.00					减:现金的期初余额	70	775,681,564.03	913,546,232.15
投资活动现金流出小计	22	532,036,450.17	549,221,958.82					加:现金等价物的期末余额	71	0.00	0.00
								减:现金等价物的期初余额	72	0.00	0.00
投资活动产生的现金流量净额	25	-521,698,576.97	-539,263,148.41					现金及现金等价物净增加额	73	-124,629,961.39	-135,852,541.09

法定代表人:

主管会计工作的负责人:

会计机构负责人:

制表人:

资产减值准备明细表

2003年度

编制单位:上海氯碱化工股份有限公司

单位:元

项 目	行次	年初余额	本年增加数	本年减少数			年末余额
				因资产价值回升转回数	其它原因转出数	合计	
一、坏帐准备合计	1	203,309,898.80	38,179,610.17	1,099,156.49	4,212,616.54	5,311,773.03	236,177,735.94
其中: 应收帐款	2	44,841,800.82	38,179,610.17	0.00	2,587,616.54	2,587,616.54	80,433,794.45
其他应收款	3	158,468,097.98	0.00	1,099,156.49	1,625,000.00	2,724,156.49	155,743,941.49
二、短期投资跌价准备合计	4	4,000,000.00	0.00	0.00	2,000,000.00	2,000,000.00	2,000,000.00
其中: 股票投资	5	0.00	0.00	0.00	0.00	0.00	0.00
债券投资	6	0.00	0.00	0.00	0.00	0.00	0.00
三、存货跌价准备合计	7	33,629,173.94	10,343,633.36	8,505,621.57	3,137,450.00	11,643,071.57	32,329,735.73
其中: 库存商品	8	0.00	0.00	0.00	0.00	0.00	0.00
原材料	9	33,629,173.94	10,343,633.36	8,505,621.57	3,137,450.00	11,643,071.57	32,329,735.73
四、长期投资减值准备合计	10	29,175,000.00	15,000,000.00	0.00	135,000.00	135,000.00	44,040,000.00
其中: 长期股权投资	11	29,175,000.00	15,000,000.00	0.00	135,000.00	135,000.00	44,040,000.00
长期债权投资	12	0.00	0.00	0.00	0.00	0.00	0.00
五、固定资产减值准备合计	13	50,174,209.49	0.00	0.00	2,544,889.32	2,544,889.32	47,629,320.17
其中: 房屋、建筑物	14	18,750,827.61	0.00	0.00	1,782,628.31	1,782,628.31	16,968,199.30
机器设备	15	30,681,480.17	0.00	0.00	762,261.01	762,261.01	29,919,219.16
六、无形资产减值准备	16	57,905,352.25	4,502,407.50	0.00	0.00	0.00	62,407,759.75
其中: 专利权	17	0.00	0.00	0.00	0.00	0.00	0.00
商标权	18	0.00	0.00	0.00	0.00	0.00	0.00
七、在建工程减值准备	19	7,805,693.71	0.00	0.00	113,578.71	113,578.71	7,692,115.00
八、委托贷款减值准备	20	0.00	0.00	0.00	0.00	0.00	0.00
九、 总 计	21	385,999,328.19	68,025,651.03	9,604,778.06	12,143,534.57	21,748,312.63	432,276,666.59

法定代表人:

主管会计工作的负责人:

会计机构负责人:

制表人:

资产减值准备明细表

2003年度

编制单位:上海氯碱化工股份有限公司

单位: 元

项 目	行次	年初余额	本年增加数	本年减少数			年末余额
				因资产价值回升转回数	其它原因转出数	合计	
一、坏帐准备合计	1	220,281,619.39	39,983,604.13	3,683,371.73	4,476,430.81	8,159,802.54	252,105,420.98
其中: 应收帐款	2	62,939,450.98	38,198,902.10	2,584,215.24	2,768,430.81	5,352,646.05	95,785,707.03
其他应收款	3	157,342,168.41	1,784,702.03	1,099,156.49	1,708,000.00	2,807,156.49	156,319,713.95
二、短期投资跌价准备合计	4	4,000,000.00	0.00	0.00	2,000,000.00	2,000,000.00	2,000,000.00
其中: 股票投资	5	0.00	0.00	0.00	0.00	0.00	0.00
债券投资	6	0.00	0.00	0.00	0.00	0.00	0.00
三、存货跌价准备合计	7	37,752,175.95	11,459,600.67	8,901,061.06	3,167,496.49	12,068,557.55	37,143,219.07
其中: 库存商品	8	2,150,479.08	0.00	305,794.98	30,046.49	335,841.47	1,814,637.61
原材料	9	34,514,817.45	10,343,633.36	8,595,266.08	3,137,450.00	11,732,716.08	33,125,734.73
四、长期投资减值准备合计	10	29,175,000.00	15,000,000.00	0.00	135,000.00	135,000.00	44,040,000.00
其中: 长期股权投资	11	29,175,000.00	15,000,000.00	0.00	135,000.00	135,000.00	44,040,000.00
长期债权投资	12	0.00	0.00	0.00	0.00	0.00	0.00
五、固定资产减值准备合计	13	72,169,262.16	0.00	0.00	3,788,347.92	3,788,347.92	68,380,914.24
其中: 房屋、建筑物	14	19,377,680.00	0.00	0.00	1,782,628.31	1,782,628.31	17,595,051.69
机器设备	15	34,471,147.13	0.00	0.00	762,261.01	762,261.01	33,708,886.12
六、无形资产减值准备	16	72,590,352.25	4,502,407.50	0.00	0.00	0.00	77,092,759.75
其中: 专利权	17	0.00	0.00	0.00	0.00	0.00	0.00
商标权	18	0.00	0.00	0.00	0.00	0.00	0.00
七、在建工程减值准备	19	7,805,693.71	0.00	0.00	113,578.71	113,578.71	7,692,115.00
八、委托贷款减值准备	20	0.00	0.00	0.00	0.00	0.00	0.00
九、 总 计	21	443,774,103.46	70,945,612.30	12,584,432.79	13,680,853.93	26,265,286.72	488,454,429.04

法定代表人:

主管会计工作的负责人:

会计机构负责人:

制表人:

Shanghai Chlor-Alkali Chemical Co., Ltd.

ANNUAL REPORT 2003

March 25, 2004

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1. Important Notice

The Board of Directors of the Company and all its members ensure that the information contained in this Report does not have any false statement, serious misrepresentation or significant omission and will take the joint and several responsibilities for the truth, accuracy and completeness of the contents of the Report.

Mr. Zhou Bo, Chairman of the Board, Mr. Li Jun, General Manager and being in charge of the accounting work, Mr. Chang Qing, the Controller, and Ms. Li Ning, the manager of finance department, declare to guarantee the truth and completeness of the financial report in this Annual Report.

2. Brief Introduction to the Company

1. Legal Chinese Name of the Company: 上海氯碱化工股份有限公司
Legal English name of the Company: Shanghai Chlor-Alkali Chemical Co., Ltd.
Abbreviation: SCAC
2. Legal representative of the Company: Zhou Bo
3. Secretary of the Board of Directors: Xu Peiwen
Securities representative of the Board of Directors: Pang Xueying
Contact add.: 4747 Longwu Rd., Shanghai
Tel.: 021-64342640
Fax: 021-64341341
Zip code: 200241
E-mail: shxpw@21cn.com
Pangxy@21cn.com
4. Registered add. of the Company: 4747 Longwu Rd., Shanghai
Zip code: 200241
Tel.: 021-64340000
Website: www.scacc.com
E-mail: office@styc.com
5. Newspapers for information disclosure selected by the Company[°]
Shanghai Securities News, China Securities News and Hong Kong Commercial Daily
Website appointed by the China Securities Regulatory Committee for publishing annual report:
<http://www.sse.com.cn>
Place for storing annual reports[°]Urban area office of the office of the Board secretary
Contact add.: 17/F 1271 Pudong Nan Rd., Shanghai
Tel.: 021-58829587
Fax: 021-58829587
Zip code: 200122
6. Stock exchange for listing of the Company's shares: Shanghai Stock Exchange
Stock name: Chlorine Alkali Chemical Chlorine Alkali B share
Stock code: 600618 (A share) 900908 (B share)
7. Date of first registration: July 4, 1992
Date of alteration of registration: Sep. 11, 2000, change the registered capital because of offering bonus share.
Change the legal representative, general manager, etc. on Jan. 11, 2001
Company's address for the first registration: 4747 Longwu Rd., Shanghai
Registration no. of business license: Qiguhuzongzi No. 019017
Tax registration no.: 310043607200180
Domestic accounting firm for audit engaged by the Company: Shanghai Lixin Changjiang Certified Public Accountants
Business address: 4th Floor, No. 61, Nanjingdong Rd., Shanghai, China
Overseas accounting firm for audit engaged by the Company: Horwath Hong Kong CPA Limited
Business address: 20/F Central Plaza 18 Harbour Wanchai

3. Abstract of Accounting Data and Business Data

1. Main business data in 2003:

Unit: RMB'0000

No.	Item	Amount
1、	Gross profit	3,467.66
2、	Net profit	2503.34
3、	Net profit after non recurrent profit and loss	1844.99
4、	Main operation profit	59,266.85
5、	Other operation profit	-399.66
6、	Business profit	5,523.44
7、	Earnings from investment	-1,215.61
8、	Subsidiary earnings	552.10
9、	Net balance of non-operating revenue and expenditure:	-1,392.28
10、	Net balance of cash flow from business operations	37,254.69
11、	Net increase of cash and cash equivalents	-13,585.25

*Items included in non-recurrent profit and loss: RMB -9638600 from disposal for Long-term equity investment, fixed assets, construction in progress, intangible assets and other long-term assets, RMB 4486200 from subsidiary earnings, RMB 4800 from short-term investment, RMB 1344900 from non-operating revenue and expenditure and RMB 10386100 from transferring back in appropriation for provision for depreciation during previous years, total of RMB 6583400 (deducted from impact of income tax).

2. Notes for difference between the net profit calculated in Domestic Accounting Standards and in International Accounting Standards:

(Reconciliation Table for the Differences between Domestic Audit and Overseas Audit)

Unit: RMB'0000

	Domestic Accounting Standards in 2003	International Accounting Standards in 2003
Net profit	2503.3	4406.2
Offset of evaluated appreciation of fixed assets and related depreciation expenses	213.1	
Offset of evaluated appreciation of fixed assets in the affiliated companies and related depreciation expense	2.6	
Goodwill written-off during previous year and the relevant amortization charge	15.1	
Income and expenditure directly accounted as reserves	1672.1	
Total	4406.2	4406.2
Remark for the difference:	In the difference between A share and B share, RMB 16,721,000 was the gain and loss generated for the debt reorganization, which would be accounted as capital reserves for A share, as income of current period for B share.	

3. Accounting data and financial indexes in previous 3 years before the end of the report period:

Unit: RMB'0000

Main financial indexes	Dec. 31, 2003	Dec. 31, 2002	Dec. 31, 2001	
			Before adjusted	After adjusted
Main operation income	390555.55	316099.24	272832.30	272832.30
Net profit	2503.34	635.10	513.34	708.61
Net profit after non recurrent profit and loss	1844.99	-644.51	-10485.79	-10290.51
Earning rate of net assets, weighted average and based on net profit after non recurrent profit and loss (%)	0.65	-0.23	-3.74	-3.67
Earning rate of net assets (%)	0.87	0.23	0.18	0.25
Earnings per share (RMB)	0.0215	0.0055	0.0044	0.0061
Net amount of cash flow from operational activities per share (RMB)	0.3199	0.4018	0.2043	0.2043

Total assets	492041.22	477629.71	461008.64	460929.54
Shareholders' equity (minority equity excluded)	286211.84	282036.40	280301.93	280222.83
Net assets per share (RMB)	2.4578	2.4220	2.4071	2.4064
Net assets per share, after adjusted (RMB)	2.0576	2.2827	2.1670	2.1895

4. Attached list of statement of income during the report period (Earnings rate of net assets calculated as per the requirements of "Editing Rule for Informatin Disclosure of Publicly Listed Companies (No. 9)")

Profit in the report period	Earnings rate of net assets		Earnings per share	
	Fully dilluted	Weighted	Fully dilluted	Weighted
Main operation profit	20.81%	20.97%	51.15%	51.15%
Business profit	1.9535%	1.9679%	4.80%	4.80%
Net profit	0.8746%	0.8811%	2.15%	2.15%
Net profit after non recurrent profit and loss	0.6446%	0.6494%	1.58%	1.58%

5. Change of the shareholders' equity during the report period and the reason of change

Unit: RMB'0000

Item	Share capital	Capital reserves	Surplus reserves	Statutory public welfare fund	Undistributed profit	Total of shareholders' equity
At beginning	116448	154419.35	11728.19	144.01	-559.46	282036.40
Increase	0	1672.11	596.90	295.82	1906.44	4175.44
Decrease	0	0	0	0	0	0
At end	116448	156091.46	12325.09	439.83	1346.98	286211.84

Reason of change:		Because of release from interest and adjustment for capital reserves of the subsidiaries	Mainly because of appropriation pro rata	Mainly because of appropriation pro rata	Because of transferring from net profit of this year	
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4. Change of the Share Capital and Introduction to the Shareholders

1. Table of change of share capital

	Before change	Increase or decrease (+, -)						After change
		Rationed shares	Bonus share	Transferred from capital reserves	Newly issued shares	Other	Subtotal	
1. Non--tradable shares								
1) Promoter's share								
Including:								
State-owned share	611510647							611510647
Domestic legal person share								
Overseas legal person share								
Other								
2) Raised legal person share	118580000							118580000
3) Internal staff share								
4) Preferential share or other								
Subtotal	730090647							730090647
2. Tradable share								
1) Renminbi ordinary share	27832420							27832420
2) Domestic listed foreign capital share	406560000							406560000
Subtotal	434392420							434392420
3. Total	1164483067							1164483067

a. During the report period, there was no change for the structure of the share capital.

b. At the end of the report period, ADR had 45727 shares in B share, accounting for 0.11% of the B share.

2. Total number of shareholders at end of the report period, top ten shareholders and top ten shareholders of tradable share:

1) At the end of the report period, there are totally 86675 shareholders, including 21341 holders of A share (legal person share included) and 65334 holders of B share.

2) Top 10 shareholders of the Company

Unit: share

Name	Increase or decrease	Shares held at the end of year	Ratio (¥%)	Kind of share: (tradable or untradable)	Pledged or frozen shares	Nature of shareholders (holder of state-owned share or holder of foreign capital share)
1. Shanghai Hua Yi (Group) Company	None	611,510,647	52.51	Untradable	None	Holder of state-owned share
2. Ningbo Jin Gang Trust Investment Co., LTD	None	6,050,000	0.52	Untradable	Pledged with 6,050,000	Legal person share
3. Shanghai Shenyin Wanguo Securities Co., Ltd.	None	5,057,833	0.43	Untradable	Unknown	Legal person share
4. Shanghai Tianyuan (Group) Co., Ltd.	Increased by 294910	4,713,697	0.40	Untradable	None	Legal person share

	shares					
5. Shanghai Chlor-Alkali Chemical Multi-Purpose Company	None	4,330,376	0.37	Untradable	None	Legal person share
6. DEBORAH WANG LIN	None	3,523,000	0.30	Tradable share	Unknown	Foreign capital share holder
7. Management Center of Public Reserve Fund	None	3,049,200	0.26	Untradable	Unknown	Legal person share
8. Shanghai Chlor-Alkali Chemical Real Estate Development Company	None	3,049,200	0.26	Untradable	None	Legal person share
9. DAIWA SECURITIES SMBC HONG KONG LTD-CLIENTS ACCOUNT	Newly increased	3,026,018	0.26	Tradable share	Unknown	Foreign capital share holder
10. China Merchants Development Co., Ltd.	Decreased by 502999 shares	2,970,000	0.25	Tradable share	Unknown	Foreign capital share holder
Remark on associative relations between the top 10 shareholders or their concerted actions		There are associative relations among the above 1, 4 and 8, in which 8 is the Company's wholly-owned subsidiary. It is unknown that whether there is associative relation among the holders of legal person share and tradable share or not.				
Top 10 holders of tradable share						
Name		Shares held at end of year		Kinds (A, B, H shre or other)		
DEBORAH WANG		3,523,000		B share		
DAIWA SECURITIES SMBC HONG KONG LTD-CLIENTS ACCOUNT		3,026,018		B share		
China Merchants Development Co., Ltd.		2,970,000		B share		
MEESPIERSON ASIA LTDASIA LTD.		2,321,241		B share		
NAITO SECURITIES CO., LTD.		1418317		B share		
Yu Yusheng		1359300		B share		
Shanghai Hongqiao International Airport Co., Ltd.		1228335		A share		
TOYO SECURITIES ASIA LTD. A/C CLIENT		1203370		B share		
NBP S/A FRUCTILUX SICAV		1200000		B share		
Shanghai International Trust & Investment Company		1165472		B share		
Remark on the associative relation among the top 10 holders of tradable share				It is unkown that whether there is associative relation among the holders of tradable share or not.		

3) There is only one shareholder with shares accounting for more than 5%, Shanghai Huayi (Group) Co., Ltd., which did not have its shares increasing or decreasing during this year. Shanghai Huayi (Group) Company is a company authroized for running state-owned assets, established on Jan. 1997; legal representative: Zhang Peizhang; registered capital RMB 4,066,240,000; business scope: running state-owned assets within authorized sphere, investment on industry, manufacture and sales for chemical and medical products and equipment, installation, maintenance and contracted service for the project of chemical and medical equipment.

Shanghai Tianyuan (Group) Co., Ltd. is a subsidiary wholly-owned by Shanghai Huayi (Group) Company. It is authorized to run the state-owned shares of the Company, founded in March of 1996 with registered capital of RMB 809,120,000. Legal representative: Zhang Ruiyue; business scope: chemical production and manufacture for chemical equipment, investment on industry, domestic trade (except specially specified), development on real estate, running realty management, import & export business approved by the Foreign Economic & Trade Commission. Shanghai Tianyuan Group is one experimental unit among 120 groups of enterprises and one of the 520 key enterprises all over the country.

- 4) The Company, in the 7th meeting of 4th Board of Directors held on Nov. 18, 2003, examined and passed the Motion on Transferring Shanghai Chlor-Alkali Chemical Real Estate Development Company. After the conditions are mature, the Company shall transfer its 51% equity interests in Shanghai Chlor-Alkali Chemical Real Estate Development Company to the subsidiaries not belonging to chlorine alkali chemical industry. After such transfer, the Company will not control the majority share of the Shanghai Chlor-Alkali Chemical Real Estate Development Company.
- 5) During the report period the Supply and Marketing Company of the Shanghai Chlorine Alkali General Plant went out of business and its legal person share was transferred to the Shanghai Tianyuan (Group) Co., Ltd., so the legal person share held by the Shanghai Tianyuan (Group) Co., Ltd. has been increased by 294,910 shares.

5. Introduction to the Directors, Supervisors, Senior Executives and Staff Members

1. Information on Directors, Supervisors and senior executives

Name	Position	Sex	Age	Office term	Shares held at beginning	Shares held at end
Mr. Zhou Bo	Chairman of the Board	Male	42	12/2003—12/2006	3454	3454
Mr. Zhang Ruiyue	Vice Chairman of the Board	Male	52	12/2003—12/2006	605	605
Mr. Li Jun	General manager	Male	45	12/2003—12/2006	605	605
Mr. Wang Xinkui	Director	Male	57	12/2003—12/2006	0	0
Mr. Wang Kaiguo	Director	Male	46	12/2003—12/2006	0	0
Mr. Bai Lijie	Director	Male	54	12/2003—12/2006	0	0
Mr. Zhang Zhujun	Director	Male	59	12/2003—12/2006	605	605
Mr. Yu Juehui	Director	Male	55	12/2003—12/2006	0	0
Mr. Rong Guangdao	Independent Director	Male	49	12/2003—12/2006	0	0
Mr. Tang Qiqing	Independent Director	Male	49	12/2003—12/2006	0	0
Mr. Yang Guoping	Independent Director	Male	48	12/2003—12/2006	0	0
Mr. Pan Fei	Independent Director	Male	48	12/2003—12/2006	0	0
Ms. Shen Liping	Chairman of the Supervisory Committee	Female	58	12/2003—12/2006	0	0
Ye Tianfu	Supervisor	Male	51	12/2003—12/2006	0	0
Mr. Chen Xinpu	Supervisor	Male	56	12/2003—12/2006	0	0
Mr. She Wei	Supervisor	Male	38	12/2003—12/2006	0	0
Ms. Li Aimin	Supervisor	Female	36	12/2003—12/2006	0	0
Mr. Yu Zhaojun	Supervisor	Male	46	12/2003—12/2006	0	0
Mr. Cheng Xilong	Vice general manager	Male	50	12/2003—12/2006	0	0
Mr. Huang Zhiyong	Vice general manager	Male	50	12/2003—12/2006	0	0
Mr. Wang Yufeng	Vice general manager	Male	40	12/2003—12/2006	0	0
Mr. Yue Qun	Vice general manager	Male	38	12/2003—12/2006	0	0
Mr. Chang Qing	Controller	Male	39	12/2003—12/2006	0	0
Mr. Xu Pingwen	Board secretary	Male	49	12/2003—12/2006	0	0

2. Introduction to annual rewards

1) During 2003, the annual rewards for Directors, Supervisors and senior executives getting wage in this Company, were all distributed according to the Checking and Evaluation Measures on the Rewards of Directors, Supervisors and Senior Executives approved by the shareholders' meeting.

The total of the annual rewards for the Directors, Supervisors and senior executives is RMB 2,150,000, 2 persons with more than RMB 200,000, 7 persons with RMB 150,000 to 200,000, 2 persons with RMB 100,000 to 150,000, and 3 persons with lower than 100,000. The total amount of the annual rewards for the first 3 Directors is RMB 600,000, and the total amount of the annual rewards for the first 3 senior executives is RMB 624,000. The allowance

for the Independent Director is RMB 80,000 per year.

- 2) The Directors not getting rewards and allowances are Mr. Wang Xinkui, Mr. Wang Kaiguo, Mr. Bai Lijie and Mr. Zhou Bo, and the Supervisors not getting rewards and allowances are Ms. Shen Liping and Mr. Chen Xinpu. The Directors not getting rewards and allowances in the shareholder's units are Mr. Zhou Bo, Ms. Shen Liping and Mr. Chen Xinpu.
- 3) During the report period the Directors leaving their positions because of change of the Board of Directors were Mr. Xu Rongyi, Mr. Yang Zhenhan and Mr. Hou Shuiji, the Independent Director leaving the position was Mr. Sun Zhen. The Director leaving the position because of retirement was Ms. Wei Guangai. The Supervisors leaving their position because of change of the Supervisory Committee of the Company were Mr. Zhang Hongwen, Mr. Xia Peichen, Mr. Wang Lei, Mr. Mao Zhiming, Ms. Zhang Yaman, Mr. Zhao Ruquan, Mr. Shao Weida and Ms. Zhao Jianhua.

Mr. Zhang Zhujun was elected as the Director of the 5th Board of Directors in a provisional shareholders' meeting in 2003, and would not be as the vice general manager of the Company.

During the report period the Company, in the 1st meeting of the 5th Board of Directors, engaged Mr. Li Jun as the general manager of the Company, Mr. Cheng Xilong, Mr. Huang Zhiyong, Mr. Wang Yufeng and Mr. Yue Qun as the vice general manager of the Company, Mr. Chang Qing as the controller of the Company, and Mr. Xu Pingwen as the secretary of the Board of Directors of the Company.

- 4) At end of the report period the Company totall had 4910 employees, decreased by 106 persons than the previous year. At present the employees devided by profession: production personnel accounting for 69.73%, marketing personnel accounting for 1.9%, technicians accounting for 7.65%, financial personnel accounting for 1.63%, managerial personnel accounting for 16.83%, and logistical personnel accounting for 2.26%. Devided by educational level: the employees with graduate degree and undergraduate degree accounting for 6.75%, with junior college degree, accounting for 13.64%, with secondary technical school and senior high school level, accounting for 51.6%, and with level lower than senior high school, accounting for 28.01%. The Company now has 2766 retired people.

6. Management Structure of the Company

1. Based on the provisions in the Company Law, Securities Law and the Management Principle of the Listed Companies and in consideration of the Company's practical situation, the Company has established a mechanism with relations of checks and balance between the owner and the operator, formed a legal person management structure of each people being responsible for himself, unification between duty and right, and running coordinately.
 - 1) The Company strictly executes the files issued by the China Securities Regulatory Committee for the listed companies; it, based on the requirements in the Guidance Opinion on Setting Up Independent Director System in the Listed Companies issued by the China Securities Regulatory Committee and the Notice on Doing Well the Work related to the Independent Directors of Listed Company in Shanghai issued by the Shanghai Securities Management Office, made election for change of the Board of Directors on November 18, 2003, adding two Independent Directors and thus letting the number of the Independent Directors accounting for one-third of the total number of the Directors.
 - 2) According to the requirements in the Notice on Self-checking and Self-correcting of the Insiders of the Listed Company to the Deal for the Shares of Their Own Company and the Notice on Normalizing the Cash Flow between the Listed Company and its Associative Parties and Some Problems Related to the Listed Company's Guarantee for Other Companies issued by the China Securities Regulatory Committee, the Company has made serious self-checking on the deal for the Company's shares by its "insider" and full checking on the cash flow between the Company and its associative parties and the guarantee for other companies, and written a self-checking report according to the facts through self-checking.
 - 3) According to the requirements of the Notice on Promoting the Supervisory Work on the Relation of Investors of Listed Companies in Shanghai issued by the Shanghai Securities Regulatory Office of the China Securities Regulatory Committee, the Company is actively making the supervisory work on the relation of investors, such as establishing information disclosure system, constructing internal information support platform, setting up information service office and doing well the information disclosure system. At present the Company has already worked out the system of the supervisory work on the relation of investors and submitted it to the Board of Directors for approval, thus raising this work to a new level and making it a routine work.
2. Working status of the Independent Directors

The Independent Directors of the Company, in according to the requirements of the Securities Law, the Work System of the Independent Director and other laws and statutes, has sincerely performed its obligation of good faith and diligence, actually maintained the integral interests of the Company and the legitimate interests of middle and small shareholders, earnestly joined the Board meetings and the shareholders' meetings, strived to investigate the Company's economical operation, furnished consultation for the Company's management activity, expressed professional opinion for the Company's associative transaction, issued written opinion of Independent Director, and played positive function for the objective and scientific decision for the Board of Directors.
3. "Five Separation"

With its ability on independent and complete business and self operation, the Company has been separated from its controlling shareholder in business, personnel, assets, organization and finance; they make independent accounting respectively and take the responsibilities and risks independently.

7. Brief Introduction to the Shareholders' Meetings

1. During the report period the Company totally held two shareholders' meetings.

1) The notice on the convening of the Company's 2002 shareholders' meeting (annual meeting) and the agenda, was published in the form of Announce (Lin 2003-002) in the Shanghai Securities News, China Securities News and Hong Kong Commercial Daily on Feb. 15, 2003.

On April 15, 2003 the Company convened the 2002 general meeting at Longhua Guest House; 65 shareholders and authorized proxies, representing 626920946 shares and accounting for 53.84% of the total share capital of the Company, attended this meeting, which examined and passed the following resolutions:

- (1) Examined and passed the working report of the Board of Directors;
- (2) Examined and passed the working report of the Supervisory Committee;
- (3) Examined and passed the 2002 financial account and the 2003 financial budget report;
- (4) Examined and passed the 2002 profit distribution proposal;
- (5) Examined and passed the motion on continuing to engage public accountants and disbursing the rewards to the public accounting firm;
- (6) Examined and passed the motion on checking and evaluating the salaries of the senior executives;
- (7) Examined and passed the motion on supplementing Director, electing Mr. Yu Juehui as the Director of the Company's 4th Board of Directors.

The resolution of this shareholders' meeting was published in the Shanghai Securities News, China Securities News and Hong Kong Commercial Daily on Apr. 16, 2003.

2) The notice on the convening of the Company's 2003 provisional shareholders' meeting and the agenda of the meeting, was published in the form of Announce (Lin 2003-010) in the Shanghai Securities News, China Securities News and Hong Kong Commercial Daily on Nov. 20, 2003.

On Dec. 23, 2003 the Company held the 2003 provisional shareholders' meeting at the International Great Hotel of the Shanghai Guangda Exhibition Center. 65 shareholders and authorized proxies, representing 637501024 shares and accounting for 54.75% of the total share capital of the Company, including 21 holders of B share representing 7510644 shares, attended this meeting. The meeting examined and passed the following resolutions:

- (1) Examined and passed the working report of the Board of Directors;
- (2) Examined and passed the working report of the Supervisory Committee;
- (3) Examined and passed the motion on furnishing guarantee for the loan of the Shanghai Lianhen Isocyanic Acid Grease Co., Ltd. and the Shanghai Hensmile Co., Ltd.;
- (4) Examined and passed the motion on furnishing guarantee for the loan of the Bayer (Shanghai) Polymer Co., Ltd.;
- (5) Elected Mr. Wang Xinkui, Mr. Wang Kaiguo, Mr. Bai Lijie, Mr. Zhou Bo, Mr. Zhang Ruiyue, Mr. Zhang Zhujun and Mr. Yu Juehui as the Director of the Company's 5th Board of Directors, Mr. Rong Guangdao, Mr. Tang Qiqing, Mr. Yang Guoping and Mr. Pan Fei as the Independent Director of the Company's 5th Board of Directors Board of Directors.
- (6) Elected Mr. Ye Tianfu, Ms. Shen Liping and Mr. Chen Xinpu as the Supervisor of the 5th Supervisory Committee.

The Supervisors of the 5th Supervisory Committee elected by the employee's representatives are Mr. She Wei, Ms. Li Aimin and Mr. Yu Zhaojun.

2. The change of the Directors and Supervisors of the Company during the report period:

During the report period the Company convened the 2003 provisional shareholders' meeting, which elected Mr. Wang Xinkui, Mr. Wang Kaiguo, Mr. Bai Lijie, Mr. Zhou Bo, Mr. Zhang Ruiyue, Mr. Zhang Zhujun and Mr. Yu Juehui as the Director of the Company's 5th Board of Directors, Mr. Rong Guangdao, Mr. Tang Qiqing, Mr. Yang Guoping and Mr. Pan Fei as the Independent Director of the Company's 5th Board of Directors Board of Directors. Elected Mr. Ye Tianfu, Ms. Shen Liping and Mr. Chen Xinpu as the Supervisor of the 5th Supervisory Committee. The Supervisors of the 5th Supervisory Committee elected by the employee's representatives are Mr. She Wei, Ms.

Li Aimin and Mr. Yu Zhaojun.

The Directors and Independent Directors leaving their positions were Mr. Xu Rongyi, Mr. Yang Zhenhan, Mr. Hou Shuiji, Mr. Sun Zhen and Ms. Wei Guangai.

The Supervisors leaving their position were Mr. Zhang Hongwen, Mr. Xia Peichen, Mr. Wang Lei, Mr. Mao Zhiming, Ms. Zhang Yaman, Mr. Zhao Ruquan, Mr. Shao Weida and Ms. Zhao Jianhua.

8. Report of the Board of Directors

1. Analysis of the business affairs during the report period:

1) A favourable turn has appeared in the industry and the profitability significantly improved.

During 2003 the chlorine-alkali industry continued to make high speed development, the production volume and capacity increased by 18% and 38% respectively than the previous year. The production capacity for sodium hydroxide has exceeded 10,000,000 tons. Because the increase of GDP brought along the demand of the basic chemical engineering and the lawsuit for PVC antidumping won, so the PVC continues to keep at scarce status in the market, the profitability of the whole industry is significantly enhanced and a good chance for development has appeared.

2) The Company makes use of the chance to enter the platform of good running.

During the report period based on the operation policy of "Conformity, Reform and Innovation", the Company set up the "Consciousness on the Whole Situation, Consciousness on the Object and Consciousness on the Responsibility" and promoted the strategy implementation of "Strengthening the Main Business and Promoting the New Business", so it run very well for all its business.

(1) The production capacity of the devices has been increased. Through the technical innovation mainly for improving the technique of the process and device, the production capacity of sodium hydroxide and PVC have respectively reached 420000 tons and 350000 tons, increase of 5% and 6% respectively than the previous year. The Company's whole production system has realized continuous operation with heavier load, and the safety and environment protection are all under strictly controlled condition. The production volumes for its main products, PVC and sodium hydroxide, have respectively increased by 14000 tons and 28000 tons, increase of 5% and 7.4% respectively.

(2) The production control is increasingly mature. Combine the "Per Ton Chlorine" benefit and the market demand into one thing, reasonably adjust the ration of the yield of all the products and prefer to make production for the products with good market demand and high gross profit; arrange the repair schedule in scientific way and reduce the non-planned operation stop; make ISO14001 environmental management as the standard to perform the clean production seriously.

(3) Stably expand the products market. The Company Took an active part in the PVC antidumping work, and raised the market policy of "Take Care of the Source, Increase the Supply, Stabilize the Market and Make Development Together" after the Ministry of Commerce has ruled the Company win the lawsuit for antidumping, thus prevent the domestic PVC market from sharp fluctuation and let PVC's price increasing stably. At the same time based on the market change for sodium hydroxide at home and abroad, adjust the ratio for sales of sodium hydroxide at home and abroad; This has not only solved the sale of the increased sodium hydroxide but also stablized the selling price.

(4) Supervise the reform step by step. The Company has adopted new measures for the "Horizontal" management, such as setting up production dispatch center, implementing device management test in VCM workshop and Ion membrane sodium hydroxide workshop to promote the process of device management; strived to perform overall budget, continued to do well the monthly rolling budget, strengthened cost control, set up the standard quota of consumption for raw material, and implementing rigid control in level. It strived to strengthen the management for the capital budget items, ensure the effective control to the cash flow, and get capital return of 101%.

(5) Effective implementation for strategic policy. 2003 is the year for implementing the strategy of "Strengthen Main Business and Promote New Business" with greater efforts. Wujing Base: The PVC project with output of 70000 tons/year and invested in state debt, has entered the final phase for installation and debugging, will be gradually getting production capacity. Caojin Base: The Caojin project with output of 250000 tons of sodium hydroxide per year, 207000 tons of liquified chlorine gas per year and 300000 tons of Dichloroethane, has already stated the piling for construction. The PC and MDI joint venture project with the multinational companies are also actually started. Ningxiang Base: The project with output of 120000 tons of PVC in calcium carbide process per year, 100000 tons of sodium hydroxide per year and 130000 tons of calcium carbide, has entered the fully construction phase. For promoting the new business, the Company, through adjusting its internal source and using its existing "Aeroamphibious" carrier for material circulation, advertizes its brands and constructs the platform to set up a

material circulation company for chemical liquid and other dangerous goods with liquified chlorine gas, over wrapping, VCM and EDC as the core business.

While making strategic execution, the Company also placed emphasis on the environmental protection and promoted greatly the implementation of the environmental protection projects, such as treatment for dust from PVC packings, reconstruction on dirty treating gutter of VCM device, 1600 waste water treatment unit of newly-built VCM device, etc., and strive to ensure the existing and development of Wujin production base.

2. Business status during the report period

1) Main business scope and its business status:

Main business scope of the Company: The Company belongs to the industry for basic chemical raw materials, mainly engages with PVC, sodium hydroxide, chlorine series and other basic chemical raw materials and processed products. In 2003 in the Company's main products, market share for PVC was 5.9%, for sodium hydroxide, 4.5%.

(1) Composition of main operation income and main operation profit during the report period.

According to category of business Or according to products	Main operation income	Main operation cost	Gross profit margin (%)	Increase or decrease of main operation income than previous year (%)	Increase or decrease of main operation cost than previous year (%)	Increase or decrease of gross profit margin than previous year (%)
PVC	2,046,432,134.53	1,727,628,869.11	15.58%	22.33%	22.71%	-0.26%
Sodium hydroxide	416,035,540.60	325,791,370.58	21.69%	0.71%	-21.61%	22.29%
Chlorine products	428,213,806.09	323,730,621.60	24.40%	23.05%	25.02%	-1.19%
Granular material and other	1,112,170,642.75	1,017,424,13.57	8.52%	35.92%	38.26%	-1.55%
Including: Associative transaction	97,296,584.46	81,602,645.39	16.13%	6.53%	-8.20%	13.46%
Total	4,002,852,123.97	3,394,575,174.86	15.20%			

Main business according to area

Area	Main operation income	Increase or decrease than previous year (%)
Shanghai area	4,002,209,953.97	23.08
Outside Shanghai area	642,170.00	-21.07
	4,002,852,123.97	

(2) Products accounting for over 10% of main operation income or main operation profit of the Company Unit: RMB'0000

Item	Sales income	Selling cost	Gross profit margin	Ratio in main operation income	Ratio in main operation profit
PVC	204,643.21	172,762.89	15.58%	51.12%	52.28%
Sodium hydroxide	41,603.55	32,579.14	21.69%	10.39%	14.94%

Chlorine products	42,821.38	32,373.06	24.40%	10.70%	14.23%
Granular material and other	111,217.06	101,742.43	8.52%	27.78%	18.55%

(3) Explanation for the fact that during the report period main business or its structure and main business profitability got bigger change than the previous report period: The Company's main operation income and profit increased respectively by 24.4% and 43.03% than the previous period. This was because the increase of GDP has brought about the demand to the basic chemical products, the win of lawsuit to the antidumping of PVC, the price of PVC and chlorine products were stably increasing and the Company's profitability thus was increased.

2) Operation results of the holding company and main participating companies:

Unit:

RMB'0000

Company name	Business nature	Net assets	Total assets	Registered capital	Equity	Net profit
1.Shanghai Chlor-Alkali Real Estate Development Company	Real estate development	1883	6927	1500	100%	61.7
2.Shanghai Le Kai International Trading Company	Chemical trade and storage	1195	1893	608	100%	180.4
3.Shanghai Chlor-Alkali Chemical Trading Co., Ltd.	Chemical trade	11539	12610	10000	90%	61.8
4.Shanghai Da Kai Plastics Co., Ltd.	Plastic membrane and its further processing	10045	11121	4347.76	90%	565.5
5.Shanghai Addition Agent Factory Co., Ltd.	Chemical addition agent	4168	6314	3497	85.13%	456.4
6.Shanghai Tian Yuan (Group) Tian Yuan Chemical Co., Ltd.	Produce PVC and other	9764.4	32468.3	12617.50	76.22%	-475.52
7.Suzhou Gusu Economic Development General Company	Parking lot	1012	1822	1000	80%	11.07
8.Shanghai Engineering Chemistry Designing Institute Co., Ltd.	Engineering design	2393	5060	2100	48.57%	204
9.Shanghai Tianyuan Material Circulation Co., Ltd.	Container transportation and freight agent	2309.2	3889.25	2200	57.92%	117.43
10.Shanghai Tianyuan International Transport Co., Ltd.	International Transportation	3263	7546	3040	51%	165.2
11. Shanghai Chlor-Alkali Plastic Co., Ltd.	Produce and sell PVC tube and plumbing	4990	6447	4351	50%	-251.7
12. Shanghai Herklis Chemical Co., Ltd.	Papermaking and manufacture for chemicals	3429	9722	5442.45	40%	535.7

Companies with investment income accounting for 10% or above of the net profit of the Company:

- Shanghai Da Kai Plastics Co., Ltd.: Registered capital of RMB 43477600, located at 400 Jiebang Rd., Gaoqiao, Shanghai Pudong. 90% equity interests is held by the Company, and 10% is held by the China Huarong Assets Management Company (Shanghai Office). The Company's main scope of business is to produce plastic film and the further-processed products, produce and sell the substrates of card base of various credit card. The designed productive capacity is 5000 tons per year. The net profit audited in 2003 is RMB 5655000, total assets is RMB 111210000, and the net assets is RMB 41680000.
- Shanghai Addition Agent Factory Co., Ltd.: In the registered capital of RMB 34970000, 85.13% is held by the Company, 12.87% held by the Shanghai Tianyuan (Group) Co., Ltd. and 2% held by the Shanghai Chlor-Alkali Creation Co., Ltd. Registration address is 300 Liannan Rd, Pudong, business scope is to produce the chemical addition agent, organic intermediate alkane kind of chemical products. At present its main products are brightener, penetrant, anti-static agent, binding agent, soften agent, etc., totally 16 categories and over 240 kinds. In 2003 the audited net profit is RMB 4564000, total assets is RMB 63140000 and the net assets is RMB 41680000.

c. Shanghai Tianyuan Chemical Co., Ltd.: In its registered capital of RMB 126175000, 76.22% is held by the Company and 23.77% is held by the Shanghai Industrial Investment (Group) Co., Ltd. The Company's main business is to produce and deal in PVC, chlorine, sodium hydroxide and such series of chemical raw material and processed products, manufacture of chemical machinery and equipment, processing, installation and repairing, production of chemical products, auxiliary raw material and packing material. In 2003 the audited net profit is RMB 4755000, total assets is RMB 324683000, and the net assets is RMB 97644000.

d. During the report period the Company made liquidation and reorganization on its subsidiaries, let the Supply and Marketing Company of the Shanghai Chlor-Alkali General Plant go out of business.

3) Main suppliers and customers:

Total of the purchase amount of the top 5 suppliers	RMB 1279587400	Ratio in the total purchase amount	38.54%
Total of the sales amount to the top 5 customers.	RMB 513636900	Ratio in the total of sales amount	9.93%

4) Problems and difficulties in operation and the solutions:

(1) Main difficulties in the operation

- Increase of the cost of the main raw material: Because of the increase of the international crude oil price, the price of the main raw material of PVC products, ethylene, dichloroethane and vinyl chloride has continuously reached new record in history. For the main raw material of caustic soda, the salt also increased greatly, thus raise the Company's production cost platform to higher level.
- Increase of the energy cost: The adjustment of electric price from December of 2003 has caused the Company's direct cost increasing and reduced the Company's profit space.
- Increase of the environment protection cost: The pollution charges is collected according to the total amount of pollution, not just the amount exceeding a standard level as before. This will also increase the production cost.

(2) Solutions:

- Realize big production capacity for devices: Based on the original production capacity of 70,000 tons of PVC per year, make full use of the idle capacity of the vinyl chloride device and invest some capital to renovate the devices, thus increase by 50,000 tons of PVC per year and reach the capacity to 400,000 tons of PVC per year. Therefore the Company has realized big production capacity for its devices.
- Optimize the production control: Through adjustment for the production dispatch and control system manage the Company's whole production system in unified way and arrange the repair schedule scientifically to reduce the non-planned stop of the devices and realize continuous running with heavier load for the devices. Control the change conditions of the raw material such as ethylene, EDC and VCM for PVC, optimize the combination of the raw material, regulate the production reasonably and realize the maximed benefit.
- Enhance the technical content of the product: Promote the development on new products, expand the production for the material specially for PVC resin, increase added value of the product through enhancing technical content of the product, and enhance the profitability.
- Control the purchase cost: Make purchase and storage through running in computer network, stress on attention on the price fluctuation for enormous amount of raw material, make full use of the Company's existing wharf, storage, adopt the policy of setting price in grades, purchasing through multi-channel and making combination of varieties to reduce the influence of rise in price of raw materials.

3. Investments during the report period

1) Investment:

(1) Shanghai Hensman Polyurethane Co., Ltd.: The Company contributed US\$ 890,550 In April of 2003 and US\$ 1,781,100 in May. At present for these two funds the certification of registered capital has completed and the project is just in progress.

(2) (Shanghai Lianhen Isocyanate Co., Ltd.: The Company contributed RMB 6,998,100 in April of 2003 and PMB

13,996,200 in May. At present for these two funds the certification of registered capital has completed and the project is just under progress.

- (3) Bayer (Shanghai) Polymer Co., Ltd.: The Company contributed US\$ 789,000 in May of 2003 and the certification of registered capital has been completed. Until then the Company had totally contributed US\$ 2,836,500. In November of 2003 the Company contributed US\$ 1,666,700. At present the procedures for the certification of registered capital is just under progress.
- (4) Shanghai Tianyuan Group Huasheng Chemical Co., Ltd.: This Company has registered capital of RMB 100,000,000. On May 12, 2003 the Company contributed RMB 44,000,000 accounting for 44% of the registered capital, Shanghai Tianyuan (Group) Co., Ltd. contributed RMB 51,000,000 accounting for 51%, and the Shanghai Carbonization Co., Ltd. contributed RMB 5,000,000 accounting for 5%. On March 2, 2004 the first-stage construction of the project started piling. The first-stage construction mainly includes a sodium hydroxide device with the capacity of 250,000 tons per year and a device for oxychlorination of dichloroethane with the capacity of 300,000 tons per year.
- (5) Ningxia West PVC Co., Ltd.: It has registered capital of RMB 279,460,000 and is invested by three parties. The Company and the Ningxia Yinlite Electric (Group) Co., Ltd respectively hold 30% equity interests, and the Ningxia Ninghe National Chemical Co., Ltd. holds 40% equity interests. In May of 2003 the investors contributed RMB 83,840,000 and at present the procedures for certification of registered capital has been completed. The project is the production devices with the capacity of 120,000 tons of PVC, 100,000 tons of sodium hydroxide and 130,000 tons of calcium carbide per year, now it is just under construction.
- (6) Shanghai Huahong Pipe Gallery Co., Ltd.: This company has registered capital of RMB 40,000,000. From August of 2003 the Company contributed RMB 28,000,000 accounting for 44% of the registered capital in two times, Shanghai Carbonization Co., Ltd. contributed RMB 4,000,000 accounting for 10%, Shanghai Huayi (Group) Company contributed RMB 4,000,000 accounting for 10%, and the Shanghai Chemical Supply & Marketing Co., Ltd. contributed RMB 4,000,000 accounting for 10%. This company is mainly for constructing the ethylene pipe connecting the Caojin Shanghai Chemical Zone and the Wujin Chemical Zone. The transported ethylene material shall become the main raw material for the Company's main product PVC, and shall also be the important resource in the strategy of synchronizing Caojin and Wujin and adjusting the Wujin base into one integration.
- (7) Shanghai New Tianyuan Chemical Material Circulation Co., Ltd. was founded in October of 2003. Its main business: Transportation for common goods, freight agent, etc. The total share capital of the Company is RMB 9,900,000. Wujin Economic Development Company contributed RMB 5,000,000 accounting for 50.5% and the Company contributed 2,500,000 accounting for 25.3%, and the Shanghai Chlor-Alkali Chemical Trading Co., Ltd. contributed RMB 2,400,000 accounting for 24.2%. At present all the procedures have been completed.

2) Status of the projects

- (1) During the report period the Company did not raise any capital, neither had any capital raised before the report period going down to the current report period.
- (2) The important projects, progress of the projects and the benefits of them during the report period:
 - a. The project of 160,000 tons of Isocyanate has entered the financial contribution stage. At the end of the report period the preliminary design and first-phase preparation for the project had already been completed. During the report period the investors totally contributed RMB 43,100,000.
 - b. Polycarbonate project: Until the end of the report period the investors contributed RMB 6,530,000, had totally completed investment of RMB 23,476,900. At present the detailed project design and the civil work are just under progress.
 - c. The project of 70,000 tons of PVC per year with state debt: Until the end of the report period the investors contributed RMB 6,530,000, had totally completed investment of RMB 23,476,900. At present the project has entered the final stage for installation and debugging.
 - d. The PVC project in the Shanghai chemical industry zone had totally completed investment of RMB 39,200,000 at the end of the report period. The Shanghai Tianyuan Group Huasheng Co., Ltd, founded on May 28, 2003, is responsible for the construction of the project. In August of 2003 the Huasheng Company signed an all-in contract for engineering design with the Shanghai Engineering Chemical Design Institute, in

September signed an import contract for importing the sodium hydroxide device and technical equipment, in november signed a packet design contract for the process of oxychlorination device with the French Dexinibu Company and a supply contract for catalyst with the West Chemical Company. In Dec. of this year the Company signed a banking syndicate financing agreement with the China Industrial & Commercial Bank, the Contruction Bank and the Everbright Bank. On March 2, 2004 the first-stage construction of the project started piling.

- e. For the project in Ningxia at end of the report period the Company had contributed RMB 30,000,000. For details, see the China Securities News, Shanghai Securities News and Hong Kong Commercial Daily on Apr. 26, 2003.
- f. The Cao-Wu line project has entered the overall design stage. For details, see the China Securities News, Shanghai Securities News and Hong Kong Commercial Daily on Apr. 26, 2003, August 16, 2003 and November 20, 2003.
- g. Other important projects with non-raised capital: The expansion project for the PVC paste resin device invested by the Company, had completed investment of RMB 9,542,400 at the end of the report period. It is estimated that this Project shall be completed and put into production in March of 2004.

4. Notes to the financial status and operational results during the report period:

Items	2003	2002	Ratio of increase or decrease(%)
Total assets	4,920,412,213.54	4,776,297,118.48	3.02
Shareholders' equity	2,862,118,376.23	2,820,363,977.39	1.48
Main operation profit	592,668,532.39	416,455,681.62	42.31
Net profit	25,033,361.99	6,351,015.45	294.16
Net increase of cash and cash equivalents	-135,852,541.09	126,434,711.98	-207.45

Main reason of change:

Main reason for increase of the total assets is because of the increased equity investment and the increased construction of projects in this year;

The change of the shareholders' equity is because of the increase of the net profit and capital reserves in this year;

The main reason for increase of the main operation profit and the net profit is because of the rise of the market price of PVC and the increase of the Company's profitability.

The decrease of the cash and cash equivalents is because that the increase of the equity investment and payment for the projects have caused big decrease of the net cash flow in the investment activities.

5. The notes on that the significant changes of the production and operation environment and the macro-policies and statutes have already produced, are just producing and shall produce important impacts on the Company's financial status and operation results:

- 1) Adjustment for the import and export duties. The extempted and offset import tax rate for sodium hydroxide and high test bleaching powder, has decreased from 15% to 13%, such 2% deduction shall impact the profit. The import tariff for PVC has decreased from 11.8% to 10.7%, and this will cause certain impact on the market.
- 2) The city planning has enhanced the requirements to environment protection. The Company is located at the upper reach of Huangpu River, so according to the layout of the municipal government and the planning for the urban function of Shanghai, the investment for environment protection shall be increased.

- 3) The rise of the basic electrical price: The adjustment for the electrical price starting from Dec. 2003, has caused the electrolyte electricity for sodium hydroxide, the Company's main product, increasing by 17%, the direct cost of the sodium hydroxide increasing by 10%, and the profit space decreasing sharply.
- 4) Win of the lawsuit for antidumping: On Sep. 29, 2003 the Ministry of Commerce published an announcement on the final ruling to the antidump for PVC imported from U. S., Korea, Japan, Russia and Taiwan area, decided to levy antidump tax 6-84% on the investigated products. Until then during 18 months, this PVC antidump case valued at US\$ 1,000,000,000 was ended in the result of the final winning of the domestic industry. The final winning of the antidump case is in favor of removing the injure to the domestic industry.

6. The routine work of the Board of Directors:

1) During the report period the Company totally convened 3 periodic meetings of the Board of Directors.

(1) On Feb. 13, 2003 the Company convened the 6th meeting of the 4th Board of Directors at the meeting room in 17/F of Pudong Huangrong Mansion. Among the 12 Directors who should attend the meeting, actually 11 Directors attended the meeting. Director Bai Lijie was absent of leave. Mr. Zhou Bo, Chairman of the Board, presided over the meeting, which passed the following resolutions:

- a. Examined and passed the working report of the Board of Directors;
- b. Examined and passed the working report of the general manager;
- c. Examined and passed the 2002 financial account and the 2003 financial budget report;
- d. Examined and passed the motion on appropriating the provisions for depreciation of assets and cancel after verification for bad debts;
- e. Examined and passed the 2002 annual report and its abstract;
- f. Examined and passed the motion on making retroactive adjustment to significant accounting errors in the accounting for long-term equity investment;
- g. Examined and passed the motion on supplementing Directors;
- h. Examined and passed the 2002 profit distribution proposal
- i. Examined and passed the motion on continuing to engage public accountfirms and disbursing the rewards to the public accounting firm;
- j. Examined and passed the motion on checking and evaluating the salaries of the senior executives;
- k. Decided to convene 2002 general meeting at P.M. 1:30, April 15, 2003.

The announcement on the resolutions in the meeting (Lin 2003-002) was published in the Shanghai Securities News, China Securities News and Hong Kong Commercial Daily on Feb. 15, 2003.

(2) On Nov. 18, 2003 the Company convened the 7th meeting of the 4th Board of Directors in the Hongqiao Guest House. Among the 12 Directors who should attend the meeting, actually 11 Directors attended the meeting. Director Bai Lijie was absent of leave. Mr. Zhou Bo, Chairman of the Board, presided over the meeting, which passed the following resolutions:

- a. Examined and passed the working report of the Board of Directors;
- b. Examined and passed the working report of the general manager;
- c. Examined and passed the motion on being assigned the equity interests of the Shanghai Huahong Pipe Gallery Company;
- d. Examined and passed the motion on transferring part of the equity interests of Shanghai Tianyuan International Transport Co., Ltd.;
- e. Examined and passed the motion on furnishing guarantee for the loan of Bayer (Shanghai) Polymer Co., Ltd.;
- f. Examined and passed the scheme on reorganization of the Shanghai Le Kai International Trading Company;
- g. Examined and passed the scheme on reorganization of the Shanghai Chlorine Alkali Chemical Real Estate Development Company;
- h. Decided the list of recommended candidates for Director and candidates for Independent Director of the 5th Board of Directors;
- i. Decided to convene the 2003 provisional shareholders' meeting at A.M. 9:30, Dec. 23, 2003.

The announcement on the resolutions of the meeting (Lin 2003-010) was published in the Shanghai Securities News, China Securities News and Hong Kong Commercial Daily on Nov. 20, 2003.

(3) On Dec. 23, 2003 the Company held the 1st meeting of the 5th Board of Directors at the International Great Hotel of the Shanghai Guangda Exhibition Center. Among the 11 Directors who should attend the meeting, actually 7 Directors attended the meeting. Director Wang Xinkui, Bai Lijie and Zhang Zhujun were absent of leave. Direct Wang Kaiguo entrusted to voting for him. Mr. Zhou Bo presided over the meeting, which passed the following resolution:

- a. Elected Mr. Zhou Bo as the Chairman of the Board, Mr. Zhang Ruiyue as the Vice of the Board;
- b. Engaged Mr. Li Jun as the general manager, Mr. Chang Qing as the controller and Mr. Xu Pingwen as the Board secretary;
- c. According to the nomination of Mr. Li Jun, engaged Mr. Cheng Xilong, Mr. Wang Yufeng, Mr. Huang Zhiyong and Mr. Yue Qun as the vice general manager.
- d. Agreed in principle the management objectives in 2004 and the proposal for optimization of the organization structure.

The announcement on the resolutions of the meeting (Lin 2003-014) was published in the Shanghai Securities News, China Securities News and Hong Kong Commercial Daily on Dec. 25, 2003.

2) The execution on resolutions of the shareholders' meeting by the Board of Directors:

During the report period the Board of Directors of the Company strictly executed the resolutions of the shareholders' meeting, no such behavior of violating or transcending the resolutions of the shareholders' meeting.

7. Proposal on profit distribution or proposal on capital reserve transferring into share capital

Audited by Chinese certified public accountant, the Company's net profit realized in 2003, for the parent company is RMB 24,034,000, for the consolidated statements is RMB 25,033,400; audited by the international certified public accountant, the net profit realized in 2003 is RMB 44,062,000.

According to the provisions in the Articles of Association and with the net profit of the parent company as the basis, appropriate 10% statutory surplus reserve of RMB 2,403,400 and 10% statutory public welfare fund of RMB 2,403,400, totally RMB 4,806,800. Because the accumulated undistributed profit of the parent company of RMB 25,495,300, if distributed, shall be only RMB 0.02 per share, and the 2004 is the peak period when the Company should make big investment for projects, the Company shall neither make profit distribution nor transfer capital reserves into share capital for 2003.

8. Other matters:

1) During the report period the Company did not change the newspaper for information disclosure.

2} The special notes on the occupation of fund by the controlling shareholder and other associative party of the Company, made by the certifiec public accountant according to the provisions in the Notice on Normalizing the Cash Flow between the Listed Company and its Associative Parties and Some Problems Related to the Listed Company's Guarantee for Other Companies (Zhengjianfa [2003] No. 56):

Xinchangkuaishihanzi (2004) No.

To the Board of Directors of Shanghai Chlor-Alkali Co., Ltd.:

We have accepted your commitment to make special checking on the occupation of fund by the associative parties and the guarantee for other companies by your Company, which have been audited until Dec. 31, 2003. Our checking has been made according to the Notice on Normalizing the Cash Flow between the Listed Company and its Associative Parties and Some Problems Related to the Listed Company's Guarantee for Other Companies (2003-No. 56) issued by the China Securities Regulatory Committee and the State Assets Regulatory Committee. To furnish all the information on the true, legal and complete occupation of fund and the guarantee for other companies, including the

original contract or agreement and other material or copy materials, accounting document and book record, accounting statement, related tangible evidence and other data we deem necessary. Our responsibility is to make related inquiry and checking and issue special notes based on the provisions in the the Notice on Normalizing the Cash Flow between the Listed Company and its Associative Parties and Some Problems Related to the Listed Company's Guarantee for Other Companies (2003 No. 56). During the process of inquiry and verification, we implemented such checking procedures we deem necessary, such as consulting relevant data and accounting document, and checking accounting book and record.

Now we make presentation on the checking as follows:

1. Occupation of fund by the associative parties:

- 1) Your Company has, according to the requirements, made self-checking and submitted the self-checking report to the local office of the China Securities Regulatory Committee.
- 2) Until Dec. 31, 2003, the receivables for the fund occupied by the associative parties in your book record was: RMB 437,964,900, in which:
 - a. The fund occupied by big shareholders: Receivable for Shanghai Tianyuan (Group) Co., Ltd. was RMB 320,928,200, including temporary loan of RMB 317,245,200. Receivable for the subsidiaries of Shanghai Tianyuan (Group) Co., Ltd. was RMB 91,627,500, including temporary loan of RMB 82,721,900.
 - b. Occupation of fund by the associative parties:

Until Dec. 31, 2003, the associative parties except the controlling shareholder had occupied fund of RMB 25,409,200.

For details of the above contents, see the attached List of Fund Occupied by Associative Parties

- c. For the controlled subsidiaries consolidated into the statements, the occupied fund has been offset.

2. The guarantee furnished by your Company to other companies:

The guarantees for other companies furnished by your Company have all been made in the way of assurance, and the funds acquired by the guaranteed unit have all been used in business operations and have not caused lawsuit. Through checking we have found the following guarantees for the associative parties by your Company violating provisions:

- a. Furnish guarantee for the loan of US\$ 10,811,300 of the controlling shareholder's subsidiary the Wujin Chemical Co., Ltd.
- b. Furnish guarantee for the loan of EU\$ 16,531,200 and 3,646,500 Norwegian Krone for the controlling shareholder's subsidiary the Shanghai Carbonization Co., Ltd.
- c. Furnish guarantee for the loan of RMB 20,000,000 for Shanghai Herklis Chemical Co., Ltd. holding shares lower than 50%.

For details, see the attached List of Guarantee.

Furthermore we have noticed that: On Dec. 26, 2003 the Board of Directors of the Shanghai Tianyuan (Group)

Company passed the resolution of the Motion on Signing a Tripartite Agreement using Land-use Right as Mortgage to Solve the Debt from the Big Shareholders with Huayi Group and the Chlor-Alkali Company. Shanghai Huayi Group Company, for ensuring the Shanghai Tianyuan Group Company to return the debt of RMB 317,000,000 to the Shanghai Chlor-Alkali Chemical Co., Ltd., intended to make the land-use right for 23 lots of 834,735 square meter, in 310, 497, 507, 508 and 509 block streets in Wujin Street of Minhang District of Shanghai, as mortgage to the Company. The assessed land value is RMB 323,000,000.

Shanghai Lixin Changjiang Certified Public Accountants Co., Ltd.

3) The Independent Director's special notes and independent opinion to the Company's accumulated and current guarantee for other companies and the execution of the above provisions:

(1) For the debt of the big shareholders, the Independent Directors deem that, the Company has started the plan of transferring land in to solve the debt of the big shareholder according to its promise. Because the procedure of land-use right transfer is too long to be completed within this year, at the end of the year under the approve of the Board of Directors, the Company signed a Tripartite Agreement on Making Land-use Right as Mortgage to Solve the Debt of the Big Shareholders with the Huayi Group Company and the Tianyuan Group Company. The signing of this agreement is favorable to the implementation of the plan of transfer land-use right to solve the debt of the big shareholders.

(2) For the guarantee the Independent Directors deem that:

a. The Company made guarantee for Shanghai Wujin Chemical Co., Ltd. and Shanghai Carbonization Co., Ltd. before 1999. During the report period the Company strictly observed the requirements of the Notice on Some Related Problems of Furnishing Guarantee by Listed Company for Other Companies, and according to the correcting plan in the self-check report submitted to the China Securities Regulatory Committee reduced the associative guarantee made for historical reason without increasing new associative guarantee. At the end of 2003 the total amount of the associative guarantee decreased by RMB 39,679,200, a decrease of 13% than the same period of the previous year.

b. The Company made guarantee for the Shanghai Herklis Chemical Co., Ltd. in 2001. During the report period the total amount of the Company's guarantee for this company decreased from RMB 30,000,000 to RMB 20,000,000, and the Board of Directors of the Company has required (a) After complete of the project at the end of the year use its fixed assets to make mortgage loan; (b) Request the American Herklis Company to make a counter guarantee; (c) After the expiration of the guarantee in April of 2004 this guarantee will not be renewed. This will be helpful for solving the problem of illegal guarantee gradually.

The working procedures for the above guarantee all conform to the relevant provisions in the Listing Rules for Shares in Shanghai Stock Exchange and the Articles of Association.

Independent Director: Rong Guangdao, Tang Qiqing, Yang Guoping and Pan Fei

9. Report of the Supervisory Committee

1. The work of the Supervisory Committee during the report period

During the report period the Supervisory Committee convened 4 meetings, the main contents of which include:

- 1) Examined and passed the motions in these meetings. The Supervisory Committee examined and passed the working report of the Supervisory Committee and all the motions to be submitted to the shareholders' meeting.
- 2) Examined the Company's status of assets and finance. Checked the Company's monthly financial statement, invited the manager of the department of assets and finance to report the status of the Company's assets and finance, status of budget and final account, interim report and other status, and strengthened the control on finance.
- 3) Check the work on committed matters. The Supervisory Committee has paid close attention to the work on the debt of the big shareholders. The Company's 7th meeting of the Board of Directors examined and passed the tripartite agreement on making land as mortgage to solve the debt of the big shareholders signed with the Huayi Group Company and the Tianyuan Group Company. The Supervisory Committee are just paying closing attention to the progress of this work.
- 4) Made election to generate the Chief Supervisor. On Dec. 23, 2003 after the shareholders' meeting of the Company, the Supervisory Committee convened its first meeting of the fifth Committee, which made election to generate the Chief Supervisor and the secretary of the Supervisory Committee.

2. The independent opinion of the Supervisory Committee on the relevant matters of the Company in 2003:

- 1) The Company has convened the shareholders' meeting, the meeting of the Board of Directors and the meeting of the Supervisory Committee, and the Company's decision-making procedures were all made according to the provisions specified in the Articles of Association.
- 2) The Company's financial report was audited by the Shanghai Lixin Changjiang Certified Public Accountants and the Horwath Hong Kong CPA Limited. The auditor's report deems the the accounting statements provided by the Company conform to the relevant regulations in the Enterprise Accounting Standard and the Enterprise System, objectively and tryly reflect the financial status and operation results of the Company
- 3) During the report period the public accounting firm issued the auditor's report with no reserved opinion.
- 4) During the report period the price for the assets replacing and the associative transaction was based on the price assessed and confirmed and conform to the principle of fair price; the transactions were made according to normative procedures and disclosed as required.
- 5) During the report period the senior executives of the Company, while performing their duty for the Company, were not discovered of making any behavior for violating the laws, statutes and articles of association or infringing the benefit of the Company.

During the report period, because it would take too long time for using land transfer to solve the debt of the big shareholders, the Board of Directors examined and passed the Tripartite Agreement on Making Land-use Right as Mortgage to Solve the Debt of Big Shareholders Signed with Huayi Group Company and Tianyuan Group Company. The Supervisory Committee shall pay close attention to the progress of this work committed by the Board of

Directors.

During the report period the statement on the data of the profit realized by the Company conform to the objective fact of the Company.

10. Major Events

1. Significant lawsuits and arbitrations

- 1) Newly increased lawsuit during the report period: On Feb. 27 the Minghang District People's Court agreed to restore the execution that the Company requested the Shanghai Baishigao Plastic Co., Ltd. to return RMB 18,000,000 as the principal of loan to the Company. Originally on August 21, 2003 and Sep. 8, 2003 the Company applied the Shanghai Minghang District People's Court for disburse order and requested to make compulsory execution of this disburse order, which requested the Shanghai Baishigao Plastic Co., Ltd return RMB 18,000,000 as the principal of the loan to the Company, the court all accepted the case and issued disburse order to the Shanghai Baishigao Plastic Co., Ltd. to request it to return the loan to the Company. On Oct. 23, 2003, the court deemed the property of the Shanghai Baishigao plastic Co., Ltd. is difficult for disposal and this case lack the conditions of continue execution, so the court ruled to terminate the executing procedure of this disburse order. At present this case is still under execution.
- 2) Significant lawsuits and arbitrations disclosed in the previous report period but not closed:
 - (1) For the case that the Company made appeal to the Shanghai Leanda Couch Co., Ltd., Shenzhen Zhongqiao Industry Co., Ltd. and Shanghai Shenda (Group) Company for execution of RMB 3,000,000 and US\$ 500,000, before the first frozen term of the legal person share of the Shenzhen Zhongqiao Development Co., Ltd. held by the Shenzhen Zhongqiao Industry Co., Ltd. was expired and under the application of the Company, Shanghai Minghang District People's Court again went to the Shenzhen Stock Exchange and Shenzhen Administrative Bureau for Industry and Commerce to make the formalities for continual frozen of the above legal person share. At present this case makes no other progress.
 - (2) Because the Company made guarantee for the Shanghai Leanda Couch Co., Ltd.'s loan to the Industrial & Commercial Bank, the Company has already refunded the principal of the loan, US\$ 2,150,000 and RMB 500,000, and interest of the loan to the bank for it. On September 5, 2003, the Company instituted legal proceedings to the Shanghai No. 1 Intermediate People's Court, requested the accused Shanghai Leanda Couch Co., Ltd., Huang Anling, Shenzhen Zhongqiao Industry Co., Ltd. and Shanghai Shenda (Group) Company to return the principal of the loan US\$ 2,150,000 which the Company had refunded for Shanghai Leanda Couch Co., Ltd., requested the accused Shenzhen Zhongqiao Industry Co., Ltd. and Shanghai Shenda (Group) Company to return the principal of the loan RMB 500,000 which the Company had refunded for Shanghai Leanda Couch Co., Ltd., requested the Shenzhen Zhongqiao Industry Co., Ltd. to return the interest of the loan US\$ 311161.61 which the Company had refunded for Shanghai Leanda Couch Co., Ltd., and requested the four accused to assume all the litigation expense of this case. The Shanghai No. 1 Intermediate People's Court accepted this case. At present this case is still in the process of inquisition.
 - (3) The case that the execution related to the Company and Shanghai Branch of the Bank of China and Ningbo Oriental Economic Development (Group) General Company announced in the contingent matter of the financial report in 2002 annual report, at present makes no substantial progress.

2. During the report period the purchase and sale of assets and the consolidation by merger:

- 1) On Nov. 18, 2003 the Company's 7th meeting of the 4th Board of Directors passed the resolution that the Company would acquire the 31% equity interests of Shanghai Huahong Pipe Gallery owned by Wujin Xinwu Industry Company. After the acquisition the Company's shareholding ratio in this company has increased from 39% to 70%, totally contributing RMB 28,000,000. For acquiring this equity interests the Company mainly has such considerations: a. The ethylene pipe line run by the Shanghai Huahong Pipe Gallery Co., Ltd. shall become the main supply line for ethylene which is the raw material of PVC, the Company's dominant product. B. The Huahong Company has the stably-increasing business with good prospect and high return. C. The ethylene pipe line connecting the Caojin Shanghai Chemical Zone and the Wujin Chemical Zone is the important resource in the strategy of synchronizing Caojin and Wujin and adjusting the Wujin base into one integration implemented by the Company. The increase of shareholding ration is favorable to the Company for strengthening the control to this company. For details, see the China Securities News, Shanghai Securities News and Hong Kong Commercial Daily on Apr. 26, 2003, August 16, 2003 and November 20, 2003.
- 2) On Nov. 18, 2003 the Company's 7th meeting of 4th Board of Directors passed the motion on transferring part of the equity in the Shanghai Tianyuan International Transport Co., Ltd. After the transfer, the Company's shareholding ration in the Shanghai Tianyuan International Transport Co., Ltd. shall decrease from 51% to 30%. The Company's transferring out such equity interests is mainly based on the Company's development strategy of "Strengthening the Main Business and Promoting the New Business", with which the Company shall adjust the existing resource of material circulation, gradually exit from the fields with poor controlling force and uncertain operating risk to reduce the investment risk. Through this equity transfer, the Company can acquire cash of more than RMB 6,000,000. For details, see the China Securities News, Shanghai Securities News and Hong Kong Commercial Daily on November 20, 2003.

3. Important associative transactions during the report period

- 1) Associative transaction for purchase and sale of commodity and rendering of service:

During the report period the Company purchased goods amounted to RMB 1,463,000 from the Shanghai Chlor-Alkaline Creation Co., Ltd., RMB 100,000 from the Shanghai Tianyuan International Trade Co., Ltd. The Company sold goods amounted to RMB 756,400 to the Shanghai Chlor-Alkaline General Company Supply and Marketing Company, RMB 7,557,700 to the Shanghai Chlor-Alkaline Plastic Co., Ltd., RMB 2,518,000 to the Shanghai Baisigao Plastic Co., Ltd., RMB 17,948,900 to the Shanghai Tian International Trade Co., Ltd., and RMB 39,949,400 to the Shanghai Chlor-Alkaline Creation Co., Ltd.

- 2) The creditor's rights, debt and guarantee between the Company and its associative parties

- (1) The Board of Directors of the Company has promised: in 2003 the debt of the big shareholders shall decrease to a normal and reasonable level, within RMB 100,000,000. At beginning of the year, the Company worked out a plan of counterpurchasing state-owned shares and transferring in land. In the middle of the year the Company started the plan of land transferring in to solve the debt of the big shareholders. Because the procedure for the transfer of the land-use right is too long to be completed within this year, at end of the year under the approval of the Board of Directors the Company signed a Tripartite Agreement on Using Land-use Right as Mortgage to Solve the Debt from Big Shareholders with Huayi Group and Tianyuan Group. The content is that, the Shanghai Huayi Group Company, for ensuring the Shanghai Tianyuan Group Company to refund the debt of RMB 317,000,000 to the Shanghai Chlor-Alkali Chemical Co., Ltd., planned to make the land-use right for 23 lots of 834,735 square meter, in 310, 497, 507, 508 and 509 block streets in Wujin Street of Minhang District of Shanghai, as mortgage to the Company. The assessed land value is RMB 323,000,000.
- (2) Associative guarantee: During the report period the Company strictly observed the requirements of the Notice on Some Related Problems of Furnishing Guarantee by Listed Company for Other Companies, significantly reduced the associative guarantee made for historical reason without increasing new associative guarantee to reduce the risk for guarantee. Until the end of the report period the total amount for the Company's guarantee for other companies reached RMB 409,990,400, decreased by 3,747,200 than the end of previous year (including associative guarantee of RMB 264,883,600, decreased by RMB 39,679,200 than the end of the previous year and by 13% than the same period of previous year.

Current associative guarantee:

- a. Furnish credit guarantee for the Shanghai Carbonization Co., Ltd.'s bank loan of 16,531,200 Euro dollars and 3,646,500 Norwegian Krone, which shall be expired respectively in March of 2002 and October of 2023;
- b. Furnish credit guarantee for the Wujin Chemical Co., Ltd.'s bank loan of US\$ 10,811,300, which shall expire in Dec., 2005.

The Shanghai Carbonization Co., Ltd. and the Wujin Chemical Co., Ltd. shall also furnish guarantee for the Company.

4. Information on important contracts and the execution for them during the report period:

1) During the report period there are no such matters of trusteeship, contracting and leasing for other company's assets or other company's trusteeship, contracting and leasing for the Company's assets.

2) Until Dec. 31, 2003, the Company made guarantee as follows:

Guaranteed company	Date (signing date of agreement)	Amount of guarantee	Type of guarantee	Guarantee period	If fulfilled
Wujin Chemical Co., Ltd.	09/1998	8948.15	Credit	09/1998-12/2005	No
Shanghai Carbonization Co., Ltd.	05/1995	17090.45	Credit	05/1995-10/2023	No
Shanghai Carbonization Co., Ltd.	11/1995	449.76	Credit	11/1995-11/2005	No
Shanghai Herklis Chemical Co., Ltd.	04/2003	2000.00	Credit	04/2003-04/2004	No
Bayer (Shanghai) Polymer Co., Ltd.	10/2003	4700.00	Credit	10/2003-04/2004	No
Shanghai Tianyuan International Transport Co., Ltd.	03/2003	700.00	Credit	03/2003-03/2005	No
Shanghai Tianyuan Chemical Co., Ltd.	02/2003	2800.00	Credit	02/2003-02/2004	No
Shanghai Hensmai Polyurethane Co., Ltd.	2003.11	993.20	Credit	2003.11-2015.11	No
Shanghai Hensmai Polyurethane Co., Ltd.	11/2003	827.67	Credit	11/2003-11/2015	No
Shanghai Hensmai Polyurethane Co., Ltd.	11/2003	1000.00	Credit	11/2003-11/2015	No
Shanghai Hensmai Polyurethane Co., Ltd.	12/2003	2483.01	Credit	12/2003-12/2015	No

3) During the report period there is no such matters of entrusting othey entity to make management on cash or assets.

4) Other significant contracts:

If the Company or its shareholders holding over 5% equity interests made any promised matters during the report period or lasting to the report period, the Board of Directors of the Company should state the performance of such

promised matters during the report period. (See 3 in this section "Important associative transactions during the report period" 2) (1))

5. The engaging and dismissing of the public accounting firms:

Domestic accounting firm continually-engaged: Shanghai Lixin Changjiang Certified Public Accountants Co., Ltd.

Overseas accounting firm: Horwath Hong Kong CPA Limited

The expense disbursed to the accounting firm in this year is RMB 1,422,000. The audit fee for A share disbursed to Shanghai Lixin Changjiang Certified Public Accountants Co., Ltd. is RMB 722,000, for B share disbursed to Horwath Hong Kong CPA Limited, RMB 700,000.

Until 2003 the Shanghai Lixin Changjiang Certified Public Accountants had furnished audit services of A share for the Company for 10 years. The Horwath Hong Kong CPA Limited has issued auditor's report of B share for the Company since 2001, until now for three years.

6. During the report period the Company, the Board of Directors of the Company and the Directors, all had not been checked, punished and publicly reprimanded by the China Securities Regulatory Committee.

7. Index for major events disclosed by the Company£°

On Jan. 25, 2003 the Company published an announcement on the joint venture contract of MDI project and the signing of the articles of association of the joint venture, Which is carried in the page 39 of Shanghai Securities News, page 39 of China Securities News and page B6 of Hong Kong Commercial Daily.

On May 13, 2003 the Company published the announcement on the first ruling by the Ministry of Commerce to the antidumping for imported PVC, Which is carried in the page 23 of Shanghai Securities News, page 18 of China Securities News and page A12 of Hong Kong Commercial Daily.

On Sep. 30, 2003 the Company published the announcement on the award in final by the Ministry of Commerce to the antidumping for imported PVC, Which is carried in the page 10 of Shanghai Securities News, page 13 of China Securities News and page B4 of Hong Kong Commercial Daily.

11. Financial Report

AUDITORS' REPORT TO THE SHAREHOLDERS OF SHANGHAI CHLOR-ALKALI CHEMICAL CO., LTD.

(a joint stock limited company incorporated in the People's Republic of China with limited liability)

We have audited the financial statements on pages 2 to 32 which have been prepared in accordance with International Accounting Standards.

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

The Company's directors are responsible for the preparation of financial statements which give a true and fair view. In preparing financial statements which give a true and fair view, it is fundamental that appropriate accounting policies are selected and applied consistently.

It is our responsibility to form an independent opinion, based on our audit, on those statements and to report our opinion to you, as a body, and for no other purpose. We do not assume responsibility towards or accept liability to any other person for the contents of this report.

BASIS OF OPINION

We conducted our audit in accordance with International Standards on Auditing. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgements made by the Directors in the preparation of the financial statements and of whether the accounting policies are appropriate to the Group's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance as to whether the financial statements are free from material misstatement. In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements. We believe that our audit provides a reasonable basis for our opinion.

OPINION

In our opinion, the financial statements give a true and fair view of the state of affairs of the Group as at 31 December 2003 and of its profit and cash flows for the year then ended.

HORWATH HONG KONG CPA LIMITED
Certified Public Accountants

23 March 2004

Chan Kam Wing, Clement
Practising Certificate number P02038

2001 Central Plaza
18 Harbour Road
Wanchai
Hong Kong

SHANGHAI CHLOR-ALKALI CHEMICAL CO., LTD.

**CONSOLIDATED INCOME STATEMENT
FOR THE YEAR ENDED 31 DECEMBER 2003**

(Expressed in Renminbi thousands)

	Notes	2003 RMB'000	2002 RMB'000
Sales	4	3,934,955	3,262,174
Cost of sales		<u>(3,338,109)</u>	<u>(2,842,389)</u>
Gross profit		596,846	419,785
Other revenue, net	5	35,435	51,588
Selling and administrative expenses		(510,124)	(357,154)
Impairment loss in property, plant and equipment and construction in progress		<u>(3,672)</u>	<u>-</u>
Profit from operations	6	118,485	114,219
Finance costs	7	(64,592)	(77,537)
Share of results of unconsolidated subsidiaries and associates		<u>3,107</u>	<u>1,025</u>
Profit before taxation		57,000	37,707
Taxation	8(a)	<u>(10,828)</u>	<u>(3,159)</u>
Profit after taxation		46,172	34,548
Minority interests		<u>(2,110)</u>	<u>251</u>
Profit attributable to shareholders		<u>44,062</u>	<u>34,799</u>
Earnings per share	9	<u>RMB0.038</u>	<u>RMB0.030</u>

The notes on pages 8 to 32 form part of these consolidated financial statements.

SHANGHAI CHLOR-ALKALI CHEMICAL CO., LTD.

**CONSOLIDATED BALANCE SHEET
AS AT 31 DECEMBER 2003**

(Expressed in Renminbi thousands)

	Notes	2003 RMB'000	2002 RMB'000
Non current assets			
Property, plant and equipment	10	2,078,598	2,212,899
Construction in progress	11	586,917	345,529
Goodwill	12	19,563	22,096
Interests in unconsolidated subsidiaries and associates	13	176,672	77,053
Interests in joint venture	14	28,000	-
Other investments	15	120,340	103,944
Long-term deferred expenses		<u>1,202</u>	<u>1,260</u>
		<u>3,011,292</u>	<u>2,762,781</u>
Current assets			
Short term investments	16	-	362
Inventories	17	368,369	301,103
Trade and bills receivables		309,658	378,174
Amounts due from associates and related companies	18	34,251	28,507
Amounts due from immediate holding company	19	320,928	273,341
Loan to a related company	20	11,000	-
Other receivables and prepayments		128,393	143,832
Cash and bank balances		789,044	921,564
		1,961,643	2,046,883
Current liabilities			
Bank and other loans	21	1,128,010	1,071,350
Trade and bills payables		177,803	96,355
Other payables and accrued expenses		104,983	162,659
Advances from customers		60,568	87,302
Tax payable		14,994	17,624
		<u>1,486,358</u>	<u>1,435,290</u>
Net current assets		<u>475,285</u>	<u>611,593</u>
Total assets less current liabilities		<u>3,486,577</u>	<u>3,374,374</u>

SHANGHAI CHLOR-ALKALI CHEMICAL CO., LTD.

CONSOLIDATED BALANCE SHEET (CONTINUED)
AS AT 31 DECEMBER 2003**(Expressed in Renminbi thousands)**

	Notes	2003 RMB'000	2002 RMB'000
Total assets less current liabilities		<u>3,486,577</u>	<u>3,374,374</u>
Non-current liabilities			
Long term bank loans	21	472,320	406,280
Long term payable		32,227	32,227
Other long term liabilities	22	57,120	57,120
		(561,667)	(495,627)
Minority interests		<u>(77,655)</u>	<u>(75,554)</u>
Net assets		<u><u>2,847,255</u></u>	<u><u>2,803,193</u></u>
Representing:			
Share capital	23	1,164,483	1,164,483
Reserves	24	<u>1,682,772</u>	<u>1,638,710</u>
Shareholders' equity		<u><u>2,847,255</u></u>	<u><u>2,803,193</u></u>

The consolidated financial statements were approved and authorised for issue by the board of directors on 23 March 2004.

Director

Director

The notes on pages 8 to 32 form part of these consolidated financial statements.

SHANGHAI CHLOR-ALKALI CHEMICAL CO., LTD.

**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2003**

(Expressed in Renminbi thousands)

	Share capital	Share premium	Statutory surplus reserve	Discretionary surplus reserve	Statutory public welfare reserve	Retained profits	Total
	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000
	(Note 23)	(Note 24 (b))	(Note 24 (c))	(Note 24 (c))	(Note 24 (d))		
Balance at 31 December 2001	1,164,483	1,288,515	87,082	58,342	414	169,558	2,768,394
Profits appropriations (note 24(f))	-	-	-	(30,151)	-	30,151	-
Profit for the year	-	-	-	-	-	34,799	34,799
Profits appropriations	-	-	843	(274)	1,026	(1,595)	-
Balance at 31 December 2002	1,164,483	1,288,515	87,925	27,917	1,440	232,913	2,803,193
Profit for the year	-	-	-	-	-	44,062	44,062
Profits appropriations	-	-	3,011	-	2,959	(5,970)	-
Balance at 31 December 2003	<u>1,164,483</u>	<u>1,288,515</u>	<u>90,936</u>	<u>27,917</u>	<u>4,399</u>	<u>271,005</u>	<u>2,847,255</u>

SHANGHAI CHLOR-ALKALI CHEMICAL CO., LTD.

The notes on pages 8 to 32 form part of these consolidated financial statements.

SHANGHAI CHLOR-ALKALI CHEMICAL CO., LTD.

CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2003

(Expressed in Renminbi thousands)

	2003 RMB'000	2002 RMB'000
Operating activities		
Profit before taxation and share of results of unconsolidated subsidiaries and associates	53,893	36,682
Adjustment for:		
Interest income	(7,481)	(6,667)
Interest expenses	62,985	76,610
Dividend income	(1,868)	(976)
Depreciation, amortisation and impairment loss	278,640	254,053
Gain on dilution of interest of subsidiaries	-	(6)
Loss on disposal of property, plant and equipment	11,793	2,594
Gain on disposal of other investments	(182)	-
(Gain)/loss on disposal of short term investments	(790)	6
Provision for impairment loss in other investments	<u>15,000</u>	<u>15,200</u>
Cash flows before changes in working capital	411,990	377,496
Decrease/(increase) in long term deferred expenses	76	(511)
(Increase)/decrease in inventories	(60,163)	24,368
Decrease/(increase) in trade and bills receivables	68,626	(5,068)
Increase in amounts due from associates and related companies	(5,744)	(7,578)
(Increase)/decrease in amount due from immediate holding company	(47,587)	270,858
Decrease in other receivables and prepayments	22,928	26,757
Increase/(decrease) in trade and bills payables	81,448	(124,797)
(Decrease)/ increase in other payables and accrued expenses	(57,391)	10,972
(Decrease)/ increase in advances from customers	(26,734)	24,649
Increase in tax payable	562	13,932
Decrease in other current liabilities	-	(5,435)
Increase in long term payables	-	4,900
Increase in other long term liabilities	<u>-</u>	<u>57,120</u>
Cash generated from operations	388,011	667,663
Interest paid	(77,337)	(80,990)
Income tax paid	<u>(13,950)</u>	<u>(8,240)</u>
Net cash generated from operating activities	<u>296,724</u>	<u>578,433</u>

SHANGHAI CHLOR-ALKALI CHEMICAL CO., LTD.

CONSOLIDATED STATEMENT OF CASH FLOWS (CONTINUED)
FOR THE YEAR ENDED 31 DECEMBER 2003

(Expressed in Renminbi thousands)

	2003 RMB'000	2002 RMB'000
Investing activities		
Additional short term investments	-	(36)
Additional other investments	(31,625)	(20,097)
Proceeds from sales of short term investments	1,152	1,652
Proceeds from sales of other investments	128	220
Proceeds from disposal of investments in associates	20	-
Additional investment in associates	(101,011)	(8,494)
Investment in joint venture	(28,000)	-
Acquisition of subsidiaries	-	39,454
Purchase of property, plant and equipment, and construction in progress	(405,230)	(370,146)
Proceeds from disposal of property, plant and equipment	9,966	3,503
Loan to a related company	(11,000)	-
Cash and bank balance of subsidiaries not consolidated	-	(8,144)
Dividend received	6,184	4,334
Interest received	<u>7,481</u>	<u>6,667</u>
Net cash used in investing activities	<u>(551,935)</u>	<u>(351,087)</u>
Financing activities		
Draw down/(repayment) of bank loans, net	122,700	(133,957)
Contributions from minority shareholders	-	2,673
Dividends paid to minority shareholders	<u>(9)</u>	<u>(32)</u>
Net cash generated from/(used in) financing activities	<u>122,691</u>	<u>(131,316)</u>
Net (decrease)/increase in cash and cash equivalents	(132,520)	96,030
Cash and bank balances at beginning of the year	<u>921,564</u>	<u>825,534</u>
Cash and bank balances at end of the year	<u><u>789,044</u></u>	<u><u>921,564</u></u>

The notes on pages 8 to 32 form part of these consolidated financial statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(Expressed in Renminbi thousands)

(i) PRINCIPAL ACTIVITIES AND BASIS OF PREPARATION

The Group consists of Shanghai Chlor-Alkali Chemical Co., Ltd. (the “Company”) and its subsidiaries. The Company, formerly known as Shanghai Chlor-Alkali Chemical Complex, was originally established in 1959 as a state-owned enterprise of the People’s Republic of China (the “PRC”) under the name of Shanghai Electrochemical Plant. On 4 July 1992, pursuant to the approval granted by the Shanghai Municipal People’s Government, the Company was reorganised into a joint stock limited company under the name of Shanghai Chlor-Alkali Chemical Co., Ltd.

The principle activities of the Company are the production of chlor-alkali industrial chemical products and the provision of related services. Details of the Company’s subsidiaries as of 31 December 2003 are set out in Note 30 to the consolidated financial statements.

Shanghai Tianyuan Group Co., Ltd. (“Tianyuan Group”) is the immediate holding company of the Group. The directors consider Shanghai Hua Yi (Group) Company Limited (“Hua Yi Group”), a company established in the PRC, to be the ultimate holding company of the Group.

(ii) PRINCIPAL ACCOUNTING POLICIES

The consolidated financial statements of the Company and its subsidiaries (the ‘Group’) have been prepared in accordance with International Financial Reporting Standards (“IFRS”). The Group also prepares a set of consolidated financial statements which comply with accounting regulations in the PRC. A reconciliation of the Group’s results and shareholders’ equity under IFRS and PRC accounting regulations is presented in Note 32. The principal accounting policies adopted are as follows:

(a) Consolidation

The consolidated financial statements of the Group incorporate the financial statements of the Company and all operating subsidiaries that are controlled by the Company. Where an entity either begins or ceases to be controlled by the Company during the year, the results are included only from the date control commenced or up to the date control ceased.

All material inter-group transactions and balances are eliminated on consolidation.

2 PRINCIPAL ACCOUNTING POLICIES (CONTINUED)

(b) Subsidiary

A subsidiary is a company in which the Company has control. Control exists when the Company has the power to govern the financial and operating policies of the subsidiary so as to obtain benefits from its activities. Details of the Company's controlled subsidiaries as of 31 December 2003 are set out in Note 30 to the consolidated financial statements.

(c) Associate

An associate is a company, not being a subsidiary or a joint venture, in which the Company has significant influence. Significant influence exists when the Company has the power to participate in, but not control, the financial and operating decisions of the associate. Investments in associates are accounted for using the equity method of accounting.

(d) Joint venture

A joint venture is a venture undertaken by two or more parties whose rights and obligations with respect to the venture are specified in a joint venture agreement. No single venture is in a position to control unilaterally the activity of the venture. Investments in joint venture are accounted for using the equity method of accounting.

(e) Goodwill

Goodwill represents the excess of the cost of an acquisition over the fair value of the Group's share of the net assets of the acquired subsidiary or associate at the date of acquisition. Goodwill on acquisition is reported in the balance sheet as an intangible asset and is amortised using the straight line method over its estimated useful life of 10 years.

The carrying amount of goodwill is reviewed annually and written down for permanent impairment where it is considered necessary.

The gain or loss on disposal of an entity includes the unamortised balance of goodwill relating to that entity.

2 PRINCIPAL ACCOUNTING POLICIES (CONTINUED)**(f) Other investment**

Other investments are recognised on a trade date basis and are initially measured at cost.

At subsequent reporting dates, debt securities that the Group has the expressed intention and ability to hold to maturity (held-to-maturity debt securities) are measured at amortised cost, less any impairment loss recognized to reflect irrecoverable amounts. The annual amortization of any discount or premium on the acquisition of a held-to-maturity security is aggregated with other investment income receivable over the term of the instrument so that the revenue recognized in each period represents a constant yield on the investment.

Investment other than held-to-maturity debt securities are classified as either held for trading or available-for-sale, and are measured at subsequent reporting dates at fair value, based on quoted market prices at the balance sheet date. Where securities are held for trading purposes, unrealized gains and losses are included in net profit or loss for the period. For available-for-sale investments, unrealized gains and losses are recognized directly in equity, until the security is disposed of or is determined to be impaired, at which time the cumulative gain or loss previously recognized in equity is included in the net profit or loss for the period. For available-for-sale investments that do not have quoted market prices, the fair value is constructed on the basis of the market prices of the similar financial statements or derived from cash flow model. For available-for-sale investments that the fair value cannot be reliably determined, the investments are carried at cost less accumulated impairment losses.

(g) Property, plant and equipment**(i) Property, plant and equipment**

Property, plant and equipment are stated at cost less accumulated depreciation and any impairment losses. The cost of an asset comprises its purchase price and any directly attributable costs of bringing the asset to its present working condition and location for its intended use. Expenditure incurred after assets have been put into operation, such as repairs and maintenance and overhaul costs, is normally charged to the income statement in the period in which it is incurred. In situations where it can be clearly demonstrated that the expenditure has resulted in an increase in the future economic benefits expected to be obtained from the use of the asset, the expenditure is capitalised as an additional cost of the asset. When assets are sold or retired, their cost and accumulated depreciation are eliminated from the consolidated financial statements and any gain or loss resulting from their disposal is included in the consolidated income statement.

2 PRINCIPAL ACCOUNTING POLICIES (CONTINUED)**(g) Property, plant and equipment (continued)****(ii) Depreciation**

Depreciation is calculated on the straight line method to write off the cost of each asset to their residual value over their estimated useful lives as follows:

Land use right	50 years
Buildings	20 to 40 years
Plant, machinery and equipment	8 to 15 years
Furniture, fixtures and others	5 to 10 years

The useful lives of assets and depreciation method are reviewed periodically.

(h) Construction in progress

Construction in progress represents buildings, plant and machinery and other property, plant and equipment under construction and is stated at cost. Cost comprises direct costs of construction as well as interest charges during the period of construction, installation and testing and certain exchange differences on any related borrowed funds. Capitalisation of interest charges ceases when substantially all the activities necessary to prepare the asset for its intended use are complete. Construction in progress is transferred to property, plant and equipment when it is completed and ready for its intended use, notwithstanding any delays in the issue of the relevant commissioning certificates by the appropriate PRC authorities.

(i) Impairment of assets

Property, plant and equipment, intangible assets, investments in associates and joint ventures and other investments are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Whenever the carrying amount of an asset exceeds its recoverable amount, an impairment loss is recognised in income for items of property, plant and equipment, intangible assets, investments in associates and joint ventures and long term investments carried at cost. The recoverable amount is the higher of an asset's net selling price and value in use. The net selling price is the amount obtainable from the sale of an asset in an arm's length transaction while value in use is the present value of estimated future cash flows expected to arise from the continuing use of an asset and from its disposal at the end of its useful life. Recoverable amounts are estimated for individual assets or, if it is not possible, for the cash-generating unit.

Reversal of impairment losses recognised in prior years is recorded when there is an indication that the impairment losses recognised for the asset no longer exist or has decreased. The reversal is recorded as income.

2 PRINCIPAL ACCOUNTING POLICIES (CONTINUED)**(j) Inventories**

Inventories comprise raw materials, work in progress and finished goods. Inventories are stated at the lower of cost and net realisable value. Cost includes direct materials, direct labour costs and overheads that have been incurred in bringing the inventories and work in progress to their present location and condition and is calculated using the weighted average method. Net realisable value is estimated by the management and is determined by reference to the selling price less all costs to completion and costs to be incurred in selling and distribution.

Spare parts and consumables are stated at cost less any provision for obsolescence.

(k) Trade receivables

Trade receivables are carried at anticipated realisable value. An estimate is made for doubtful receivables based on a review of all outstanding amounts at the year end. Bad debts are written off during the year in which they are identified.

(l) Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand, deposits held at call with banks, and investments in money market instruments, net of bank overdrafts. In the consolidated balance sheet, bank overdrafts are included in borrowings in current liabilities.

(m) Pension obligations

As a statutory requirement, the Company and its subsidiaries within the Group have to contribute 22.5% of total salaries as retirement benefits for employees to a government agency. All contributions are dealt with in the consolidated income statement.

(n) Foreign currencies

The Group maintains its books and records in RMB. Foreign currency transactions during the year are translated into RMB at the rates of exchange prevailing at the transaction dates as quoted by the People's Bank of China ("PBOC").

Monetary assets and liabilities denominated in foreign currencies are translated into RMB at the rates prevailing at the balance sheet date as quoted by the PBOC. Exchange differences arising are included in consolidated income statement.

2 PRINCIPAL ACCOUNTING POLICIES (CONTINUED)

(o) Financial assets and liabilities

Investments and trade receivables are stated at carrying amounts determined in accordance with notes 2(f) and (k) respectively. Other financial assets and financial liabilities are stated at cost.

(p) Revenue recognition

- (i) Sales are recognised upon delivery of products and customer acceptance.
- (ii) Interest income is recognised on a time proportional basis, taking into account the principal amount outstanding and the interest rate applicable.
- (iii) Revenue from sales of properties under development is recognised on the date of completion of contracts and on the date of issue of the relevant occupation permit by the Authorities. Payments received from the purchasers prior to this stage are recorded as advances from customers.

(q) Deferred taxation

Deferred taxation is provided under the liability method in respect of significant temporary differences between the tax base of an asset or liability and its carrying amount in the balance sheet. The tax base of an asset or liability is the amount attributed to that asset or liability for tax purposes. Deferred tax liabilities are recognised for all taxable temporary differences. Deferred tax assets are recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which the deductible temporary difference can be utilised.

(r) Borrowing costs

Borrowing costs that are directly attributable to the acquisition, construction or production of assets that necessarily take a substantial period of time to be ready for their intended use or sale are capitalised as part of the assets. All other borrowing costs are recognised as an expense in the period in which they are incurred.

2 PRINCIPAL ACCOUNTING POLICIES (CONTINUED)

(s) Government grants

Grants from the government are recognised at their fair value when there is a reasonable assurance that the grant will be received and all attached conditions are complied with. When the grant relates to an expense item, it is recognised as income over the period necessary to match the grant, on a systematic basis, to the costs which it is intended to compensate. Where the grant relates to an asset, the fair value is deducted in arriving at the carrying amount of the related asset.

(t) Operating leases

Leases are classified as operating leases whenever substantially all the risks and rewards incidental to the ownership of the leased assets remain with the lessor.

Lease payments under operating leases are recognised as an expense in the consolidated income statement on a straight line basis over the lease term. Aggregate benefit of incentives on operating leases is recognised as a reduction of rental expense over the lease term on a straight line basis.

(u) Provisions

A provision is recognised when, and only when an enterprise has a present obligation (legal or constructive) as a result of a past event and it is probable (i.e. more likely than not) that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. Provisions are reviewed at each balance sheet date and adjusted to reflect the current best estimate. Where the effect of the time value of money is material, the amount of a provision is the present value of the expenditure expected to be required to settle the obligation.

(v) Contingencies

Contingent liabilities are not recognised in the consolidated financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote.

A contingent asset is not recognised in the consolidated financial statements but disclosed when an inflow of economic benefits is probable.

(iii) SEGMENT INFORMATION

(a) Primary reporting format - business segments

The Group is principally engaged in the production and sale of chlor-alkali chemicals and related products and operates in the PRC. All identifiable assets of the Group are located in the PRC.

(b) Secondary reporting format - geographical segments

In 2003, over 90% of the sales of the Group is generated from sales in the PRC.

(iv) TURNOVER

Turnover represents the gross value of goods and services invoiced to customers, net of value-added tax, additional tax and allowances for discounts and returns.

(v) OTHER REVENUE, NET

	2003	2002
	RMB'000	RMB'000
Interest income		
- banks	7,481	6,321
- related companies	13	-
- others	-	236
Waiver of long outstanding other payables	19,304	-
Government grants	5,521	7,637
Dividend from long term unlisted equity investments	2,050	976
Income from marketable securities	790	-
Gross gain on sale of raw materials	145	4,468
Gross rental income	121	1,391
Compensation income	10	2,850
Release of provision on assets disposed of to its holding companies	-	23,531
Others	-	4,178
	<u>35,435</u>	<u>51,588</u>

(vi) PROFIT FROM OPERATIONS

	2003	2002
	RMB'000	RMB'000
Profit from operations is stated after charging:		
Depreciation of property, plant and equipment and amortisation	274,970	259,989
Provision for other investments	15,000	15,200
Staff costs		
- salaries and allowances	237,427	121,209
- pension funds	36,379	22,582
Loss on disposal of property, plant and equipment	<u>11,793</u>	<u>2,594</u>

(vii) FINANCE COSTS

	2003	2002
	RMB'000	RMB'000
Interest expenses on bank loans	77,337	80,990
Less: interest capitalised in construction in progress	<u>(14,352)</u>	<u>(4,380)</u>
	62,985	76,610
Others	<u>1,394</u>	<u>925</u>
	64,379	77,535
Net exchange gains	<u>213</u>	<u>2</u>
	<u>64,592</u>	<u>77,537</u>

Borrowing costs are generally capitalised at rates of 4.94% and 5.49% (2002 : 5.58% and 6.03%) per annum on the expenditure on qualifying assets.

(viii) TAXATION

(a) Taxation in the consolidated income statement represents

	2003	2002
	RMB'000	RMB'000
Current year taxation	10,758	776
Deferred tax	-	2,364
Share of tax charge of unconsolidated subsidiaries and associates	<u>70</u>	<u>19</u>
	<u><u>10,828</u></u>	<u><u>3,159</u></u>

Provision for PRC income taxes is calculated based on the estimated assessable profits for the year determined in accordance with the relevant tax rules and regulations applicable in the PRC. The Company is subject to income tax at the rate of 15%. The income tax rates applicable to subsidiary companies range from 15% to 33%.

(b) Deferred taxation

The movement for the year in the Group's deferred tax was as follows:

	2003	2002
	RMB'000	RMB'000
At beginning of the year	-	2,364
Transfer to income for the year	<u>-</u>	<u>(2,364)</u>
At end of the year	<u><u>-</u></u>	<u><u>-</u></u>

The deferred tax assets brought forward in 2002 represented the tax effect of disallowed provisions which became allowable on realisation of the underlying events. No provision for deferred taxation has been recognised in the consolidated financial statements for the current year as it is not certain that the benefits of the deferred tax asset will be utilised in the foreseeable future.

(ix) EARNINGS PER SHARE

Earnings per share is calculated based on the profit attributable to shareholders for the year of approximately RMB44,062,000 (2002 : RMB34,799,000) by the number of shares in issue during the year of 1,164,483,000 shares (2002 : 1,164,483,000 shares).

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(x) PROPERTY, PLANT AND EQUIPMENT

	Land use right and buildings in the PRC RMB'000	Plant, machinery and equipment RMB'000	Furniture, fixtures and others RMB'000	Total RMB'000
Cost:				
Balance at 1 January 2003	1,027,174	3,044,740	347,025	4,418,939
Additions	1,228	9,497	587	11,312
Transfer from construction in progress	32,691	111,428	10,608	154,727
Disposals	(10,692)	(63,395)	(1,231)	(75,318)
Transfer to inventories	(7,103)	-	-	(7,103)
Reclassification	<u>5,921</u>	<u>-</u>	<u>-</u>	<u>5,921</u>
At 31 December 2003	<u>1,049,219</u>	<u>3,102,270</u>	<u>356,989</u>	<u>4,508,478</u>
Accumulated depreciation and impairment loss:				
Balance at 1 January 2003	373,455	1,615,794	216,791	2,206,040
Charge for the year	34,720	215,535	22,189	272,444
Impairment loss	4,492	(763)	-	3,729
Written back on disposal	(4,864)	(52,315)	(1,075)	(58,254)
Reclassification	<u>5,921</u>	<u>-</u>	<u>-</u>	<u>5,921</u>
At 31 December 2003	<u>413,724</u>	<u>1,778,251</u>	<u>237,905</u>	<u>2,429,880</u>
Net book value:				
Balance as at 31 December 2003	<u>635,495</u>	<u>1,324,019</u>	<u>119,084</u>	<u>2,078,598</u>
Balance as at 31 December 2002	<u>653,719</u>	<u>1,428,946</u>	<u>130,234</u>	<u>2,212,899</u>

(xi) CONSTRUCTION IN PROGRESS

	2003	2002
	RMB'000	RMB'000
Cost:		
At beginning of the year	353,335	255,524
Additions		
- through acquisition of subsidiaries	-	4,316
- others	408,903	354,629
Disposals	(12,902)	(18,438)
Transfer to property, plant and equipment	<u>(154,727)</u>	<u>(242,696)</u>
At end of the year	<u>594,609</u>	<u>353,335</u>
Provision for impairment loss:		
At beginning of the year	7,806	7,806
Reduction	(59)	-
Written back upon disposal	<u>(55)</u>	<u>-</u>
At end of the year	<u>7,692</u>	<u>7,806</u>
Net book value	<u><u>586,917</u></u>	<u><u>345,529</u></u>

Included in construction in progress is net interest capitalised of approximately RMB18,350,000 (2002: RMB3,998,000).

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(xii)GOODWILL

	2003	2002
	RMB'000	RMB'000
Cost:		
At beginning of the year	25,330	4,561
Additions	<u>-</u>	<u>20,769</u>
At end of the year	<u>25,330</u>	<u>25,330</u>
Accumulated amortisation:		
At beginning of the year	3,234	456
Charge for the year	<u>2,533</u>	<u>2,778</u>
At end of the year	<u>5,767</u>	<u>3,234</u>
Net book value	<u><u>19,563</u></u>	<u><u>22,096</u></u>

Goodwill is amortised over the directors' estimate of its economic useful life of 10 years.

(xiii)INTERESTS IN UNCONSOLIDATED SUBSIDIARIES AND ASSOCIATES

	2003	2002
	RMB'000	RMB'000
Share of net assets of unconsolidated subsidiaries and associates	176,680	77,068
Unamortised negative goodwill	<u>(8)</u>	<u>(15)</u>
	<u><u>176,672</u></u>	<u><u>77,053</u></u>

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13. INTERESTS IN UNCONSOLIDATED SUBSIDIARIES AND ASSOCIATES (CONTINUED)

Details of major associates as of 31 December 2003 were as follows:

Name of associates	Percentage holding		Nature of business
	2003 %	2002 %	
Shanghai Chlor-Alkali Vinidex Plastics Co., Ltd.	50	50	Manufacture of plastic products
Shanghai Hercules Chemical Co., Ltd.	40	40	Manufacture of chemical products
Shanghai Project Design Insitution Co., Ltd.	48.57	48.57	Chemical engineering design

The names of the above companies were directly translated from Chinese and may not represent their legal names.

(xiv) INVESTMENT IN JOINT VENTURE

	2003 RMB'000	2002 RMB'000
Share of net assets of joint venture	<u>28,000</u>	<u>-</u>

Details of the joint venture as of 31 December 2003 were as follows:

Name of associates	Percentage holding		Nature of business
	2003 %	2002 %	
Shanghai Huahong Pipelines Co., Ltd.	70	-	Construction of chemicals pipelines

The names of the above companies were directly translated from Chinese and may not represent their legal names.

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(xv)OTHER INVESTMENTS

	2003	2002
	RMB'000	RMB'000
Unlisted investments, at cost	162,630	132,369
Investment fund	1,000	-
Less : Provision for impairment loss	<u>(43,290)</u>	<u>(28,425)</u>
	<u>120,340</u>	<u>103,944</u>

(xvi)SHORT TERM INVESTMENTS

	2003	2002
	RMB'000	RMB'000
Listed securities, at fair value	-	326
Unlisted investment, at cost	<u>-</u>	<u>36</u>
	<u>-</u>	<u>362</u>

(xvii)INVENTORIES

	2003	2002
	RMB'000	RMB'000
Raw materials	188,677	166,658
Work in progress	58,698	46,170
Finished goods	69,149	61,309
Spare parts	44,742	26,966
Properties held for sale	<u>7,103</u>	<u>-</u>
	<u>368,369</u>	<u>301,103</u>

(xviii)AMOUNTS DUE FROM ASSOCIATES AND RELATED COMPANIES

The balances are unsecured, interest-free and have no fixed terms of repayment.

(xix)AMOUNT DUE FROM IMMEDIATE HOLDING COMPANY

The balances are interest-free and have no fixed terms of repayment. As at 31 December 2003, Hua Yi Group pledged its land use rights with a valuation of RMB323,000,000 to secure the loan of RMB317,245,000 to Tianyuan Group. The remaining balance is unsecured.

(xx)LOAN TO A RELATED COMPANY

The loan to a related company, Shanghai Bai Shi Gao Plastic Co., Ltd, is unsecured, bears interest at 5.31% per annum and repayable within one year.

(xxi)BANK AND OTHER LOANS

	2003	2002
	RMB'000	RMB'000
The bank loans are repayable as follows:		
Within one year	1,128,010	1,071,350
In the second year	265,320	-
In the third to fifth years inclusive	<u>207,000</u>	<u>406,280</u>
	1,600,330	1,477,630
Less : amount due within one year shown under current liabilities	<u>(1,128,010)</u>	<u>(1,071,350)</u>
Amount due for settlement after 12 months	<u><u>472,320</u></u>	<u><u>406,280</u></u>
Secured	11,300	8,300
Unsecured	<u>1,589,030</u>	<u>1,469,330</u>
	<u><u>1,600,330</u></u>	<u><u>1,477,630</u></u>

Interest rates for bank loans are charged at rates ranging from 4.20% to 5.49% per annum (2002 : 4.03% to 5.85% per annum) or at LIBOR plus 0.5%.

At the balance sheet date, certain properties of the Company with a carrying value of RMB12,300,000 were pledged as securities for the above bank loans.

(xxii)OTHER LONG TERM LIABILITIES

Other long term liabilities represent grants from government for the development of specific projects in future years received in advance.

(xxiii)SHARE CAPITAL

	2003	2002
	RMB'000	RMB'000
Registered, issued & fully paid with per value of RMB1 each:		
State-owned shares	611,511	611,511
Legal person shares	118,580	118,580
A shares – domestic investors	<u>27,832</u>	<u>27,832</u>
	757,923	757,923
B shares – domestic and overseas investors	<u>406,560</u>	<u>406,560</u>
	<u><u>1,164,483</u></u>	<u><u>1,164,483</u></u>

All the shares rank pari passu with each other in all respects. A shares and B shares are listed on the Shanghai Stock Exchange. State-owned shares and shares held by other legal persons are not listed.

(xxiv)RESERVES

(a) Pursuant to the relevant PRC regulations and the Articles of Association of the Company, profit after taxation shall be appropriated in the following sequence:

- (i) make up accumulated losses.
- (ii) transfer 10% of the profit after tax to the statutory surplus reserve. When the balance of the statutory surplus reserve reaches 50% of the paid up share capital, such transfer need not be made.
- (iii) transfer 5% to 10% of the profit after tax to the statutory public welfare fund.
- (iv) transfer to the discretionary surplus reserve as approved by the shareholders in general meetings.
- (v) distribute dividends to shareholders.

The amounts of transfer to the statutory surplus reserve and statutory public welfare fund shall be based on profit after tax in the statutory accounts prepared in accordance with PRC accounting standards and regulations.

(b)Share premium

According to the relevant PRC regulations, share premium can be used to increase share capital.

(c) Statutory surplus reserve and discretionary surplus reserve

According to the relevant PRC regulations, statutory surplus reserve and discretionary surplus reserve can be used to make up losses or to increase share capital. Except for the reduction of losses incurred, other usage should not result in the statutory surplus reserve falling below 25% of the registered capital.

(d)Statutory public welfare fund

According to the relevant PRC regulations, statutory public welfare fund is restricted to capital expenditure for employees' collective welfare facilities. Staff welfare facilities are owned by the Group. The statutory public welfare fund is not normally available for distribution to shareholders except in liquidation.

24 RESERVES (CONTINUED)

(e) Profit distribution

Pursuant to the relevant PRC regulations and the Articles of Association of the Company, profit distributable to shareholders shall be the lower of the amount determined in accordance with the PRC accounting standards as stated in the statutory consolidated financial statements and that adjusted in accordance with IFRS.

In PRC statutory consolidated financial statements as at 31 December 2003, retained earnings carried forward amounted to RMB13,470,000 (2002 : accumulated losses of RMB5,595,000).

(f) According to the Board of Directors' resolution passed in 2002, discretionary surplus reserve of RMB30,151,000 was utilised to offset accumulated losses.

(xxv) RELATED PARTY TRANSACTIONS

(a) Trading transactions

During the year, the Group entered into the following transactions with related parties which are not members of the Group:

	2003	2002
	RMB'000	RMB'000
Sales of goods to		
- associates	7,558	17,025
- fellow subsidiaries	60,416	64,677
Purchase of goods from associates	1,563	33,195
Compensation income from a fellow subsidiary	<u> = </u>	<u> 2,850 </u>

The above transactions were carried out at market price or, where no market price was available, at cost plus a percentage of profit mark-up.

(b) Pursuant to an agreement entered into among the Company, Hua Yi Group and Tianyuan Group, Hua Yi Group pledged its land use rights with a valuation amount of RMB323,000,000 against the loan of RMB317,245,000 due from Tianyuan Group.

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(xxvi) OPERATING LEASE COMMITMENTS

As at 31 December 2003, the Group had outstanding minimum commitments under non-cancellable operating leases, which fall due as follows:-

	2003 RMB'000	2002 RMB'000
Within one year	3,480	1,394
In the second to fifth years inclusive	5,089	3,610
After five years	<u>-</u>	<u>8</u>
	<u><u>8,569</u></u>	<u><u>5,012</u></u>

(xxvii) CAPITAL COMMITMENTS

As at 31 December 2003, the Group had the following capital commitments in respect of:-

	2003 RMB'000	2002 RMB'000
Contracted but not provided for		
- Property, plant and equipment	220,425	100,649
- Other investment	<u>298,116</u>	<u>-</u>

(xxviii) CONTINGENT LIABILITIES

(a) Guarantee

As at 31 December 2003, the Group had outstanding guarantees in favour of banks for bank loans made to the following parties:

	2003	2002
	RMB'000	RMB'000
Associates	20,000	31,500
Related companies	389,990	303,063
Third parties	<u>-</u>	<u>33,000</u>
	<u><u>409,990</u></u>	<u><u>367,563</u></u>

(b) Discounted bills

As at 31st December 2003, bills of exchange discounted by the Group with recourse amounted to RMB4,322,000 (2002 : Nil).

(c) Litigations

- (i) The Company commenced legal proceedings against a related company, Shanghai Bai Shi Gao Plastic Co., Ltd ("Bai Shi Gao"), for the non-payment of an outstanding balance of RMB19,518,000. On 21 August 2003, the Company succeeded in the legal action. However, since Bai Shi Gao does not have sufficient assets to repay the debts, the Company has not been able to execute the court order to date. On 23 October 2003, the Company applied an execution order such that once Bai Shi Gao has additional assets, the Company can execute them for repayment of debts. The balance of RMB19,518,000 remained outstanding as at 31 December 2003 and a provision for bad debts of RMB15,504,000 has been made.
- (ii) The Company commenced legal proceedings on 28 August 2003 against Shanghai Le An Da Cool Chair Co., Ltd in connection with its guarantee in respect of loans granted by this company. The case is in progress and the Company has made full provisions of USD2,150,000 and RMB500,000 paid under the guarantee in previous years and recoverable from Shanghai Le An Da Cool Chair Co., Ltd.

(xxix)PENSION SCHEMES

The Group participates in a defined contribution retirement scheme (the “Scheme”) arranged by the Shanghai Municipal Government. The Group is obligated to make an annual contribution based on 22.5% (2002: 22.5%) of the aggregate payroll. Total contributions made by the Group under the Scheme during the year amounted to RMB36,379,000 (2002 : RMB 22,582,000).

(xxx)PRINCIPAL SUBSIDIARIES

At 31 December 2003, the Company held shares in the following subsidiaries, all of which are unlisted and incorporated in the PRC:-

Name of subsidiaries	Percentage holding		Nature of business
	2003 %	2002 %	
Shanghai Chlor-Alkali Supply Co.	100	100	Trading of merchandise
Shanghai Lekai International Trade Co., Ltd.	100	100	International trade
Suzhou Gu Su Economic Development Company	80	80	Operation of car park
Shanghai Chlor-Alkali Chemical Trade Co., Ltd.	90	90	Trading of merchandise
Shanghai Chlor-Alkali Chemical Real Estate Development Co., Ltd.	100	100	Property development
Shanghai Tianyuan International Transportation Co., Ltd.	51	51	Logistics
Shanghai Tianyuan (Group) High Polymer Material Co., Ltd.	90	90	Manufacture of chemical products
Shanghai Zhuji Factory Co., Ltd.	85.13	85.13	Manufacture of chemical products
Shanghai Tianyuan Chemical Co., Ltd.	76.22	76.22	Manufacture of chemical products

30. PRINCIPAL SUBSIDIARIES (CONTINUED)

Name of subsidiaries	Percentage holding		Nature of business
	2003 %	2002 %	
Shanghai Tianyaun Logistics Co., Ltd.	70.67	70.67	Logistics
Shanghai Da Kai Plastics Co., Ltd.	90	90	Manufacture of chemical products

The names of the above companies were directly translated from Chinese and may not represent their legal names.

31. FINANCIAL ASSETS AND LIABILITIES

(a) Interest rate risk

The interest rates of unsecured bank loans are shown in Note 21 to the consolidated financial statements. Other financial assets and liabilities do not have material interest rate risk.

(b) Credit risk

Trade receivables of the Group are spread among a number of customers in the PRC. Other than that, financial assets of the Group do not represent a concentration of risk.

The carrying amount of financial assets best represents their maximum credit risk exposure at the balance sheet date.

(c) Fair value

The fair value of cash and bank balances, trade receivables, other receivables, amounts due from/to associated/related companies, trade payables and other payables are not materially different from their carrying amounts.

Fair value of financial assets or financial liabilities have been determined by generally acceptable accounting principles and are subject to assumptions. Changes in valuation methods and assumptions may significantly affect the estimates.

32. IMPACT OF IAS ADJUSTMENTS ON PROFIT AFTER TAXATION AND MINORITY INTERESTS AND SHAREHOLDERS' EQUITY

The statutory accounts of the Group are prepared in accordance with PRC accounting regulations applicable to joint stock limited companies. These accounting principles differ in certain significant respects from IFRS. The effects of these differences on the profit after taxation and minority interests for the year ended 31 December 2003 and shareholders' funds at that date are summarised as follows:

	Profit after taxation and minority interests 2003 RMB'000	Shareholders' equity 2003 RMB'000
Note		
As determined pursuant to PRC accounting regulations	25,033	2,862,118
Reversal of revaluation surplus on property, plant and machinery and related depreciation (a)	2,131	(13,829)
Reversal of revaluation surplus on property, plant and machinery of an associate and related depreciation (b)	26	(127)
Goodwill written off in prior years and related amortisation (c)	151	(907)
Income and expenditure directly dealt with in equity (d)		<u>16,721-</u>
As determined pursuant to IAS	<u>44,062</u>	<u>2,847,255</u>

Note

- (a) In 1996, the Company invested in a subsidiary through contributions of property, plant and equipment. The Company revalued the property, plant and equipment designated for the subsidiary before the capital injection. The remaining property, plant and equipment of the Company were not revalued. Since IAS does not permit partial revaluation of property, plant and equipment, they are restated at cost in B shares. As a result, the calculation of depreciation is different from A shares and adjusted during the period.
- (b) One of the subsidiaries, which became an associate in 2002, revalued their land use rights in previous years. In accordance to IFRS, partial revaluation is not permitted. The revaluation is therefore reversed in B shares.
- (c) In 2000, A shares restated the investment cost of a subsidiary at a higher amount which resulted in a corresponding goodwill on consolidation. The goodwill is not recognized in B shares.
- (d) Income from waiver of payables are dealt with in equity in A Share. In B Share, they are credited to profit and loss account directly.

33. LANGUAGE

The English text of the consolidated financial statements is a translated version for the convenience of English readers and for reference only. The Chinese text of the consolidated financial statements will prevail over the English text.

SHANGHAI CHLOR-ALKALI CHEMICAL CO., LTD.

**CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2003**

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SHANGHAI CHLOR-ALKALI CHEMICAL CO., LTD.
(a joint stock limited company registered in the
People's Republic of China with limited liability)

CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2003

12. Documents for Reference

1. Accounting statements signed and stamped by the legal representative, principal in charge for accounting work, and principal of accounting department»
2. The original auditor's report stamped by the public accounting firm and signed and stamped by the certified public accountant;
3. All the former version of the files and originals of the announcements disclosed in the newspapers appointed by the China Securities Regulatory Committee during the report period;
4. Articles of Association of Shanghai Chlor-Alkali Co., Ltd.:
5. The Company shall furnish the above documents for reference in time when the China Securities Regulatory Committee and the stock exchange request to provide them and the shareholders request to consult according to the requirements of the statute or the Articles of Association.